



EL SALVADOR

October 2026

SECOND AND THIRD REVIEWS UNDER THE EXTENDED FUND FACILITY, REQUESTS FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA, AND REPHASING OF ACCESS—PRESS RELEASE; STAFF REPORT; STAFF SUPPLEMENT; STAFF STATEMENT; AND STATEMENT BY THE EXECUTIVE DIRECTOR FOR EL SALVADOR

In the context of the Second and Third Reviews Under the Extended Fund Facility, Requests for Waivers of Nonobservance of Performance Criteria, and Rephasing of Access, the following documents have been released and are included in this package:

- A **Press Release** including a statement by the Chair of the Executive Board.
- The **Staff Report** prepared by a staff team of the IMF for the Executive Board's consideration on October 1, 2026, following discussions that ended on August 28, 2026, with the officials of El Salvador on economic developments and policies underpinning the IMF arrangement under the Extended Fund Facility. Based on information available at the time of these discussions, the staff report was completed on September 18, 2026.
- A **Staff Supplement** of October 1, 2026, updating information on required prior actions taken by the authorities since the issuance of the Staff Report.
- A **Staff Statement** of October 1, 2026, on required prior actions taken by the authorities since the issuance of the Staff Report.
- A **Statement by the Executive Director** for El Salvador.

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IMF Executive Board Concludes the Second and Third Reviews Under the Extended Fund Facility for El Salvador

FOR IMMEDIATE RELEASE

- The IMF Executive Board completed the Second and Third Reviews under El Salvador's Extended Fund Facility (EFF) arrangement, allowing for an immediate disbursement equivalent to SDR 101.96 million (about US\$138 million).
- El Salvador's economy continues to perform strongly, supported by sustained improvements in security, and rising investor confidence, amid efforts to reduce macroeconomic imbalances.
- Fiscal consolidation has advanced, liquidity and reserve buffers have strengthened further, and reforms continue in the areas of financial resilience, governance, and transparency. Efforts to reduce the state's involvement in Bitcoin-related activities and strengthen the regulation and oversight of crypto assets are ongoing.
- Sustaining these gains will require decisive and timely program implementation.

Washington, DC – October 1, 2026: The Executive Board of the International Monetary Fund (IMF) completed the Second and Third Reviews under the Extended Fund Facility (EFF) arrangement for El Salvador. Completion of these reviews allows for an immediate disbursement of SDR 101.96 million (about US\$138 million). El Salvador's 40-month EFF arrangement was approved on February 26, 2025, with total access equivalent to SDR 1,033.92 million (about US\$1.4 billion). The authorities have consented to the publication of the Staff Report.

Economic activity has exceeded expectations, supported by sustained improvements in security and investor confidence, as macroeconomic imbalances continue to be addressed. Fiscal consolidation has advanced broadly in line with program objectives, and reserve and liquidity targets were comfortably met. Important progress has been achieved in financial sector reforms, fiscal transparency, AML/CFT reforms, and the transfer of majority ownership and control of the government e-wallet Chivo to a private operator. However, certain performance criteria were not met, including on the Bitcoin accumulation front, for which waivers were granted based on strong corrective measures and renewed commitments.

Going forward, the program will continue to focus on strengthening fiscal sustainability, rebuilding external buffers, enhancing financial sector resilience, advancing governance and transparency reforms, and supporting stronger and more inclusive growth. Following earlier delays, pension and civil service reforms will be pursued to support fiscal consolidation goals. Efforts will continue to reduce the state's involvement in Bitcoin-related activities, strengthen crypto-asset regulation and governance, and enhance transparency regarding public-sector crypto-asset holdings. No further Bitcoin accumulation is envisaged beyond the documented donations.

Following the Executive Board discussion on El Salvador, Mr. Dan Katz, First Deputy Managing Director and Chair, issued the following statement:

“El Salvador’s economic program, supported by the Extended Fund Facility Arrangement, has been delivering tangible benefits and the authorities remain committed at the highest level to achieving its objectives. Real GDP growth has exceeded expectations, social outcomes have improved, fiscal and external buffers have strengthened, and sovereign spreads have declined markedly. Progress on the reform agenda has continued, although implementation challenges remain in some areas. Amid heightened external uncertainty, decisive program implementation and strong contingency planning remain essential. Sustaining reform momentum including through timely implementation of agreed corrective measures and delayed reforms will be key to safeguarding macroeconomic stability, preserving program credibility, and supporting durable and inclusive growth.

“Sustained fiscal consolidation remains essential to place public debt firmly on a downward trajectory and safeguard the debt anchor. Achieving higher primary surpluses will require further enhancements in revenue administration, continued expenditure restraint, and timely pension and civil service reforms. In addition, efforts should continue to strengthen public financial management, rebuild government liquidity buffers, and improve treasury and debt-management operations, including to avoid future slippages. Protecting priority social spending remains essential to support a further reduction in poverty.

“Further strengthening external buffers and financial-sector resilience remains a priority. Reserve accumulation should continue, along with efforts to sustain adequate bank liquidity buffers. Meanwhile, oversight and regulation of financial institutions should be strengthened, including for cooperatives and public financial institutions, to allow a prudent expansion of private credit. Financial stability will also be supported by further reductions in the sovereign-bank nexus and implementation of the remaining safeguards assessment recommendations, including modernization of the central bank’s organic law. Continued efforts are also needed to improve the quality and timeliness of external sector statistics.

“Efforts to strengthen governance, transparency, and the business climate should continue. Priorities should center on further enhancing fiscal and public-sector reporting, strengthening beneficial ownership transparency, enhancing asset-declaration disclosures, and improving the effectiveness of anti-corruption and AML/CFT frameworks. Sustained implementation of these reforms will support policy effectiveness, strengthen accountability, and enhance business confidence. This should be complemented by efforts to address infrastructure and skills gaps, to attract investment, build resilience, and sustain stronger, more inclusive, private sector-led growth.

“The state’s involvement in Bitcoin-related activities is being unwound while related regulations are enhanced. The transfer of majority ownership and control of Chivo to a private operator is a welcome step, and the residual public-sector exposure should be fully unwound. No further Bitcoin accumulation is expected beyond documented donations. Priority should be given to enhancing the transparency and disclosure of public-sector crypto-asset holdings, improving the regulatory, supervisory, and governance frameworks for crypto asset providers, including through amendments to the Digital Asset Issuance Law.”

Table 1. El Salvador: Selected Economic Indicators**I. Social Indicators**

Rank in UNDP Development Index 2023 (of 193)	132	Population (million, 2025)	6.4
Per capita income (U.S. dollars, 2025)	5,751	Life expectancy at birth in years (2024)	72
Percent of pop. below poverty line (2025)	24.3	Gini index (2023)	40

II. Economic Indicators (percent of GDP, unless otherwise indicated)

	2021	2022	2023	2024	Est. 2025	Proj. 2026	2027
Income and Prices							
Real GDP growth (percent)	11.9	2.9	3.4	2.6	3.9	4.5	4.0
Consumer price inflation (average, percent)	3.5	7.2	4.0	0.9	0.3	2.7	2.1
GDP Deflator (percent)	4.1	6.6	1.9	1.3	1.3	2.7	2.0
Money and Credit							
Credit to the private sector	61.1	62.6	62.4	63.4	64.4	68.0	68.1
Broad money	60.9	58.0	60.0	59.7	64.2	65.8	66.3
Interest rate (time deposits, percent)	4.1	4.5	5.3	5.6	...	...	...
External Sector							
Current account balance	-4.3	-6.7	-1.7	-2.8	-3.5	-4.8	-3.0
Trade balance	-27.3	-30.0	-26.4	-27.2	-30.3	-31.3	-28.9
Transfers (net)	26.1	24.5	24.4	24.1	27.3	26.1	25.0
Foreign direct investment (net)	-1.3	-0.4	-2.4	-2.1	-1.2	-1.7	-1.9
Gross international reserves (mill. of US\$)	3,426	2,696	3,081	3,706	4,814	5,346	6,172
Nonfinancial Public Sector 1/							
Overall balance	-5.5	-2.7	-4.7	-4.6	-2.9	-2.3	-7.7
Primary balance	-1.0	2.0	-0.1	0.0	1.9	2.9	3.7
<i>Of which:</i> tax revenue	19.9	20.4	20.3	21.2	21.9	22.8	22.9
Gross debt 2/	88.0	83.7	83.9	87.7	87.6	85.0	89.2
National Savings and Investment							
Gross capital formation	23.4	24.5	21.5	20.1	26.3	28.2	27.9
Private fixed investment 3/	21.0	18.3	19.3	20.2	24.1	24.5	24.4
National savings	19.0	17.7	19.8	17.4	22.8	23.4	24.9
Private sector	21.4	18.3	20.5	18.2	21.4	21.4	28.6
Net Foreign Assets of the Financial System							
Millions of U.S. dollars	3,424	1,870	1,854	2,392	4,467	4,921	5,585
Memorandum Items							
Nominal GDP (billions of US\$)	29.0	31.9	33.6	34.9	36.7	39.4	41.8

Sources: Central Reserve Bank of El Salvador, Ministry of Finance, and IMF staff estimates.

1/ In 2027, includes the recognition of accrued but unpaid interest to private pension funds (US\$2.3bn)

2/ Nonfinancial public sector, including CIP-A pension bonds.

3/ Excludes changes in inventories.



EL SALVADOR

September 18, 2026

SECOND AND THIRD REVIEWS UNDER THE EXTENDED FUND FACILITY, REQUESTS FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA, AND REPHASING OF ACCESS

EXECUTIVE SUMMARY

Context. El Salvador's economic performance has continued to exceed expectations, supported by sustained improvements in security and rising investor confidence. The fiscal position strengthened further, with a sizable primary surplus in 2025. International reserves have continued to increase supported by strong external inflows, while sovereign spreads have declined to their lowest level since 2011. The Bukele administration remains committed to deepening macroeconomic stability and reforms to sustain higher growth. Presidential, congressional and municipal elections are slated for February 2027.

Program performance. Performance has been mixed notwithstanding delays in some areas, with fiscal consolidation advancing in line with program objectives despite temporary deviations from quantitative performance criteria (QPCs). Temporary spending overruns, delays in official financing, and weaknesses in expenditure, cash, and debt management contributed to misses in the primary balance, NFPS deposits at the BCR, and net domestic borrowing targets. Waivers are being requested based on strong corrective measures, supported by IMF technical assistance, to strengthen public investment monitoring, improve liquidity and cash management, and enhance coordination between budget execution and financial planning. At the same time, liquidity and reserve targets were comfortably met, with banking system liquidity remaining strong and international reserves exceeding program floors. Implementation of the structural reform agenda has been mixed, reflecting its complexity. Important achievements include the enactment of the Financial Stability Law, implementation of liquidity regulations, progress on fiscal transparency and AML/CFT reforms, and the transfer of majority ownership and control of Chivo to a private operator. However, delays in pension and civil service reforms, aspects of the governance agenda, and the crypto-asset regulatory framework have required the rescheduling of several structural benchmarks. The continuous QPC prohibiting voluntary public-sector Bitcoin accumulation has been breached since October 2025 following the receipt of Bitcoin donations from a private firm in the digital asset space. A waiver is being

requested based on corrective actions, including the segregation of the donated Bitcoin into dedicated and identifiable wallets and enhanced transparency measures.

Policy understandings and outlook. Agreement was reached on policies aimed at sustaining fiscal consolidation, strengthening resilience, and enhancing the foundations for stronger and more inclusive growth.

- **Baseline outlook.** Real GDP is expected to expand by 4.5 percent this year and 4.0 in 2027, supported by strong consumption and investment, in part reflecting the confidence effects from the steady reduction in imbalances. Risks remain tilted to the downside from the intensification of geopolitical and climate shocks, underscoring the need for contingency planning.
- **Fiscal policy.** The primary fiscal surplus is projected to rise to 2.9 percent of GDP this year and to 3.7 percent of GDP in 2027 on the back of continued expenditure discipline, prudent management of public investment, and buoyant revenue from tax administration reforms. The consolidation path will be broadly consistent with the Fiscal Responsibility Law target of bringing the debt-to-GDP ratio to 80 percent of GDP by 2030, underpinned by well-sequenced reforms of the pension and civil service systems.
- **Reserve and financial sector policies.** Reserve and liquidity buffers will be further strengthened to improve El Salvador's ability to manage shocks. Financial supervision and regulations will be further enhanced, with emphasis on cooperatives and public banks.
- **Governance, transparency and supply-side reforms.** Reforms will continue to strengthen transparency and governance, as well as to support investment and productivity, including through the adoption of new technologies.
- **Crypto assets.** Following the transfer of majority ownership and control of the government e-wallet, efforts will continue to reduce the state's involvement in Bitcoin-related activities. Bitcoin accumulation will be limited to the amounts of documented donations, while measures are taken to strengthen crypto-asset regulation and governance, and enhance transparency of public-sector crypto-asset holdings.

Program modalities. To better align Fund financing with the implementation of key reforms and the evolution of external financing needs, staff supports the authorities' request for a rephasing of purchases, with no change in overall access.

Approved By

Luis Cubeddu (WHD)
and Geremia Palomba
(SPR).

Discussions took place in San Salvador during August 24–28, 2026. The team comprised Jose Torres (head), Paolo Dudine, Sinem Kilic Celik, Shun Wakimoto (all WHD); Daniel Rodriguez-Delgado (FAD); Edona Reshidi (MCM); Paola Ganum (SPR); and Santiago Acosta-Ormaechea, Esmeralda López-Orellana and María José Dominguez (Resident Representative Office). Ms. Mendez and Mr. Monterroso (OED) also joined the discussions. Joe Ue contributed with research assistance, and Millena Machado Damasio (all WHD) supported the team.

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CONTEXT

1. El Salvador's economy has outperformed expectations, while fiscal consolidation has advanced and external buffers have strengthened. Lasting improvements in security and enhanced confidence from the implementation of the IMF-supported program have buoyed private consumption, investment, capital inflows, and remittances, which are helping finance construction-related activities. The primary fiscal balance improved from near balance in 2024 to a surplus of 1.9 percent of GDP in 2025, with international reserves rising by US\$1.1 billion last year. Data through July 2026 suggest that these trends have continued this year. Meanwhile, financing conditions have improved, with sovereign spreads now hovering near 15-year lows (around 230 bps), despite a more complex global backdrop.

2. Recent progress in economic conditions has supported broader improvements in social outcomes and inclusion. Socioeconomic conditions have improved markedly, with the poverty headcount declining by about 20 percent since 2023, accompanied by greater access to health, education, and financial services, including through AI-enabled solutions and other innovations. Sustained improvements in security and confidence have significantly reduced outmigration and encouraged the highly skilled diaspora to invest in and return to the country. Meanwhile, certified investment projects over the past two years are estimated to have directly generated over 9,000 jobs, with substantial indirect benefits. Current investments in health and education are helping build the foundations for sustained and inclusive long-term growth.

3. The Bukele administration remains committed to deepening stabilization and growth reforms under the IMF-supported program. Despite delays in completing the reviews, which largely reflected reform implementation complexities, the authorities plan to continue to build fiscal and external buffers and advance reforms to improve governance and transparency and to sustain the already strong growth performance. They are also committed to continuing to reduce the state's involvement in Bitcoin-related activities and better regulating the crypto asset space. Presidential, legislative, and municipal elections are slated to take place in February 2027, and the likelihood of an incumbent victory remains high.

RECENT DEVELOPMENTS

4. Growth momentum remains strong, with only a limited impact from external shocks thus far. After accelerating to 3.9 percent in 2025, growth momentum has remained strong, with real GDP expanding by 4.8 percent (y/y) in 2026:Q1, supported by robust construction, manufacturing, tourism (Box 1), and other services. Meanwhile, inflation has risen since early 2026 but remains contained, reaching 3.2 percent (y/y) in August, driven mainly by higher oil and fertilizer prices and base effects, broadly mirroring U.S. inflation trends given El Salvador's dollarized economy.

5. The fiscal position has improved markedly under the program. The primary surplus rose from near balance in 2024 to 1.9 percent last year, reflecting buoyant revenues and strong expenditure restraints. The positive revenue performance was broad-based, and supported by tax administration efforts, including the rising adoption of electronic invoicing (Box 2), along with stronger-than-anticipated economic activity. On the expenditure front, wage restraint and hiring controls more than offset higher public investment in priority projects. The fiscal performance has remained generally robust through July 2026, with a cumulative primary surplus of 1.3 percent of annual GDP through July 2026, supported by continued revenue administration gains and expenditure restraint, including as a result of the full pass-through of higher fuel prices to consumers.¹ Meanwhile, higher spending from the launch of the *Quincena 25* benefit program in January² and the rollout of a new AI-supported health initiative (Box 3) were largely offset by reduced current transfers and investment. The NFPS gross debt-to-GDP ratio was generally unchanged during 2025 (to 87.6 percent), despite consolidation of public debt reporting, yet declined on a net basis (after considering the buildup of government bank deposits).³

6. Debt management operations have helped to ease financing burdens, although recent delays in official support have prompted increased reliance on domestic markets. The fiscal deficit was mainly financed through external sources in 2025, with higher-than-envisioned budget support (US\$200 million brought forward from 2026) and an external bond issuance (US\$580 million, which allowed the early repayment of more expensive electricity company obligations for US\$420 million) more than offsetting shortfalls (US\$500 million) in project loan disbursements. Meanwhile, on the domestic front, a successful domestic debt repurchase operation completed in June 2025 helped reduce the stock of domestic debt.⁴ Reliance on domestic debt increased during 2026:H1, however, as IFI budget support stalled, partly owing to delays in completion of the reviews (see Annex 3).

7. The balance of payments has remained generally robust, with strong capital inflows supporting improvements in reserves, despite a higher current account deficit. The current account deficit rose by around US\$300 million in 2025, reflecting less favorable terms of trade and strong domestic investment and consumption. The sharp increase in remittance inflows (19 percent y/y) (Box 4) fueled a robust import expansion (12 percent y/y)—particularly of capital goods—with increased corporate profitability supporting higher dividend payments and profit repatriation

¹ Retail fuel prices are adjusted every two weeks, allowing changes in international oil prices to be passed through to consumers and resulting in no material fiscal impact.

² Under this permanent [program](#), established in January 2026, private and public-sector employees earning less than US\$1,500 per month receive a bonus equivalent to half a month's salary each January. Participation by private employers was voluntary in 2026 but will become mandatory from 2027 onward.

³ Public debt ratios for 2023 and 2024 were revised upward by about 1.3 percentage points of GDP following the BCR's historical GDP data revisions, undertaken in line with its established statistical revision policies. The authorities also began to report consolidated public debt statistics, netting out intra-government bond holdings of other NFPS entities (FOVIAL and CEL), thus reducing measured public debt in 2023, 2024 and 2025 by about 0.8 percent of GDP.

⁴ The authorities bought back US\$132 million of domestic debt on June 9, 2025, and US\$111 million on June 26, 2025.

abroad. The wider current account deficit was more than financed by inflows from official and private sources, although part of these inflows remains unidentified, as reflected in sizable net errors and omissions.⁵ The strong balance of payments allowed robust private deposit growth, reserve assets increased by around US\$1 billion during 2025, broadly in line with the projections at program approval despite changes in the level of public external financing, with coverage increasing to 2.8 months of imports.

Preliminary data through

2026:Q1 suggests a further rise in the current account deficit, driven by a surge in oil imports (25 percent y/y) amid higher world oil and fertilizer prices and some

deceleration in remittance inflows (3.7 percent y/y), although a pickup in tourism activity has boosted services exports.⁶ Reserves accumulation has continued this year, although it has moderated, mainly reflecting delays in official financing against the backdrop of strong, though not fully identified, financial inflows.

Text Table 1. El Salvador: Balance of Payments ^{1/} (In Billions of U.S. Dollars, Unless Otherwise Indicated)			
	2024	2025	2026Q1
Current Account	-1.0	-1.3	-0.6
Merchandise trade balance	-9.5	-11.1	-2.7
Export of goods (f.o.b.)	5.4	5.6	1.4
Import of goods (f.o.b.)	14.9	16.7	4.1
Public external interest payments	0.9	1.0	0.2
Remittances	8.5	10.1	2.4
Others	-0.9	-1.3	-0.5
Capital Account, net	0.3	0.2	0.04
Financial Account (- means financing sources)	-1.3	-0.4	0.01
Foreign direct investment, net	-0.7	-0.4	-0.2
Change in Reserve Assets (+ = increase)	0.6	1.0	0.2
Public net external borrowing excl. IMF (- means borrowing)	-1.2	-1.3	-0.1
Public external borrowing excl. IMF (- means borrowing)	-3.5	-2.3	-0.2
Public debt amortization	2.3	1.0	0.1
IMF Financing	0.0	-0.2	0.0
Other flows (- means other financing sources)	0.1	0.6	0.2
Errors and Omissions, net	-0.6	0.7	0.6
Memorandum Items			
Gross international reserves (US\$ millions, eop)	3.7	4.8	5.0
In months of imports	2.4	2.8	2.6
Sources: Central Reserve Bank of El Salvador and IMF staff estimates.			
1/ Presented in BPM6 format with preliminary 2026Q1 data.			

8. The banking sector remains sound, supported by strong capital buffers, ample liquidity conditions, and robust profitability. The capital adequacy ratio stood at 15.4 percent in July 2026, well above the regulatory minimum of 12 percent, while liquidity buffers have increased further, with total reserves (required and excess) rising to 17.7 percent of deposits.⁷ Profitability also remains robust, with return on equity and return on assets standing at 14.3 percent and 1.5 percent in July 2026, respectively. Banks' sovereign exposure has continued to decline gradually, with holdings of government securities falling to 9.5 percent of assets in July 2026 (from 11.9 percent in September 2024), in the context of robust credit growth (7.9 percent y/y on average until July), driven primarily by lending to the construction sector. Asset quality remains strong thus far, with nonperforming loans standing at 1.6 percent of gross loans and provisioning coverage reaching

⁵ The elevated net errors and omissions likely reflect a combination of factors, including delays in data provision by companies, incomplete coverage of deposits held abroad, crypto related investments by the private sector, and measurement challenges related to activities in the digital-asset sector. These challenges are expected to be addressed once the ongoing economic census is finalized. The IMF recently received a request for technical assistance on External Sector Statistics (ESS) and plans to continue supporting efforts to address the high level of errors and omissions, among other ESS topics.

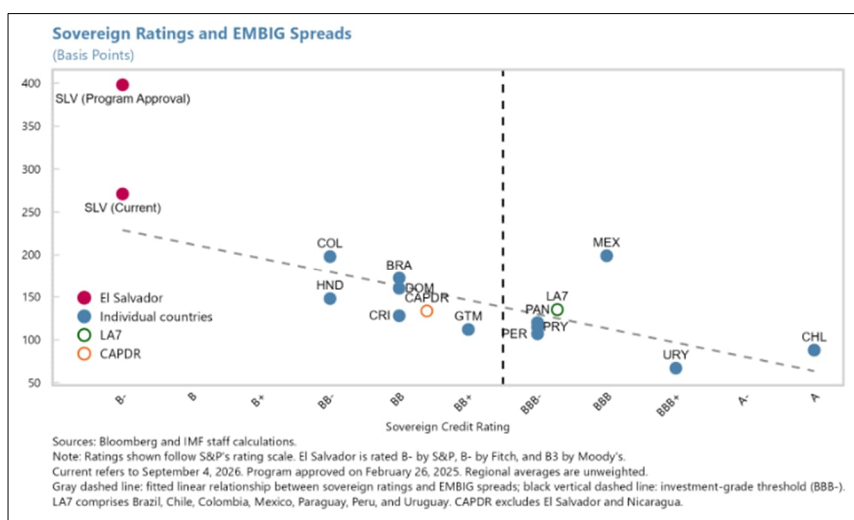
⁶ After rising by around 5 percent during 2025, tourism activity strengthened further in 2026:Q1, with arrivals rising by 34 percent (y/y) and tourism spending by 19 percent (y/y).

⁷ Banks also maintain additional liquidity buffers beyond regulatory requirements, including cash, near-cash items payable by other banks, and demand deposits held with domestic and foreign banks. These supplementary liquidity holdings amounted to 5.1 percent of deposits at end-June 2026.

about 111 percent.⁸ Finally, funding conditions also improved, with private deposits increasing by almost 15 percent (y/y), largely reflecting strong remittance inflows.

9. The use of Bitcoin by the private sector remains limited. The use of Bitcoin (and other crypto-assets) remains limited,⁹ both for transactions and remittance transfers. While the government's involvement in Bitcoin activities is being gradually unwound (see Box 5), although at a slower pace than envisaged (see ¶27), the ecosystem of digital asset providers has grown, with major global crypto groups now operating and incorporated in the country, drawn by a favorable, yet still evolving, regulatory framework (see also ¶28).

10. Despite improvements, fiscal and external vulnerabilities remain elevated, suggesting that sustained progress in addressing imbalances remains a priority. Market sentiment remains fragile, with spreads well above peers, reflecting El Salvador's elevated public debt levels (at close to 90 percent of GDP, compared to an average of about 50 percent for the rest of CAPDR) and limited room to address frequent external shocks. The external position in 2025 is assessed to be weaker than the level implied by fundamentals and desired policies (Annex II), reflecting a deeply negative NIIP, still low reserve coverage, and fragile access to international capital markets.



PROGRAM PERFORMANCE

11. Fiscal consolidation has generally advanced in line with program objectives, with temporary deviations that are being addressed.

- The cumulative primary balance through end-June 2025 fell short of the QPC floor, reflecting temporary capital spending overruns and a faster-than-anticipated reduction in domestic arrears, which resulted in an overperformance relative to the QPC on zero net accumulation of

⁸ Nonbank financial institutions continue to play a limited role in the financial system, accounting for about 2 percent of total private-sector credit and 6 percent of total deposits.

⁹ According to the Chainalysis Crypto Adoption Index, El Salvador ranks 89th globally in crypto adoption, well below high-inflation economies such as Venezuela, Argentina, and Bolivia, as well as other dollarized economies (Ecuador).

arrears.¹⁰ The end-2025 primary balance reached 1.9 percent of GDP (as programmed), but fell short of the adjusted end-2025 QPC by a small margin (US\$78 million), as most of the revenue overperformance was used to execute priority social and infrastructure spending. Fiscal performance has remained broadly on track during 2026, although some front-loading of wage (*Quincena 25*) and health spending led to a lower-than-programmed primary balance through end-March. This has been addressed through measures to strengthen the monitoring of public investment execution across NFPS entities, tighten control over liquidity, payables, and arrears, and closely coordinate budget projections and execution across entities.

- The QPC on NFPS deposits at the BCR was missed at end-December 2025, as SOEs and other general government entities accumulated about US\$410 million in financial assets and deposits in commercial banks, against a program assumption of no accumulation. With the support of IMF technical assistance, measures are being identified (with SBs to be identified at the next review) to slow the accumulation of deposits in commercial banks and allow deposits at the BCR to reach the level envisioned for end-2025 by the end of this year. In fact, NFPS deposits at the BCR have been recovering in 2026, increasing by US\$413 million vis-à-vis end-2025 through end-August.
- The QPC on net domestic borrowing was missed at end-2025 by around US\$100 million, reflecting the need to avoid disrupting capital spending execution given the much lower-than-anticipated official external project financing, which continued through 2026:H1 (net domestic borrowing reached about US\$600 million in 2026:H1; see also Annex III). Corrective measures supported by IMF technical assistance are underway to improve liquidity and debt management, and permit a better alignment of financing, budget execution plans, and accumulation of assets and deposits. Coordination with other IFIs is also being strengthened.
- The IT on social and investment spending consistently exceeded their respective IT floors. The wage bill ceiling (memo item), after being met through end-2025, was missed in March 2026 following the payment of the *Quincena 25* salary bonus, although efforts are underway to correct the deviation.

12. Liquidity and reserve targets were comfortably met. Required liquid assets of depository corporations stood at 15.7 percent of total deposits at end-July 2026, above the QPC floor at both end-June and end-December 2025, as well as above the end-March 2026 IT floor.¹¹ Gross international reserves reached roughly US\$5,100 million at end-July 2026, well above the IT floor and in line with the end-2026 target. The continuous PC (standard to all Fund arrangements) related to Article VIII obligations has been met.

¹⁰ The stock of domestic arrears declined from US\$255 million at end-2024 to US\$80 million at end-2025. It has increased modestly to around US\$100 million by end-June 2026. The objective of the program is to bring the stock of domestic arrears to US\$20 million by end-2027.

¹¹ Required reserves held at the BCR amounted to 12.7 percent of total deposits, while banks held an additional 3 percent of deposits in high-quality liquid (HQL) assets. About three-quarters of these assets were held in securities, with the remainder split evenly between deposits at foreign banks and at the BCR. Banks also held excess reserves at the BCR and excess HQL assets equivalent to 1.46 and 0.5 percent of total deposits, respectively.

13. However, the continuous QPC prohibiting voluntary public-sector Bitcoin accumulation was breached. As of mid-September 2026, around 1,420 Bitcoin have been accumulated since the first review (valued at roughly US\$110 million at current prices), of which 1,090 were accumulated in one transaction on November 17, 2025, and the rest at the pace of one Bitcoin per day starting on October 17, 2025.¹² According to documentation provided by the authorities to staff, these accumulations reflected donations by a private firm in the digital asset space. As a corrective measure, the authorities will segregate these donations into dedicated and identifiable wallets communicated to staff (prior action) and the donated Bitcoin will remain unspent for the remainder of the program. No further Bitcoin accumulation is expected beyond the donations for which documentation has been provided. There has been no issuance or guarantee of Bitcoin-denominated, indexed, or tokenized debt instruments.

14. Performance on Structural Benchmarks (SBs) has continued, with delays largely reflecting reform reprioritization and complexities of the process.

- Financial sector. Key financial sector reforms have been implemented, with IMF TA support, including the Financial Stability Law (end-September 2025 SB), regulations establishing the LCR and NSFR frameworks (end-December 2025 SB), and a signed MOU outlining the provision of government support to the ongoing recapitalization plan for the BCR (end-December 2025 SB).
- Governance and transparency. The AML/CFT law (August 2025 SB) was enacted, although additional legislation is needed to strengthen the beneficial ownership framework. Fiscal accounts are now published with clear reporting of pension-related stocks and flows, and the approved 2025 budget together with the associated Medium-Term Fiscal Framework (MTFF) were also published (October 2025 SB). Asset declarations of high-level officials were published, but not fully in line with the anti-corruption law (end-June 2026, SB).
- Pensions. An actuarial pension study, prepared with IMF TA, was published (September 2025 SB) highlighting the medium and long-term financial challenges facing the system. The publication of a pension reform proposal (February 10 2026, SB), has been moved to end-June 2027 to better align it with IMF TA recommendations as part of a three-pronged package to (i) recognize liabilities towards private pension funds administrators (AFPs) arising from accrued but suspended interest payments; (ii) improve pension fund liquidity by gradually reducing pension debt issuances; and (iii) implement a parametric pension reform to ensure its long-run sustainability (see ¶21 and Box 6).
- Civil service reform. Preparation of a public employment reform plan (September 2025 SB) has been moved to mid-2027 (see ¶22) as the authorities have prioritized other reforms to improve the efficiency of health and education services. Fund TA will help identify key drivers of the wage bill, compare it against peer countries, and propose ways to rationalize it.

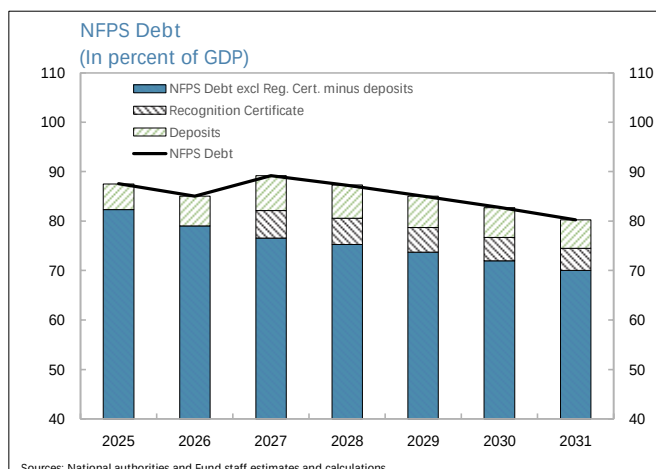
¹² On August 30, 2025, around 1,840 Bitcoin were accumulated, but this accumulation was subsequently unwound.

- Crypto-asset risks and regulations. Majority ownership and control of Chivo were transferred to a private operator (see Box 5), while the public sector retained custody of customer assets to provide adequate safeguard and oversight (July 2025 SB). However, progress has been slower in other areas: (i) although the Court of Accounts' audited financial statements of Fidebitcoin and the Bitcoin Administration Agency (AAB) have been recently published, Chivo's audited financial statements have yet to be published (July 2025 SB; prior action); (ii) while initial steps were taken to disclose Bitcoin wallets and associated holdings (June 2025 SB), the disclosure has not been updated (December 2025 SB, prior action); and (iii) delays persist, partly due to implementation capacity constraints, in the preparation of a new regulatory and supervisory framework for digital assets (December 15, 2025 SB), and in establishing a governance framework for public crypto-asset holdings (December 2025 SB).

OUTLOOK AND RISKS

15. Under the baseline scenario, the outlook is expected to continue to improve as fiscal and external imbalances further narrow.

- Real GDP is projected to expand by 4.5 percent this year, supported by robust construction, manufacturing, tourism, and other services as well as remittances, notwithstanding temporary headwinds from higher energy prices and climate-related shocks (El Niño). The expansion continues to be underpinned by sustained improvements in security and confidence, which are boosting private consumption and investment. Growth is projected to moderate to 4.0 percent in 2027 and to gradually converge toward its long-term potential of about 3.3 percent by 2028, well above El Salvador's average growth rate over the past two decades (2.4 percent) supported by productivity gains from improved security, higher private and public investment, and ongoing structural reforms.
- Inflation is expected to remain elevated but contained in 2026, reflecting the oil price shock and the effects of El Niño, which may put upward pressure on food prices (Annex I). Annual average inflation is projected to reach 2.7 percent in 2026, before gradually converging to around 1¾ percent beginning in 2028, broadly in line with U.S. inflation.
- The primary fiscal surplus is projected to continue improving—reaching 2.9 percent of GDP in 2026 and 3.7 percent of GDP in 2027—supported by measures to preserve gains in tax administration (Box 2) and continued expenditure restraint, including wage-bill discipline, rationalization of goods and services spending, and investment prioritization. Following a temporary increase in public debt in 2027 due to



the recognition of unpaid interest obligations to private pension funds accrued during 2023–27 (Box 6), public debt is projected to resume a firm downward trajectory, consistent with the Fiscal Sustainability Law target of reducing public debt toward 80 percent of GDP around 2030 (Annex IV), while the planned accumulation of government deposits strengthens liquidity buffers and fiscal resilience.¹³ The primary balance will adjust as needed to meet the 2030 debt targets.

- The current account deficit is projected to widen to about 4.8 percent of GDP this year, largely reflecting less favorable terms of trade, although this effect is expected to dissipate as world energy and fertilizer prices normalize. The projection also assumes some moderation in remittance inflows as precautionary front-loading associated with tighter immigration policies subsides. Over the medium term, the current account deficit is expected to narrow and stabilize at about 1.5 percent of GDP, while international reserves are rebuilt (to around 3.4 months of imports by 2031) supported by a gradual increase in FDI inflows and improved market access following 2027.

16. Downside risks to the outlook remain elevated. In the near term, a re-escalation of the war in the Middle East could trigger renewed global energy price pressures, while a prolonged and severe El Niño episode could adversely affect agricultural production into next year, with negative implications for food security and the electricity sector. Tighter financial conditions, including from rising global public debt, could constrain market access and raise financing costs, while tighter immigration policies could also accelerate migrant returns and result in a quicker reduction in remittance inflows. These shocks could lead to weaker growth, slower reserve accumulation, and a deterioration in fiscal outcomes, although their impact could be mitigated by stronger labor supply (Box 7 and Annex V). On the upside, new trade agreements, further gains from improved security conditions, and steady program implementation could boost FDI inflows and exports, while also bringing forward international market access at even more favorable terms.

17. Against the backdrop of a more uncertain outlook, contingency planning will remain essential. The authorities will need to continue building fiscal and external buffers, and take advantage of favorable economic conditions to overperform on the fiscal and reserve accumulation targets, and avoid election-related spending pressures. Given El Salvador's dollarization regime, further deterioration in the terms of trade and higher-for-longer global longer-term interest rates should be associated with stronger fiscal efforts. Similarly, any weakening in remittance inflows should be closely monitored, especially if imports do not adjust accordingly. The authorities agreed on contingency plans to safeguard the program's broader objectives and the target of reducing debt toward 80 percent of GDP by 2030 if these risks materialize, including by freezing spending authorizations, cutting nonpriority spending, and strengthening revenue administration measures, such as intensified targeted, risk-based compliance and enforcement efforts.

¹³ Absent the recognition of accrued pension liabilities, the debt-to-GDP ratio would be below 80 percent by 2030.

POLICY UNDERSTANDINGS

A. Fiscal and Financing Policies

18. Efforts will persist to keep the fiscal program on track during 2026–27. Strong economic activity, improved security conditions, and continued revenue administration efforts have continued to support robust tax revenue performance, creating room for priority expenditure while advancing fiscal consolidation. Data through July suggest that the end-year primary surplus target of 2.9 percent of GDP remains well within reach, and the authorities have agreed to moderate the pace of primary expenditure growth during the remainder of the year. In particular, there is recognition that monthly public investment spending would need to be about 15 percent lower, while election-related spending pressures are avoided.¹⁴ The authorities have already identified savings of about 0.7 percent of GDP from tightened controls and prioritization of investment projects during 2026H2. Steps are underway aimed at operationalizing the public investment prioritization methodology developed with recent IMF TA, maintaining tight control over payables, strengthening liquidity coordination across public-sector entities, and saving part of any revenue overperformance, in line with program commitments. The 2027 Budget Proposal (prior action) will include measures to raise the primary surplus to 3.7 percent of GDP through further prioritization of public investment, limits on wage increases for higher-paid employees, and continued efforts to preserve and deepen gains in tax administration. The budget will also reflect the implications of recognizing accrued but unpaid pension-related interest. Approval of the 2027 Budget by the Legislative Assembly is expected by end-December 2026 (end-December 2026, proposed SB).

19. Beyond next year, the authorities remain committed to safeguarding medium-term fiscal sustainability. The upcoming publication of the MTFF (end-January 2027, proposed SB), accompanying the approved 2027 Budget, will outline the fiscal path to reduce public debt toward 80 percent of GDP by 2030. This is expected to be achieved through continued restraint in the wage bill and spending on goods and services, which would also help protect priority investment and social spending over the medium term. The upcoming pension and civil service reforms will also help underpin the adjustment (see below), while ongoing initiatives to leverage AI-based solutions in

Fiscal Adjustment 2025–27 (In Percent of GDP)				
	2025	2026	2027	Difference: 2027-2026
Tax revenue	22.1	22.8	22.9	0.1
Total primary expenditure	25.9	25.5	24.8	-0.7
o.w.: Wages and salaries	10.5	10.4	10.2	-0.3
o.w.: Goods and services	5.8	6.1	6.0	-0.1
o.w.: Public Investment	4.3	4.3	4.0	-0.3
o.w.: Current transfers	0.7	0.6	0.6	0.0
Primary balance	1.9	2.9	3.7	0.8
Sources: National authorities and Fund staff estimates and projections.				

¹⁴ The oil price shock has thus far been passed through to consumers. This contrasts with 2022, when the VAT on gasoline was temporarily reduced. Under the current tariff-smoothing mechanism, no fiscal impact is currently envisaged from higher electricity generation costs, as electricity companies are required to absorb these costs temporarily.

health and education will support improvements in the delivery of public services. Telemedicine is expected to expand access to quality health services, including diagnostic services (Box 3), while the nationwide expansion of education technology is also expected to support teachers and students in achieving better learning outcomes.¹⁵

20. The financing strategy will require adjustments to preserve financial buffers. Given lower-than-expected net external financing (over US\$1.1 billion over 2025–27, see Table),¹⁶ reliance on net domestic financing will be higher than anticipated. While improved growth prospects and stronger-than-programmed bank deposit growth and liquidity have still permitted a gradual reduction in the domestic debt-to-GDP ratio and in the bank-sovereign nexus, additional efforts will be undertaken to strengthen financial buffers and improve the public debt profile. As a first step, efforts will continue to rebuild government deposits at the BCR (reaching end-2025 levels by end-2026) and slow the pace of deposit accumulation by decentralized government agencies in commercial banks (see also ¶11). In addition, and building on the significant improvement in sovereign spreads, the authorities will publish along with the MTFF a new Medium-Term Debt Strategy (MTDS; end-January 2027, proposed SB) to strengthen the government's debt management capacity and improve communication with stakeholders with the view of re-accessing international capital markets at even more favorable terms. Finally, coordination and engagement with other IFIs will be stepped up to mobilize additional support and avoid unexpected shortfalls.

El Salvador: Changes to Budget Financing (In Millions of U.S. Dollars)						
	2025		2026		2027	
	Program Approval	Actual	Program Approval	Proj.	Program Approval	Proj.
Overall deficit 1/	-1,240	-1,050	-799	-900	-701	-881
Of which: NFPS primary balance	700	705	1,118	1,125	1,497	1,525
External financing	1,671	1,546	1,383	676	1,292	971
IMF	305	233	200	140	201	212
Other official	2,050	1,764	1,693	1,030	1,450	1,533
Other (net of repayments)	-684	-451	-510	-494	-359	-774
Domestic financing	-431	-495	-584	223	-592	-90
Net domestic borrowing (debt issuance minus amortization) 1/	-331	-226	-384	669	-442	480
Deposits and financial assets (-, accumulation)	-100	-269	-200	-446	-150	-570
BCR	-100	140	-200	-240	-150	-366
Commercial banks and financial institutions	0	-409	0	-206	0	-204
Memorandum items	(Percent of GDP, unless otherwise indicated)					
Gross Debt	87.6	87.6	86.3	85.0	84.4	89.2
External	39.7	39.5	41.5	38.6	42.8	38.7
Domestic	47.9	48.0	44.7	46.5	41.6	50.5
of which: associated with the recognition of grace-period pension liabilities	...	...	...	...	...	5.6
Deposits at the BCR and at commercial banks (billions of US dollars)	1.9	1.9	2.1	2.4	2.2	2.9
In percent of GDP	5.1	5.2	5.4	6.0	5.5	7.0
Total debt, net of deposits	82.5	82.3	80.9	79.0	78.8	82.1
Total debt, net of deposits and net of recognition of grace-period liabilities	...	...	...	...	...	76.6
1/ Excluding the rollover operation associated with the recognition, in 2027, of accrued but unpaid interest payments owed to private pension funds ("the grace period").						

¹⁵ Average PISA scores from students participating in a pilot of AI-based tutoring launched in 171 schools have recently shown a significant improvement in learning outcomes. The authorities plan to expand the initiative nationwide over the next 18 months as part of their broader strategy to strengthen human capital.

¹⁶ Shortfalls largely reflect delays in meeting budget-support conditionality, and changes in the financing modalities of some multilateral institutions. These have been partly offset by higher project and program-for-results financing.

21. Understandings were reached on a three-pronged strategy to improve the short-term liquidity and long-term sustainability of the pension system. Specifically, the approach includes: (i) immediate recognition of accrued but unpaid interest obligations to pension funds (US\$2.3 billion), due in April 2027;¹⁷ (ii) the establishment of a detailed plan to limit issuance of Pension Obligation Certificates (COPs), progressively transferring responsibility for servicing pension debt to the Treasury, and gradually improving the liquidity of AFPs (end-October 2027, proposed SB);¹⁸ and (iii) the preparation and submission to the Legislative Assembly of a parametric pension reform, consistent with IMF TA recommendations, to improve the long-term sustainability of the pension system and reduce explicit unfunded pension subsidies (end-June 2027, proposed SB; previously February 10, 2026), seeking enactment by end-September 2027 (end-September 2027, proposed SB). The revised timeline would allow the recognition of pension-related liabilities and the broader pension reform package to be presented as a single, coherent reform strategy (Box 6).

22. Fiscal consolidation will also be supported by efforts to address El Salvador's high-wage bill more systematically. There is a shared recognition that a comprehensive civil service reform is needed to reduce the wage bill, modernize human resource management, strengthen performance and accountability frameworks, align the civil service structure with public service delivery needs, and improve the quality and efficiency of public service delivery. An implementation roadmap, informed by IMF TA and supported by the World Bank, will be published by end-June 2027 (end-June 2027, proposed SB, previously end-September 2025, modified), and submission of the reform to the Legislative Assembly is expected by end-2027 (end-December 2027, proposed SB), to be implemented starting in 2028.

23. Priority will also be given to initiatives aimed at strengthening treasury operations, NFPS cash management, and coordination between budget execution and financial planning. Supported in part by IMF TA, the authorities are committed to implement three parallel workstreams: (i) establishing a strategy and operational protocol for the management and gradual clearance of payables and domestic arrears; (ii) improving cash management coordination across NFPS entities to reduce liquidity-holding costs; and (iii) strengthening expenditure controls and transparency.

B. Financial Stability

24. Efforts will continue in preserving strong liquidity and reserve buffers. The authorities will maintain strong liquidity buffers, particularly those held at the BCR, to preserve El Salvador's resilience and capacity to absorb shocks, especially those stemming from deposit and remittance volatility. Regulatory liquidity requirements will remain above 15 percent (with 12 percent in required reserves and 3 percent in high-quality liquid assets),¹⁹ and a comprehensive review of

¹⁷ The grace period on interest payments expires in April 2027.

¹⁸ Transferring the responsibility for servicing pension debt from the ISP to the Treasury does not affect fiscal accounts since both entities are part of the consolidated NFPS.

¹⁹ The requirement to hold high-quality liquid assets was phased in gradually, rising from 1 percent in mid-2025 to 3 percent by mid-2026.

liquidity stress-testing frameworks will be conducted, supported by IMF TA, to assess their general appropriateness and improve risk monitoring and preparedness.

25. Financial sector oversight and regulations will be further strengthened, consistent with best practices. Following enactment of the new Financial Stability Law (September 2025 SB), which strengthened the frameworks for early intervention, resolution, crisis management, and deposit insurance, the focus is shifting towards implementation and enhancing supervision. IMF TA has been requested to improve the Superintendency of the Financial System's (SSF) institutional independence, accountability, and risk-based supervisory capacity in line with the Basel Core Principles. In addition, the regulatory and supervisory framework for cooperatives, especially those operating outside the *Superintendencia del Sistema Financiero's* (SSF) supervisory perimeter, is planned to be strengthened, while work is underway to revise the law governing the Agricultural Development Bank. Revisions will be submitted to the Legislative Assembly by end-April 2027 (end-April 2027, proposed SB), with the aim of aligning the supervisory, resolution, and crisis-management frameworks for public banks with the same principles applied to private banks as envisaged in the Financial Stability Law.

26. Implementation of the remaining safeguards assessment recommendations is advancing. Progress has been made in several areas, including: (i) strengthening independent oversight and internal audit arrangements; (ii) signing an MOU between the Ministry of Finance and the BCR governing financial flows and recapitalization commitments; and (iii) advancing preparations for the transition to International Financial Reporting Standards (IFRS), which will be completed by end-March 2027 (end-March 2027, proposed SB). The main outstanding reform remains the modernization of the BCR Organic Law to strengthen its mandate, governance, autonomy, and financial framework in line with international good practice. The authorities have requested IMF TA to support this work and have agreed to submit a new BCR Organic Law to the Legislative Assembly by 2028:Q1 (end-March 2028, proposed SB).

C. Crypto Risks and Regulation

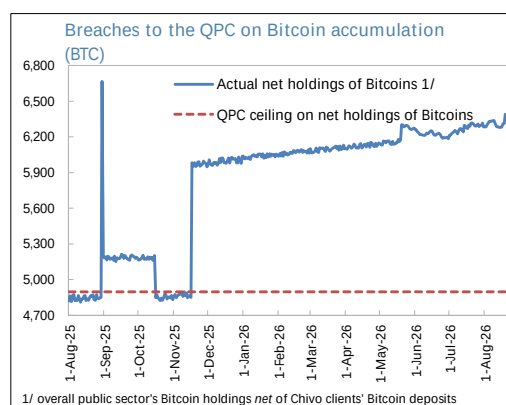
27. Following the transfer of ownership and control of Chivo, focus will now be placed on further enhancing transparency and fully unwinding the state's involvement. While the recent transaction relieved the government of Chivo's operating costs and commercial risks, it left the public sector exposed to custodial, liquidity, and operational risks associated with safeguarding customer assets (see Box 5). In tandem with enhancements to the supervisory framework for crypto-assets (see below), there is joint recognition that consideration should be given to the eventual exit of the government's custodial role over Chivo clients' assets, consistent with the program objective of unwinding the public sector's involvement in Chivo.

28. In addition, efforts will continue to improve the supervision of digital assets and the governance of public-sector crypto-asset holdings. Preparations for amendments to the Digital Assets Issuance Law are well advanced, with support from IMF TA, which seek to strengthen the regulatory framework for crypto-asset activities and to reassess the current dual supervisory

structure.²⁰ Submission of the amended law to the Legislative Assembly will take place by end April 2027 (proposed SB). In addition, the authorities are working towards establishing a comprehensive governance framework for public-sector crypto-asset holdings that clarifies the mandate and responsibilities of the *Agencia Administradora de Fondos Bitcoin* (AAB) and ensures the application of appropriate transparency, accountability, and risk-management safeguards (end-April 2027, proposed SB). In addition, given the Bitcoin Strategic Reserve's (BSR) custodial role over Chivo end-user assets, the authorities will publish transparent, timely, and comprehensive disclosures of public-sector Bitcoin and other crypto-asset holdings (continuous, proposed SB).

29. Bitcoin accumulation will be ringfenced to the documented donations, while reporting and transparency of public-sector crypto-asset holdings is enhanced.

- The authorities have provided documentation indicating that the Bitcoin accumulated since the first review (over 1,400 Bitcoin, valued at approximately US\$110 million at current prices) reflects two donations from a private firm in the digital asset space: a donation of 1,090 Bitcoin received in November 2025 and a US\$40 million donation, which is being executed gradually through daily transfers of one Bitcoin that began in October 2025. Transfers associated with the second documented donation will continue until the US\$40 million cap is reached.



- The donated Bitcoin will be segregated into dedicated and identifiable wallets, kept separate from other Bitcoin owned by the government or held in custody by the BSR (prior action), and will remain unspent for the remainder of the program. In addition, inventories of all hot and cold wallet addresses controlled by the public sector, both as of end-December 2025 and end-August 2026, will be provided to staff (prior action). Beginning at end-December 2026 and at each quarter-end thereafter, signed statements will continue to be shared with staff listing all public-sector wallet addresses and identifying holdings of Bitcoin and other crypto-assets, clearly distinguishing public-sector holdings from assets held in custody for Chivo users or other end-users (end of each quarter starting with end-December 2026, proposed SB).
- Going forward, no further Bitcoin accumulation by the public sector is envisaged during the remainder of the program beyond the donations for which supporting documentation has already been provided, which will remain unspent. Should additional donations or unrequested transfers be contemplated, the authorities will notify staff in advance and publish all related documentation before these are accepted or executed, and keep the Bitcoin received in segregated and clearly identified wallets. The documents related to the donations or transfers would need to include information identifying the donor (or beneficial owner of the donating

²⁰ Bitcoin-related activities are overseen by the BCR and the SSF, while other crypto-asset supervision falls under the supervisory remit of the National Commission of Digital Assets.

legal entity), the wallets involved, the government's intended use of the assets, a statement confirming that the donor would not receive legal, tax, or regulatory benefits beyond those available under existing laws, and a statement of compliance with AML/CFT and conflict of interest frameworks and with other applicable domestic laws and regulations.

D. Governance and Structural Reform Agenda

30. Reforms will continue to deepen fiscal transparency, governance, and accountability. Debt statistics are being improved, including through the reporting of intra-NFPS holdings and publication of fiscal statistics with clearly disaggregated pension costs and pension debt (continuous SB). Financial statements for all SOE subsidiaries will be published, starting in December 2026 covering one third of entities (proposed SBs), with the next statement published by end-December 2027 covering two-thirds of entities (proposed SBs). In addition, fiscal reporting will be gradually migrated to GFSM 2014 standards, beginning with the adoption of GFSM 2014 reporting for monthly consolidated central government²¹ fiscal data starting end-December 2027 (proposed SB) and further expanding to include social security institutions starting end-March 2028 (proposed SB).²² Following enactment of the new AML/CFT law in October 2025, focus will be given to safeguard its effective implementation. Specifically, legal requirements will be introduced to strengthen the transparency and availability of beneficial ownership information for legal persons and legal arrangements, to ensure full compliance with FATF Recommendations 24 and 25 (end-December 2026, proposed SB). In addition, efforts will continue to operationalize the National Anti-Corruption Center envisaged under the Anti-Corruption Law, and enhancements will be made to asset declarations of high-level officials by publishing information on fixed and current assets, liabilities, and summary information on acquisitions and transfers of movable and immovable property, covering the declarant and family members (end-June 2027, proposed SB).

31. Priority will continue to be given to enhancing the investment climate. Efforts to lower administrative burden are reducing the cost of doing business—162 government services are now available online, benefiting over 450,000 users, and more than 160 trade facilitation measures have been rolled out across customs, borders, and logistics corridors. The authorities have also developed a Long-Term Growth Strategy, with the support of MDBs, and its implementation is expected to further attract private investment in strategic sectors such as tourism, housing, digitalization, and infrastructure. To address infrastructure gaps, work is ongoing to develop a new Private-Public Partnership (PPP) legal framework, with World Bank support, to facilitate private participation in infrastructure development and mobilize additional capital, including to boost renewable energy capacity. Increased focus is being given to the implementation of the recently launched National AI Strategy, recognizing that leveraging AI's potential will require adequate regulation and deeper investment in human capital and infrastructure.

²¹ Consolidated central government refers to the consolidation of the budgetary central government and the extrabudgetary central government, as defined in Appendix A.

²² IMF TA has supported efforts to modernize treasury management, advance the modularization of the Financial Management Information System, and assess progress in implementing recommendations from the Public Investment Management Assessment.

PROGRAM MODALITIES

32. Program design. To better align Fund financing with the implementation of key reforms and the evolution of external financing needs, a rephasing of purchases, with no change in access, is being requested. The revised phasing would remain backloaded, reflecting the adjusted timetable for the structural reform agenda. Performance criteria for subsequent semiannual reviews would continue to be assessed against continuous performance criteria and end-December and end-June test dates, except for the seventh review, which would be based on end-March 2028 targets (Table 11). Finally, new targets are proposed for the period from end-December 2026 through end-December 2027 (Table 2, MEFP).

33. Program performance. The authorities are requesting waivers of nonobservance for the QPCs on: (i) the NFPS primary balance, on the basis of agreed corrective actions including the publication of the Executive 2027 Budget Proposal consistent with program fiscal targets (prior action) and measures to strengthen the monitoring of public investment execution across all NFPS entities, tighten control over payables and arrears, and closely coordinate budget projections and execution across entities (see ¶18); (ii) accumulation of NFPS deposits at the BCR and net NFPS domestic borrowing, on the basis of corrective actions, supported by IMF TA, to improve liquidity and debt management, and better align budget execution and financing planning; in support of the request for a waiver related to deposits, ¶23 outlines authorities ongoing efforts to strengthen PFM practices and (iii) Bitcoin accumulation, on the basis of corrective actions including the segregation of Bitcoin recently received through documented donations into separate and identifiable wallets (prior action), the commitment that donated Bitcoin will remain unspent for the remainder of the program (MEFP ¶24), the provision of the inventories of all hot and cold wallet addresses under the control of the public sector as of end-December 2025 and end-August 2026 (prior action) (see ¶29), and the quarterly provision of all hot and cold wallet addresses under the control of the public sector (proposed recurrent SB). The authorities are also requesting modifications of the TMU to strengthen program design and facilitate monitoring by: (i) targeting the *stock* of domestic arrears of the consolidated central government rather than their *net change* beginning with the end-December 2026 test date; (ii) allowing specified shortfalls in project financing to be partially offset through a lower floor on the stock of NFPS deposits at the BCR; (iii) excluding any domestic financing associated with the recognition of accrued but unpaid obligations to private pension funds from the ceiling on NFPS net domestic borrowing during 2027; and (iv) allowing Bitcoin accumulation arising from properly documented and publicly disclosed donations that comply with AML/CFT and conflict of interest frameworks, for the purposes of the continuous QPC on the no voluntary accumulation of Bitcoin. Consistent with the program objectives, voluntary accumulation of Bitcoin that involves the use of public funds or increases the government's balance sheet vulnerabilities continues to be disallowed, while accumulation from donations that comply with the agreed safeguards can be waived.

34. Structural benchmarks. It is proposed that: (i) the publication of the pension reform be moved to end-June 2027 to better align it with IMF TA recommendations; (ii) the preparation of a roadmap for a comprehensive civil service reform be reset to end-June 2027; and (iii) the submission

of the law strengthening regulation and supervision of crypto-asset activities and markets and the establishment of a comprehensive governance framework for public-sector crypto-asset holdings be postponed to end-April 2027. For improved transparency and program monitoring, a continuous SB is proposed requiring any new Bitcoin received through donations to be segregated into dedicated and identifiable wallets, with corresponding addresses provided to Fund staff. Additionally, new SBs in the areas of fiscal policy, public debt management, governance and transparency, financial sector, Bitcoin, and financial integrity are proposed for upcoming reviews (Table 3, MEFP). While the audited financial statements of Fidebitcoin and AAB have recently been published, publication of the audited financial statements of Chivo is proposed as prior action.

35. Enterprise risks. Enterprise risks remain elevated, although efforts to address fiscal and external imbalances and the narrowing of sovereign spreads have helped to mitigate some of these risks. That said, reputational risks to the Fund remain especially elevated, reflecting a legacy of weak governance, vulnerabilities in the effectiveness of its AML/CFT frameworks, and persistent opacity surrounding Bitcoin-related activities, including Bitcoin accumulation through donations outside the budget. Business risks are compounded by institutional capacity constraints, including shortcomings in the quality and timeliness of data provision, as illustrated by large external errors and omissions. New proposed structural reforms aimed at enhancing transparency, together with the new SB requiring quarterly provision of public-sector-controlled wallet addresses, will help mitigate these risks. Similarly, commitments to pension and civil service reforms will support fiscal consolidation going forward, while providing space to address still large infrastructure and social gaps. Financial risks to the Fund continue to be mitigated by the country's adequate capacity to repay, the backloaded disbursement profile, and the intended use of Fund resources to rebuild reserve buffers and reduce liquidity vulnerabilities.

36. Financing assurances. Firm financing commitments are in place for the next 12 months and there are good prospects for adequate financing over the remaining program period, including from the WB, IDB, CAF, and CABEL. Meanwhile, engagement and coordination are being enhanced to avoid shortfalls going forward.

37. El Salvador's capacity to repay the Fund remains adequate, although program risks remain elevated. Fund credit outstanding under the EFF arrangement is projected to peak at 360 percent of quota in 2028 (3.2 percent of GDP, 9.9 percent of exports, and 21.2 percent of GIR) before declining to 13 percent of quota in 2037 (Table 12). Debt service to the Fund is projected to peak at 72 percent of quota in 2033 (0.5 percent of GDP, 1.6 percent of exports, and 3.4 percent of GIR). While the program is based on conservative assumptions, downside risks related to remittance inflows, higher energy prices, and implementation challenges could weigh on fiscal outcomes, the external position, and reserve accumulation (¶16). Nevertheless, capacity to repay is expected to remain adequate, supported by continued improvements in fiscal and external balances under the EFF arrangement, which are expected to strengthen reserve buffers and mitigate repayment risks. Ongoing supply-side reforms and improvements in security are also expected to raise El Salvador's long-run growth potential and repayment capacity.

STAFF APPRAISAL

38. El Salvador's economic outlook has improved substantially since the last review. Real GDP growth is projected to accelerate to 4.5 percent in 2026 and remain strong over the medium term, supported by continued improvements in security conditions and renewed investor confidence. Steadfast efforts to address fiscal and external imbalances are bearing fruit, with sovereign spreads narrowing to their lowest level in over 15 years. Macroeconomic gains have become more widespread, with poverty rates falling by 6 percentage points over the past 3 years.

39. Program performance is mixed. Fiscal consolidation has proceeded broadly as envisaged, reserve and liquidity targets were comfortably met, and social and investment spending were preserved. Important progress was also achieved in financial sector reforms, the pension reform strategy, and the strengthening of the macroeconomic policy framework. Several quantitative performance criteria and structural benchmarks were missed, yet corrective measures are being undertaken, including to strengthen expenditure and cash management, and improve coordination with official creditors. Staff welcomes the unwinding of the state's participation in Bitcoin activities, yet deeply regrets the breach of the continuous QPC on Bitcoin accumulation. Enhancing transparency and disclosure of public-sector Bitcoin holdings remain critical.

40. It remains essential to deepen fiscal consolidation to safeguard macroeconomic stability and place public debt firmly on a downward path. Staff welcomes the authorities' commitment to further strengthen fiscal primary surpluses during 2026 and 2027 and continued efforts to enhance revenue administration and strengthen expenditure controls, recognizing that spending restraint will be particularly important ahead of the 2027 elections. Staff welcomes plans to publish the new MTFF and commitment to adjust the primary balance as needed to reduce the public-debt-to-GDP ratio to 80 percent, in line with the existing Fiscal Responsibility Law. In addition, staff supports efforts toward the publication and adoption of a sound MTDS, to continue to reduce the sovereign-bank nexus and support stable and durable market access at even more favorable terms.

41. Advancing pension and civil service reforms and strengthening public financial management will be critical to safeguard the proposed consolidation. Staff welcomes the authorities' intention to recognize accrued pension liabilities and encourages further progress in implementing a comprehensive pension reform strategy, including measures to strengthen pension-system liquidity, reduce contingent liabilities, and improve long-term sustainability. Given El Salvador's high wage bill, and complementing efforts to improve service delivery through the use of AI, it will be critical to put in place a comprehensive civil service reform to improve public-sector efficiency and contain fiscal costs over time. Continued efforts to strengthen treasury operations, cash management, and coordination across the NFPS will be essential to improve fiscal control, reduce financing costs, and support the rebuilding of government liquidity buffers.

42. Strengthening financial-sector resilience and oversight remains essential to preserve stability and support sustainable growth. Continued implementation of financial sector reforms

will be important to preserve resilience, strengthen liquidity and reserve buffers, and further align supervision and regulation with international best practices. Priority should be given to advancing the implementation of the Financial Stability Law and enhancing the regulatory framework for cooperatives and public financial institutions. In addition, it remains critical to address remaining safeguards assessment recommendations, including modernizing the BCR's organic law and completing the transition to IFRS.

43. The state's involvement in crypto-related activities should be fully unwound, while transparency and governance frameworks are strengthened. Staff welcomes the transfer of majority ownership and control of Chivo to a private operator and would encourage that steps be taken to eventually exit the public sector custodial role over Chivo clients' assets. It remains critical to ringfence Bitcoin accumulation to the documented donations and that further accumulation be eschewed. In addition, staff underscores the need to (i) enhance the transparency and disclosure requirements of public-sector Bitcoin holdings; (ii) strengthen the regulatory and supervisory framework for digital assets; and (iii) establish a robust governance framework for public-sector crypto-asset holdings.

44. It remains critical to deepen governance, transparency, and accountability reforms. Progress in modernizing public financial management will need to be complemented by further enhancing transparency, including publishing financial statements for all state-owned enterprises and their subsidiaries and adopting GFSM 2014 fiscal reporting standards over time. In addition, it remains critical to improve the effectiveness of AML/CFT and anti-corruption framework, including by introducing legal requirements on beneficial ownership transparency and facilitating the work of the National Anti-Corruption Center. Sustained implementation of these reforms will strengthen institutions, improve accountability, support policy implementation, and enhance confidence. Meanwhile, efforts to deepen supply-side reforms and reduce the cost of doing business will be essential to support durable long-term investment in the country.

45. Heightened uncertainties underscore the importance of contingency planning and continued buffer accumulation. A renewed increase in global energy prices, a prolonged El Niño episode, higher global interest rates, and tighter immigration policies abroad could weaken growth and negatively impact fiscal and external sustainability. To better prepare against these risks, El Salvador should continue to strengthen fiscal and external buffers, and be ready to implement contingency measures should these shocks materialize to safeguard stability and program objectives.

46. Staff supports the authorities' requests for waivers of nonobservance of performance criteria, rephasing of access, and completion of the second and third reviews under the EFF-supported arrangement. Staff considers that the proposed corrective actions adequately address the missed QPCs and that the authorities' commitments and prior actions help mitigate concerns arising from past Bitcoin accumulation. A rephasing of purchases, without changes in access, is warranted in light of the adjusted timetable for the structural reform agenda and evolving financing needs, while efforts continue to strengthen fiscal, financial, and governance frameworks. Staff also

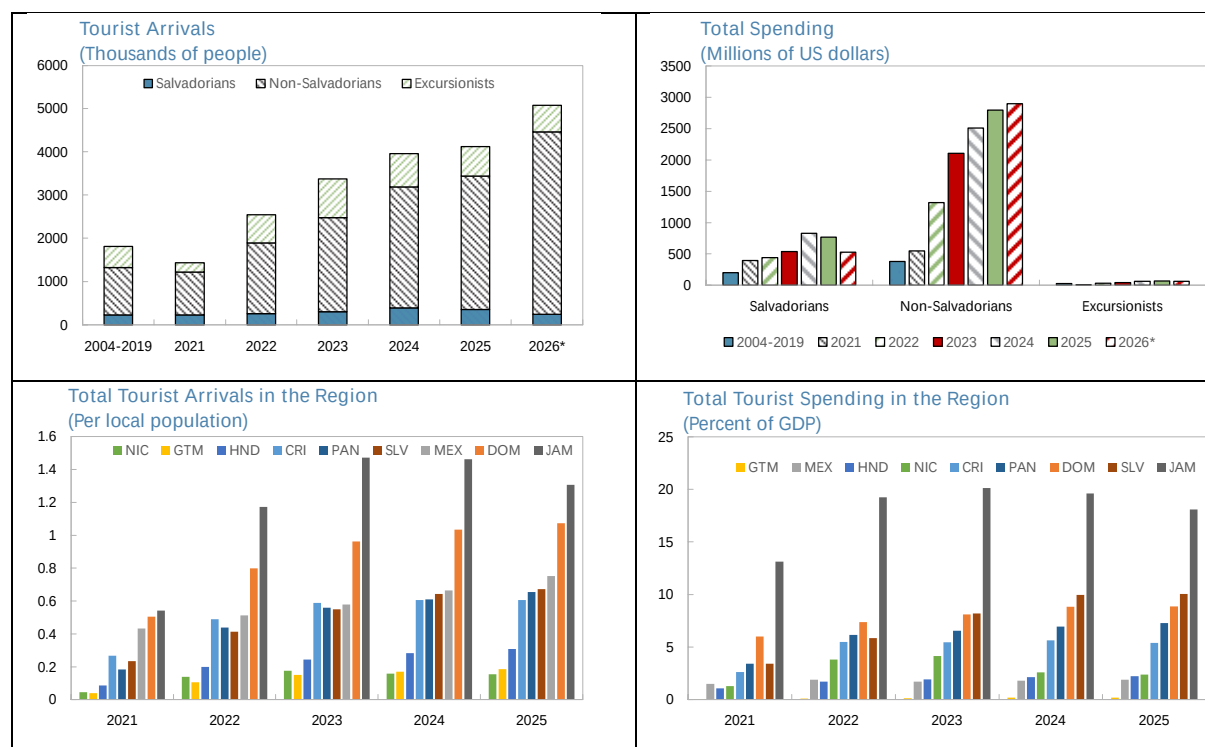
considers that the program remains fully financed and that El Salvador's capacity to repay the Fund remains adequate.

47. Staff considers that the authorities' policy strategy remains appropriate and that the objectives of the EFF-supported program continue to be achievable. Continued fiscal discipline, sustained implementation of structural reforms, stronger governance and transparency safeguards, and further reserve accumulation will be critical to reducing vulnerabilities, strengthening resilience, and supporting higher, more durable growth.

Box 1. El Salvador: Rising Arrivals and Untapped Tourism Potential

Tourism has emerged as one of El Salvador's fastest-growing sectors in recent years, supported by a sharp increase in visitor arrivals and tourism spending. While the sector now compares favorably with several regional peers, there remains significant scope to further expand its contribution to growth, employment, and foreign exchange earnings.

Tourism in El Salvador has expanded markedly in recent years. Visitor arrivals surpassed pre-pandemic levels in 2022 and have since grown at an average annual rate of around 18 percent during 2022–25. The sector's strong growth has been fueled primarily by rising non-Salvadoran arrivals, which account for three-quarters of tourism spending. Recent trends likely reflect security improvements, supported by enhancements in transport logistics. San Salvador's airport has undergone a major renovation and expansion allowing more flight and new routes. Efforts to improve border crossings by leveraging digital and shared customs and clearance systems with neighboring countries have also supported a significant increase in tourist arrivals from the region.



Despite these gains, the sector retains substantial growth potential. Rapid growth in visitor arrivals has brought El Salvador broadly in line with regional peers, such as Costa Rica and Panama, in per capita terms. And tourism receipts, which stand at around 10 percent of GDP, now exceed those of some regional comparators, including the Dominican Republic. Nevertheless, El Salvador still trails aspirational peers such as Jamaica, where tourism accounts for a significantly larger share of GDP (18 percent). This suggests considerable untapped potential to further increase tourism's contribution to economic growth and external-sector performance, although this would require continued investment in tourism infrastructure and logistics.

Box 2. El Salvador: The Impact of Electronic Invoicing on Tax Compliance and Formalization

The rollout of electronic invoicing has been a cornerstone of El Salvador's tax administration modernization agenda. Available evidence suggests that the reform has strengthened tax compliance and supported formalization, broadened the tax base, and contributed to stronger revenue performance.

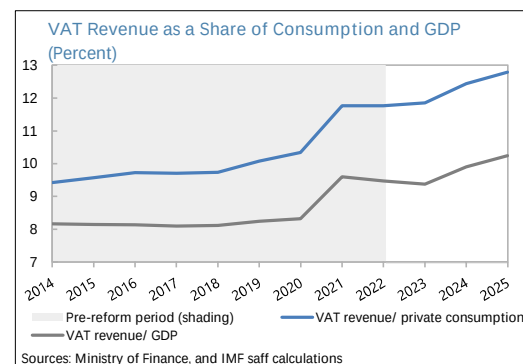
El Salvador's electronic invoicing reform—based on Electronic Tax Documents (DTEs)—was introduced as part of a broader tax administration modernization program supported by the IADB and the IMF.¹

Following a pilot phase in 2021 and the establishment of the legal framework in 2022, the authorities adopted a phased implementation strategy, initially targeting large taxpayers before gradually extending coverage to medium-sized and smaller firms. This sequencing secured early participation by large taxpayers accounting for the bulk of VAT collections, while encouraging adoption among their trading partners. By end-2024, DTE users represented only 13 percent of taxpayers but generated 89.2 percent of declared VAT sales, reflecting near-universal coverage among large taxpayers. The rollout subsequently shifted toward smaller taxpayers, with participation increasing markedly through 2025. The number of VAT-registered small taxpayers also rose significantly, providing suggestive evidence of tax base broadening alongside improvements in formality indicators.²

Firm category	Date	VAT taxpayers (thousands)	DTE participants (thousands)	Share of taxpayers (%)
Large	24-Jun	1.0	0.8	80.6
	24-Dec	1.0	0.9	97.4
	25-Oct	1.0	1.0	98.4
Medium	24-Jun	2.9	0.7	23.1
	24-Dec	2.9	2.8	96.9
	25-Oct	2.9	2.8	95.9
Other	24-Jun	88.6	3.6	4.1
	24-Dec	107.6	10.8	10.0
	25-Oct	252.5	80.8	32.0
Total	24-Jun	92.4	5.1	5.5
	24-Dec	111.1	14.5	13.0
	25-Oct	256.9	84.5	32.9

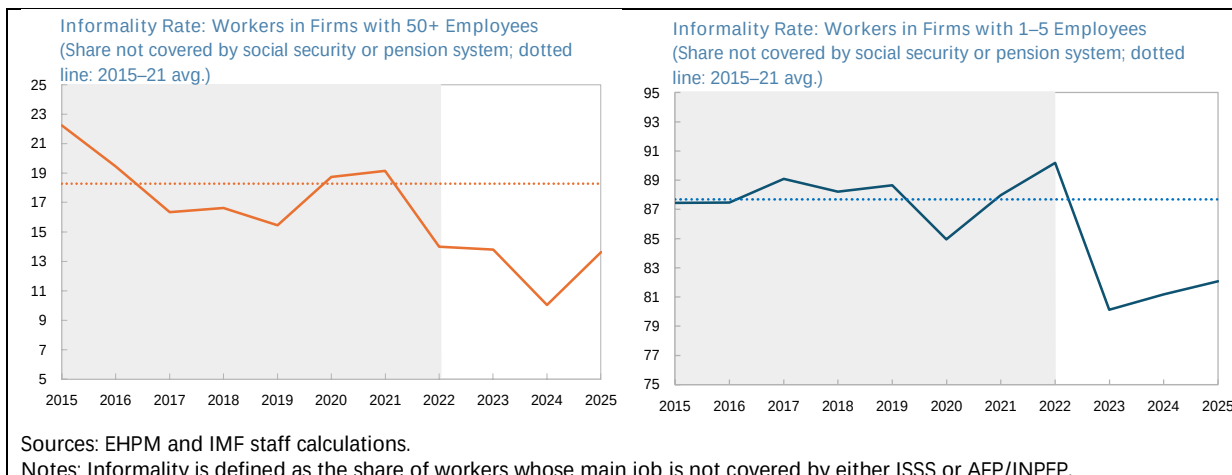
Sources: DGII and IMF staff calculations

The reform's most direct effect has likely been through stronger VAT compliance. By digitizing tax documents and providing transaction-level information to the tax administration, DTEs facilitate the verification of sales, purchases, and VAT credits while increasing the perceived likelihood of detecting non-compliance. VAT revenue³ as a share of private consumption increased from 11.8 percent at the start of the rollout to 12.8 percent by 2025—close to the statutory VAT rate of 13 percent—and from 9.5 percent of GDP to 10.4 percent of GDP over the same period, suggesting substantial improvement in effective VAT collection. Although part of this increase predates the broader expansion of DTE coverage, the continued strengthening during the rollout period is consistent with the reform helping sustain and deepen earlier compliance gains. Income tax collection also increased by about 20 percent in nominal terms between 2022 and 2025, outpacing nominal GDP growth of about 15 percent over the same period, pointing to possible compliance spillovers beyond VAT.



The reform also appears to have supported formalization. Electronic invoicing reduces opportunities for off-the-books transactions, creates a digital record of economic activity, and facilitates taxpayer services, including pre-filled returns and risk-based enforcement. The informality rate among workers employed by large firms—measured as the share whose main job is not covered by social security or the pension system—has declined since 2022, falling from a pre-DTE average of 18.3 percent to 13.6 percent in 2025. Similar trends are observed among smaller firms. Among enterprises with one to five employees, the informality rate declined following the later stages of the rollout (2023–24), reaching 82.1 percent in 2025 compared with a pre-reform average of 87.7 percent. Revenue composition points in the same direction: the share of VAT revenue contributed by small taxpayers increased from 19.4 percent in 2022 to 24.9 percent in 2025, suggesting a broadening of the tax base as coverage expanded. This formalization has also been supported by security improvements and the reduced cost of doing business.

Box 2. El Salvador: The Impact of Electronic Invoicing on Tax Compliance and Formalization (concluded)



Overall, the available evidence points to positive effects of electronic invoicing on tax base broadening, revenue mobilization, and formalization. El Salvador's experience is broadly consistent with international evidence⁴ showing that mandatory e-invoicing and related digital reporting systems can strengthen compliance and generate sizable revenue gains—estimated at around 1 percent of GDP over the medium term in some country studies—particularly when complemented by effective compliance risk management and broader tax administration reforms. By enhancing transaction visibility and strengthening VAT enforcement, the reform has broadened the tax base and likely improved revenue collection. Its full benefits are expected to materialize gradually as coverage expands, transaction-level data is used more systematically in compliance risk management, and taxpayer services become more fully integrated into the digital reporting framework. Greater formalization could, in turn, raise productivity, improve access to finance, and support more efficient resource allocation, thereby contributing to higher potential growth over time.

^{1/} Pecho, M., C. Garcimartín, and J. A. Tijerina, 2024, *Opciones para mejorar el cumplimiento tributario*, IMF Fiscal Affairs Department Technical Assistance Report for El Salvador, Mission 24FA903, (Washington, DC: International Monetary Fund).

^{2/} Data limitations do not permit a clean attribution of observed outcomes solely to the e-invoicing reform.

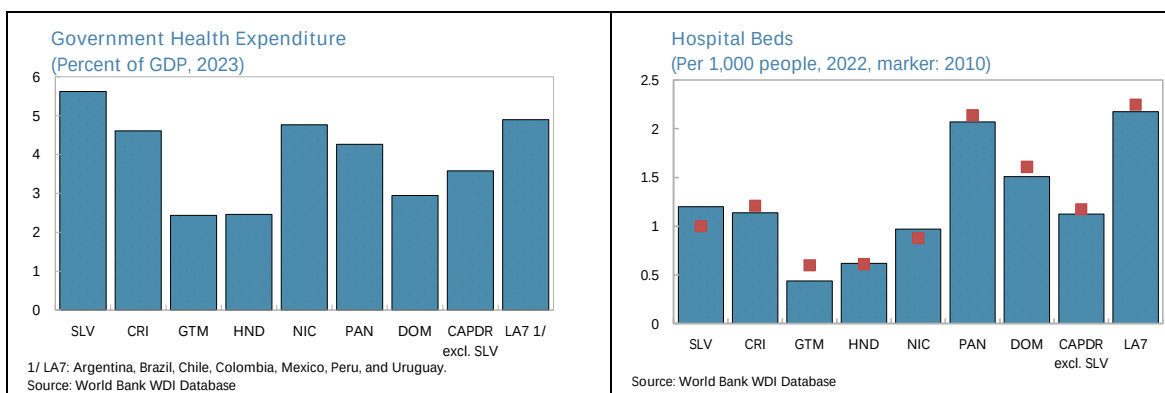
^{3/} The spike in 2021 likely reflects the post-pandemic rebound in import VAT collections, while improved transaction traceability associated with the broader adoption of e-commerce and digital payments may also have contributed.

^{4/} Nose, M., and A. Mengistu, 2023, *Exploring the Adoption of Selected Digital Technologies in Tax Administration: A Cross-Country Perspective*, IMF Note 2023/008, (Washington, DC: International Monetary Fund).

Box 3. El Salvador: AI-assisted Telemedicine Platform to Strengthen Primary Healthcare

Following a successful 15-month pilot, El Salvador launched an AI-assisted telemedicine platform in November 2025 to expand access to primary healthcare services and improve early diagnosis.

El Salvador's healthcare system was known to be relatively costly, with coverage and outcomes below those of regional peers. Historically, access to primary healthcare has been constrained by a fragmented and inefficient service delivery model. Public health expenditure (6 percent of GDP) was above the regional average (4 percent of GDP) while service utilization and availability have remained low. Prior to the pandemic, annual medical consultations averaged only 1.7 visits per person, compared with regional and OECD averages of 3.5 and 6.8 visits, respectively, and hospital bed availability remains below that of more advanced peer economies. Limited access to health services and preventive care has contributed to widespread public dissatisfaction, a high prevalence of chronic conditions and comorbidities, and costly but preventable health emergencies.



To address these challenges, the authorities launched a 15-month pilot program in June 2024, building on a new AI-assisted telemedicine platform designed to expand access to primary healthcare services. Improved security conditions, expanded digital infrastructure, and rising smartphone penetration created favorable conditions for the adoption of digital health technologies. Accessible through the *DoctorSV* mobile application, the platform offers free medical consultations, prescriptions, and referrals for laboratory tests and imaging services.^{1,2} The pilot covered approximately 200,000 individuals—about 15 percent of Salvadoran Social Security Institute affiliates—and delivered around 260,000 consultations. Uptake was strong, and user satisfaction was exceptionally high.^{3,4} Preliminary clinical validation exercises suggest a high degree of alignment between AI-assisted and physician diagnoses. The platform also demonstrated potential to strengthen patient monitoring and support targeted interventions for chronic diseases.

Since November 2025, the platform has been gradually expanded to the broader population, with nationwide coverage targeted by end-2026. The platform and its rollout were developed with support from the Development Bank of Latin America and the Caribbean (CAF) and Google. Initially, the system is envisaged to operate alongside traditional healthcare services provided by the Ministry of Health, although key preventive care functions are expected to shift progressively to the new platform. If successfully scaled, the initiative could improve access to healthcare, enhance efficiency, lower costs, and contribute to better health outcomes.

Continued transparency and rigorous monitoring will be essential to assess the platform's cost-effectiveness and distributional impact. The system is estimated to cost approximately US\$10 million per month, equivalent to about 0.4 percent of GDP annually. To enhance value for money, consideration should

Box 3. El Salvador: AI-assisted Telemedicine Platform to Strengthen Primary Healthcare (concluded)

be given to targeting fully subsidized services to vulnerable populations while introducing a progressive copayment structure for other users. Close coordination with other health-sector initiatives will also be critical to avoid duplication, maximize efficiency gains, and capture synergies. More broadly, civil service reform remains essential to improving public service delivery and containing costs across the public sector, including in the health sector.

^{1/} The platform also incorporates secure data-management protocols, interoperability with existing health services, population-level analytics, and AI-based clinical decision-support tools to strengthen healthcare delivery and policymaking.

^{2/} Patients access the mobile application and schedule video consultations with an AI-assisted physician. Prescriptions and referrals are issued digitally with contracted providers at no cost to users. Patient information is stored digitally to support continuity of care and monitoring.

^{3/} Nearly 80 percent of Salvadoran households owned a smartphone in 2024, supporting broad access to digital health services.

^{4/} User satisfaction was exceptionally high: approximately 86 percent of users gave their consultation a rating of 5 out of 5.

Box 4. El Salvador: Beyond a Traditional Remittance Surge Episode

Precautionary motives triggered by tighter immigration policies abroad boosted remittances across several Central American countries in 2025. In El Salvador, however, this episode lasted longer, reflecting not only precautionary transfers but also investment-related inflows from Salvadorans abroad, attracted by improved economic prospects and the country's security turnaround.

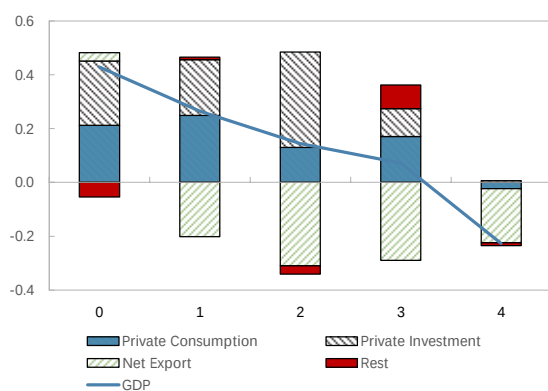
Remittances accelerated sharply in El Salvador in 2025, reflecting both push and pull factors. On the push side, heightened uncertainty surrounding immigration policies abroad led to strong increases in remittances across all CAPDR countries.¹ On the pull side, El Salvador's improved security and rising investor confidence appear to be attracting remittance inflows, including for private investment motives.

Remittance surges are a recurring feature of the region, but the 2025 episode in El Salvador stands out for its duration. A surge is defined as a period during which year-on-year growth in seasonally adjusted remittance inflows exceeds the 75th percentile of a country's historical distribution. Based on this definition, CAPDR countries on average experienced nine remittance surges over the past 25 years, with episodes lasting roughly three quarters. While the 2025 surge has already subsided, it lasted longer in El Salvador (4 quarters) than elsewhere in the region (2.4 quarters), and remittance inflows are still growing, even if at a slower pace (up a cumulative of 3.7 percent through July relative to the same period in 2025).

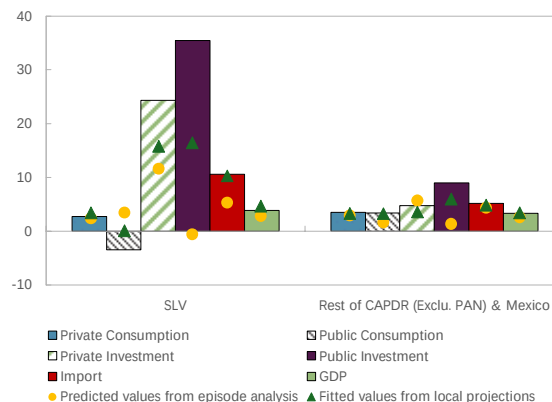
Private investment in El Salvador has significantly outperformed the levels typically observed during past remittance surges. Historically, faster remittance growth has been associated with stronger GDP growth, private consumption, private investment, and imports. Dynamic responses estimated using local projections (Jordà 2005) indicate that effects peak contemporaneously and dissipate after approximately four quarters (left panel of text figure).² Across most CAPDR countries, 2025 outcomes for GDP and its components (the bars in the right panel of the text figure) broadly align with predictions based on local projections (green triangles) and historical surge episodes (yellow diamonds). In El Salvador, however, public consumption contracted markedly, consistent with the fiscal consolidation, while real imports—particularly intermediate and capital goods—and private investment expanded substantially more than predicted.³

Box 4. El Salvador: Beyond a Traditional Remittance Surge Episode (concluded)

IRF: Decomposition of GDP for El Salvador
(y/y growth, based on local projection estimates)



2025 Actual and Predicted Growth of GDP Components
(y/y growth)



Source: Haver Analytics, World Economic Outlook, and IMF Staff Calculations.

While the surge has subsided, its duration in El Salvador suggests that investment-related motives have amplified the initial precautionary response. The growing importance of large-value transfers⁴ and anecdotal evidence point to remittance inflows being directed toward domestic real estate, businesses, and other productive investments. The expansion of construction is also consistent with these trends. Consistent with historical patterns and the moderation observed through mid-2026, remittance growth is projected to normalize this year rather than continue growing at the exceptionally elevated rates recorded during the surge. However, because the recent surge reflects both traditional push factors and country-specific pull factors, its economic effects are likely to be more persistent and growth-enhancing than previous remittance episodes in El Salvador and elsewhere in the region.

^{1/} In 2025, cumulative remittance growth in the region reached about 17 percent (y/y) (excluding Nicaragua due to limited data availability). The CAPDR region comprises Costa Rica, the Dominican Republic, El Salvador, Guatemala, Honduras, Nicaragua, and Panama. Growth moderated in the first quarter of 2026, with cumulative remittance inflows increasing by around 7 percent (y/y) across the region.

^{2/} Estimates are based on quarterly seasonally adjusted data from 2000–2025. The impulse responses are statistically significant and estimated using local projections (Jordà, 2005), without requiring the surge threshold employed in the episode-based analysis.

^{3/} Predicted values are calculated by scaling the average growth rate of each GDP component observed during historical remittance surge episodes by the ratio of remittance growth in 2025 to the average remittance growth recorded during those episodes.

^{4/} Transfers exceeding US\$2,000 accounted for more than 22 percent of total remittance inflows in 2025, up from 6 percent in 2017. The number of transactions above US\$4,000 increased by about 100 percent relative to 2024.

Box 5. El Salvador: Transfer of Ownership and Control of Chivo

The transfer of majority ownership and control of Chivo shifted responsibility for the wallet's governance and management to a private operator, while the Bitcoin Strategic Reserve (BSR) retained custody responsibilities for customer assets.

The government transferred majority ownership and control of Chivo to a private operator while retaining a non-influential minority stake through the BSR. On May 20, 2026, ownership and control of Chivo were transferred to Chivo LP, a Colorado-based limited partnership controlled by The Fintex Group, Inc. (operating as Linguard Labs). The new operator assumed control of Chivo's governance and operations, including the ability to introduce new products and services and charge fees to end users, while the BSR retained a non-influential minority stake.

The BSR retains custody of the assets backing Chivo customer balances under an arrangement intended to segregate customer assets from government holdings and ensure that Chivo's liabilities to customers remain fully backed. Under the Custodial Services Agreement (CSA), the BSR is responsible for safeguarding customer assets and maintaining asset holdings that match the composition of Chivo's liabilities. The CSA requires that customers' Bitcoin balances are held in segregated cold-storage wallets under BSR custody, protected by high-security protocols. To preserve full backing of customer liabilities, the BSR is required to hedge its Bitcoin holdings through the use of stablecoins daily, based on information provided by Chivo regarding customer balances.

To support day-to-day operations, Chivo controls the operating Bitcoin and U.S.-dollar accounts transferred by the government at closing. As part of the transaction, the government transferred to the buyer sufficient liquidity to run the operation and meet Chivo's net U.S.-dollar obligations to customers. Also, the CSA requires that the BSR ensures that Chivo maintains a liquidity buffer at all times, through the transfer of assets under custody.

The arrangement reduces direct government involvement in Chivo's commercial operations but leaves residual public-sector exposures. Under the CSA, the BSR bears the costs of daily rebalancing operations, absorbs risks associated with converting between Bitcoin and U.S. dollars, and must maintain minimum insurance and capital requirements. These obligations underscore the importance of robust governance, transparency, and risk-management arrangements for public-sector crypto-asset holdings.

Box 6. El Salvador: Grace Period and Liquidity of the Pension System

The 2022 pension reform temporarily improved public-sector liquidity but created accrued obligations that will need to be recognized in 2027. At the same time, reliance on pension-fund resources to finance government pension obligations has generated liquidity pressures within the pension system, underscoring the need for a comprehensive pension reform.

The 2022 pension reform suspended interest payments on government pension debt for four years, through April 2027. This debt originated in 1998, when the private pension system was created, to compensate workers transferred from the public to the private system for accrued pension rights and, over time, to finance pension subsidies. Under the December 2022 reform, outstanding pension debt (US\$8.4 billion, about 25 percent of GDP) was restructured into Transition Financing Certificates (CFTs). Three types of such certificates were established (CFT-A, CFT-B, and CFT-C), but virtually all outstanding debt (US\$8.3 billion) was converted into CFT-C. The CFT-C is serviced through equal semiannual payments of principal and interest over 50 years, carries a 7 percent interest rate, and benefits from a four-year grace period on interest payments and amortization ending in April 2027.¹

The authorities plan to recognize approximately US\$2.3 billion in liabilities owed to AFPs for interest accrued but not paid during the grace period. The modality of the recognition should ensure no loss of value to AFPs, while safeguarding the sustainability and financing profile of government debt. To strike this balance, all (or most) accrued interest could be capitalized into a new certificate to be handed to AFPs in April 2027, and the residual could be paid in cash (see below). The certificate would be serviced over 46 years through equal semiannual payments of principal and interest beginning in October 2027, would carry an interest rate of about 7 percent, and would have no grace period, which would broadly replicate the maturity profile, interest rate, and payment schedule of the underlying CFT-C instruments. At a discount rate of 6¼ percent—roughly equivalent to a 250-bps spread over current long-term U.S. Treasury yields—the NPV of the certificate would exceed that of an equivalent upfront cash payment.

The recognition of these liabilities would be reflected in fiscal and debt statistics through a one-off increase in both public debt and interest expenditures. Because El Salvador's fiscal accounts are reported on a cash basis and debt is recorded at face value, current debt statistics include the stock of CFTs but exclude accrued but unpaid interest on CFT-C. Once the liabilities are recognized, public debt in 2027 would increase by about 5¼ percentage points of GDP, while interest expenditures would record a one-off increase of the same magnitude.

The pension system faces growing vulnerabilities arising from the increasing reliance on pension-fund resources to finance government pension obligations, and from the declining liquidity of pension-fund assets. Addressing these vulnerabilities will require measures that gradually reduce the pension system's exposure to government financing needs and strengthen its long-term sustainability.

- Providing liquidity to the AFPs. The pension system is facing growing liquidity pressures for three main reasons. First, pensions under the legacy public system (about 1.6 percent of GDP annually) are financed through the issuance of Pension Obligation Certificates (COPs), which AFPs are obliged to purchase by law. Second, debt service on government pension liabilities, including COPs, is refinanced through the issuance of new COPs. Third, unfunded pension subsidies are financed by drawing resources from the solidarity account of the private system. As a result, worker contributions to AFPs and returns on AFPs' assets—which are becoming increasingly illiquid—are barely sufficient to finance pensions in both the private and legacy public systems. To safeguard liquidity, the government should reduce issuance of COPs (by establishing caps on issuances) and progressively make cash payments of pension debt, with the objective that, by around 2040, COPs would only be issued to finance the remaining pensions of the legacy public system.
- Implementing a parametric pension reform. A reform that gradually reduces unfunded pension subsidies and strengthens the link between contributions and benefits would help to contain pension liabilities, improve system liquidity, and lower medium- and long-term fiscal contingent liabilities.

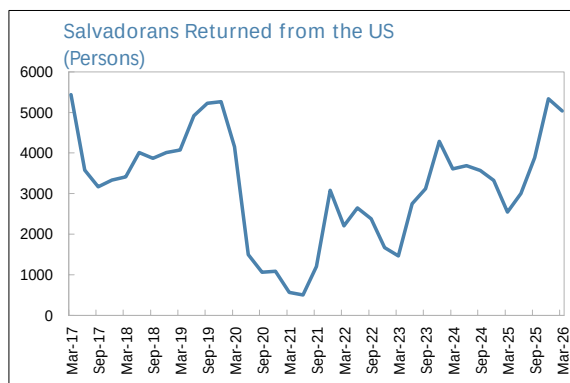
^{1/} CFT-C did not require principal or interest payments during the grace period. Other pension-related debt issued since the reform, including COPs, is being continuously rolled over.

Box 7. El Salvador: Downside Scenario

This box discusses the implications for El Salvador of external shocks coming from a further and more persistent rise in world energy prices, and a faster-than-expected decline in the U.S.-based Salvadoran migrant population.

El Salvador remains highly dependent on energy imports and remittances.

- **Energy dependence:** Oil imports accounted for 14 percent of total imports (6.4 percent of GDP) in 2025 and are highly sensitive to global oil price movements. The baseline assumes that after rising in 2026, oil imports fall to around 5 percent of GDP by 2031 consistent with a gradual decline in oil prices and easing of geopolitical tensions.
- **Remittances dependence:** Remittance inflows reached 27.4 percent of GDP in 2025, with the bulk of these transfers supporting domestic consumption and investment. More than 90 percent of remittances originate in the U.S., where a good share of the Salvadoran migrant population faces the risk of deportation. Of the approximately 1.5 million Salvadoran-born migrants residing in the U.S., an estimated 864,000 lack legal status, while a further 232,000 depend on Temporary Protected Status (TPS). Official data indicate that deportations of Salvadorans doubled in the first quarter of 2026 relative to the same period in 2025 but remain broadly in line with pre-pandemic levels. Meanwhile, border inflows have fallen sharply, with encounters involving Salvadoran nationals at the U.S. border declining by 97 percent as of April 2026 relative to 2024.¹ The baseline assumes a gradual reduction in remittances (to 23.4 percent of GDP by 2031) consistent with a gradual reduction in the size of the U.S.-based Salvadoran population.



Risks from heightened geopolitical tensions and stricter immigration policy would have significant macroeconomic consequences. A downside risk scenario is constructed to assess the impact of both of these shocks.

- **Immigration shock.** Assuming (i) removals of Salvadorans average 65,000 per year during 2026–31, compared with about 47,000 in the baseline and roughly 20,000 annually during the decade preceding the pandemic; and Salvadoran inflows to the U.S. are lower by 70,000 over 2026–31 than in the baseline,² El Salvador would experience substantial net inward migration for the first time in six decades, reducing remittances by an estimated US\$1.5 billion by 2031 relative to the baseline scenario. However, the downside scenario does not consider the positive supply side impact on growth from reintegrating returnees into the labor force, and it remains an upside risk.
- **Energy price shock.** Assuming a delayed resolution to the conflict in the Middle East, resulting in an average international oil price of US\$110 per barrel in 2026 (the April 2026 WEO severe scenario), the oil import bill would increase by about 1.5 percent of GDP with respect to the baseline in 2026. Over the medium term, both in the baseline and in the downside scenario, oil prices would gradually decline towards 2025 levels.

	Impact of Lower Remittances and Higher Oil price					
	2026	2027	2028	2029	2030	2031
Remittances (USD mn)	-133	-425	-618	-1,023	-1,228	-1,446
Remittances (ppts of GDP)	-0.3	-0.9	-1.2	-2.0	-2.3	-2.5
Current account balance (ppts of GDP)	-1.8	-0.5	-0.7	-1.1	-1.3	-1.5
Gross international reserves (USD bn)	-0.7	-0.9	-1.2	-1.7	-2.3	-3.1
Level of real GDP (%)	-0.2	-0.5	-0.7	-1.1	-1.3	-1.4
Primary govt. balance (ppts of GDP)	0.0	-0.1	-0.2	-0.3	-0.3	-0.3

Box 7. El Salvador: Downside Scenario (concluded)

- Results. Combining the two scenarios, the level of GDP would be about 1.4 percent lower by 2031, government revenues would decline commensurately, and the current account deficit would widen, reducing international reserves by an estimated US\$3.1 billion relative to the baseline.

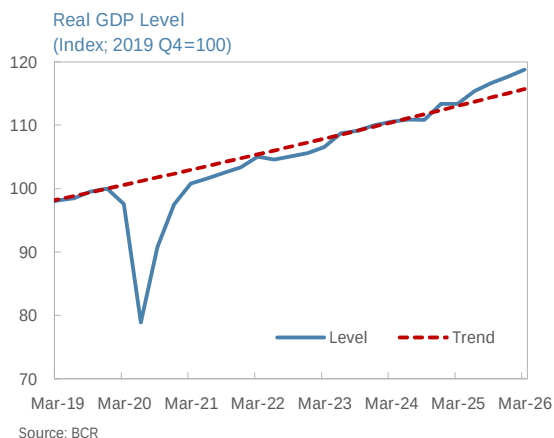
Should these risks materialize, additional policy effort would be required to preserve macroeconomic stability objectives. In the context of El Salvador's dollarized regime, keeping the program on track would require additional expenditure and revenue measures, posing difficult policy trade-offs in an environment where growth would be lower and social needs would rise. The impact would be amplified if these shocks are compounded with higher global interest rates.

^{1/} Border encounters comprise U.S. Border Patrol Title 8 Apprehensions, Office of Field Operations Title 8 Inadmissibles, and Title 42 Expulsions.

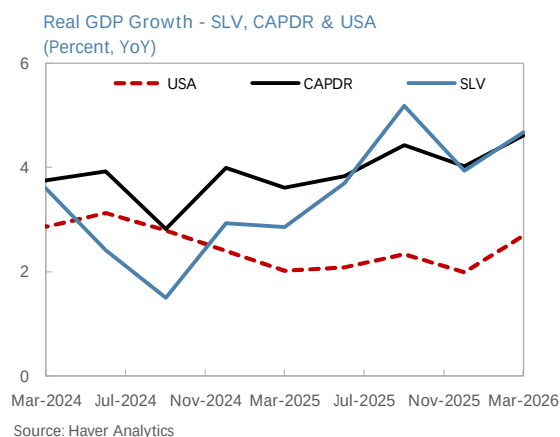
^{2/} The impact on remittances is calculated assuming remittances per capita grow in line with nominal US GDP.

Figure 1. El Salvador: Real Sector Developments

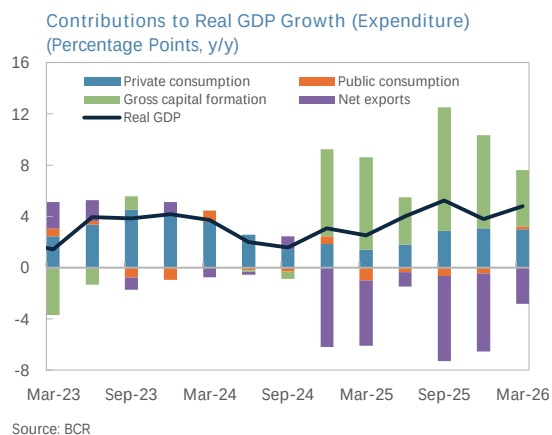
Growth has been above trend...



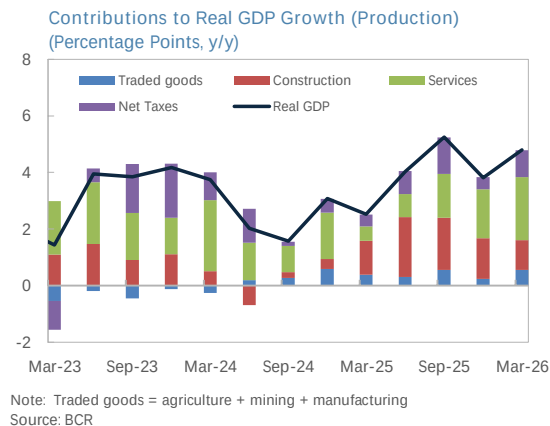
...and is now expanding at a similar pace than peers.



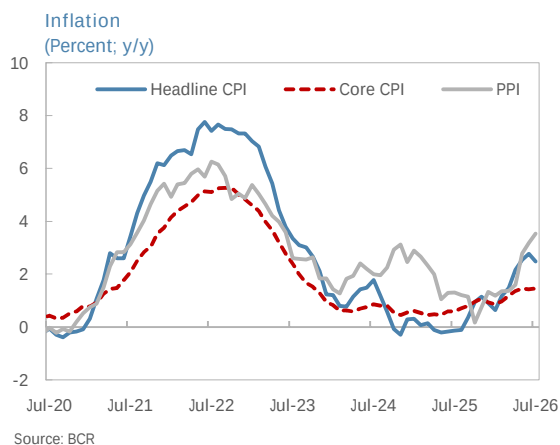
The economic expansion has been driven by investment...



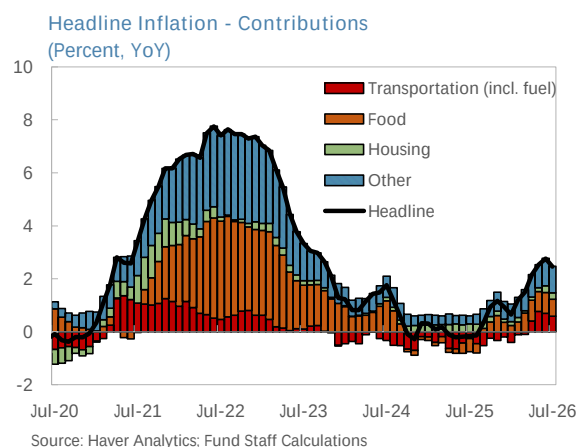
...supported by buoyant construction activity.



Like elsewhere, inflation picked up in the first half of 2026...



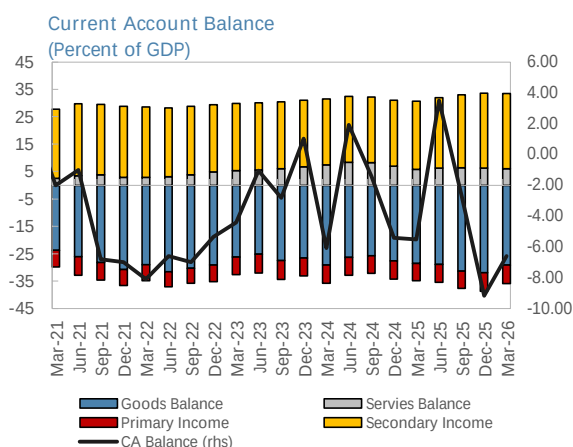
...amid elevated food and fuel prices, and base effect in early 2025.



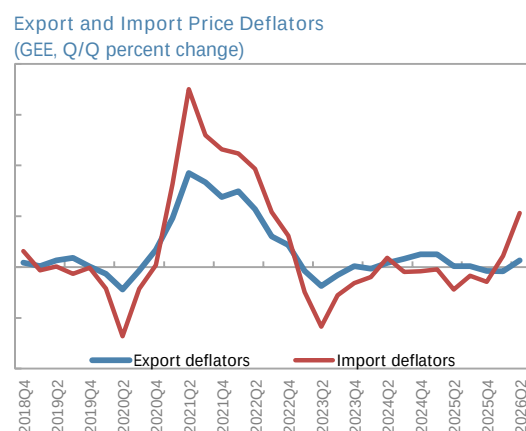
Sources: Central Reserve Bank of El Salvador, Haver Analytics, and Fund staff calculations.

Figure 2. El Salvador: Balance of Payments Developments

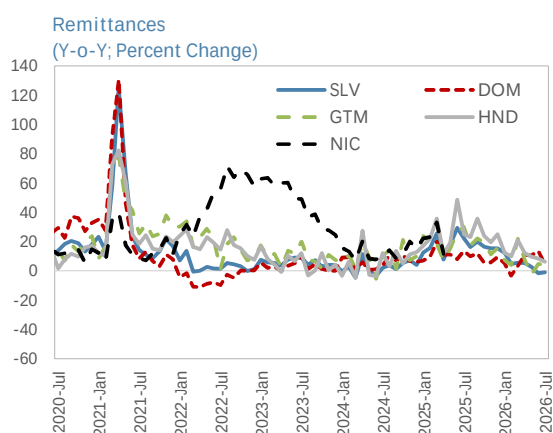
The current account deficit has risen more recently...



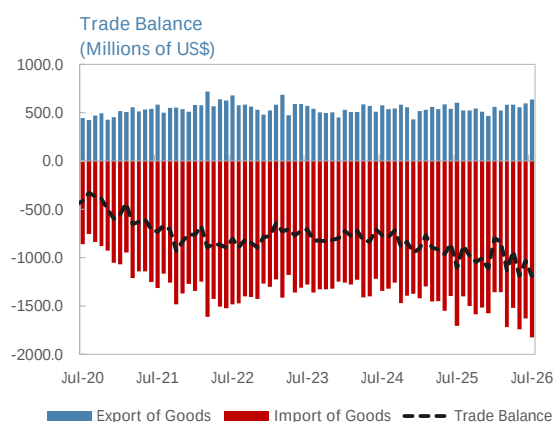
...mainly reflecting less favorable terms of trade amid higher energy prices.



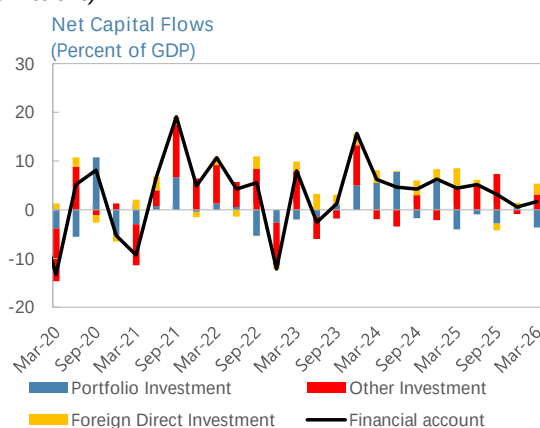
Remittance inflows remain robust, broadly tracking trends in CAPDR peers...



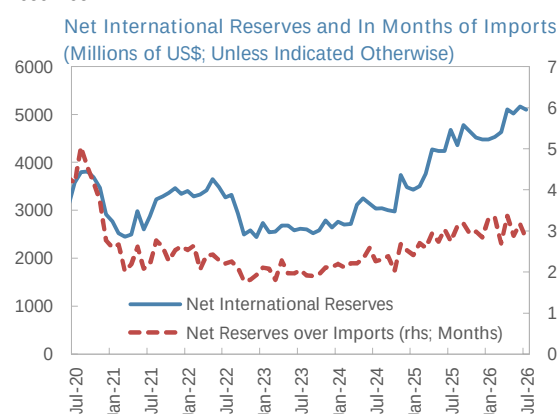
...partially offsetting a widening goods trade deficit.



Capital inflows remain robust (considering errors and omissions)...



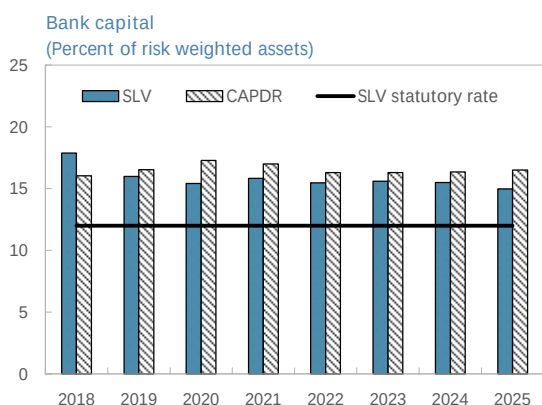
...contributing to a gradual accumulation of international reserves.



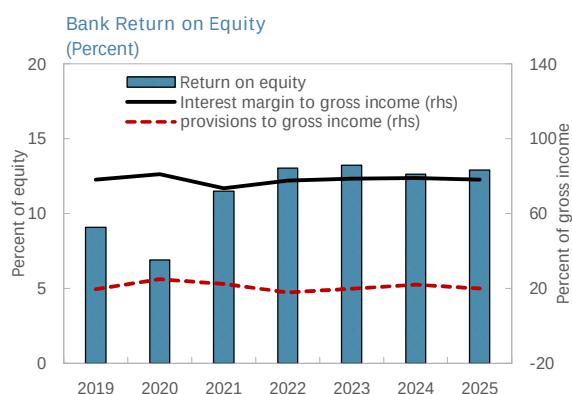
Sources: Central Reserve Bank of El Salvador, Haver Analytics, IMF World Economic Outlook, IMF Balance of Payments, and Fund staff calculations.

Figure 3. El Salvador: Financial Sector Developments

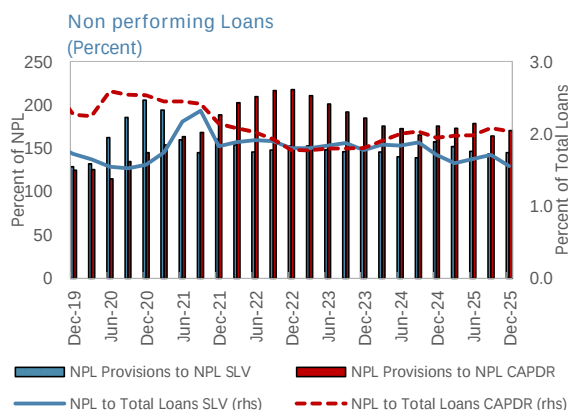
Banks remain well capitalized....



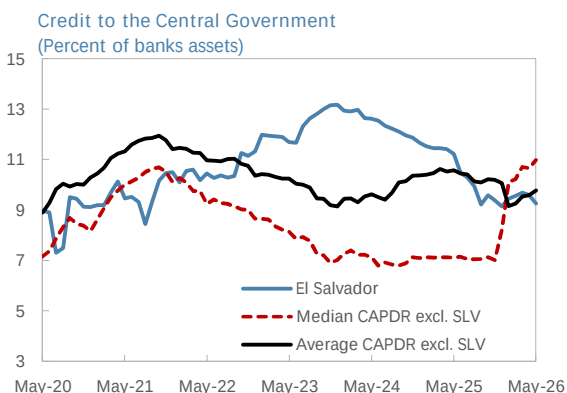
...and profitability continues to be strong.



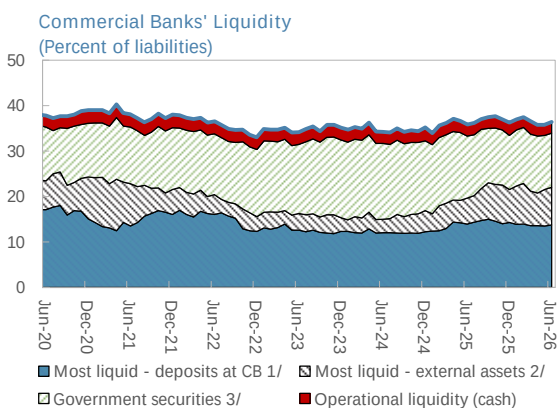
Asset quality remains sound, with low non-performing loans and ample provisioning...



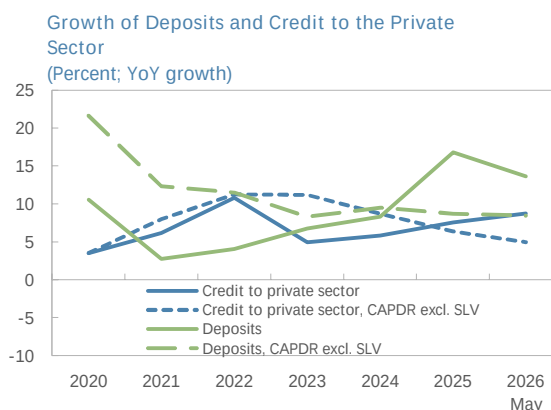
...and sovereign exposure have declined supported by fiscal consolidation.



Liquidity buffers have improved...



...while private-sector credit and deposits continue to expand at a healthy pace supported also by remittances.



Sources: IMF Financial Stability Indicators and staff calculations.

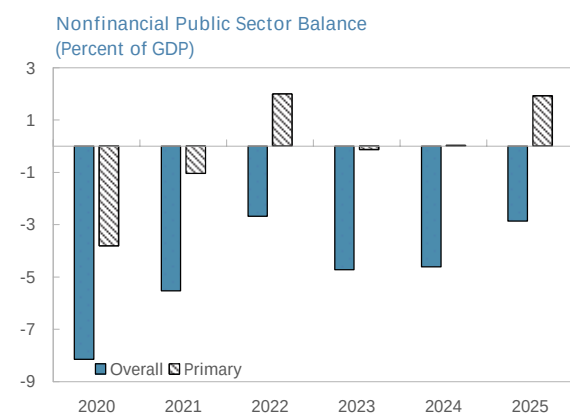
1/ Includes reserve requirements.

2/ Deposits and securities abroad.

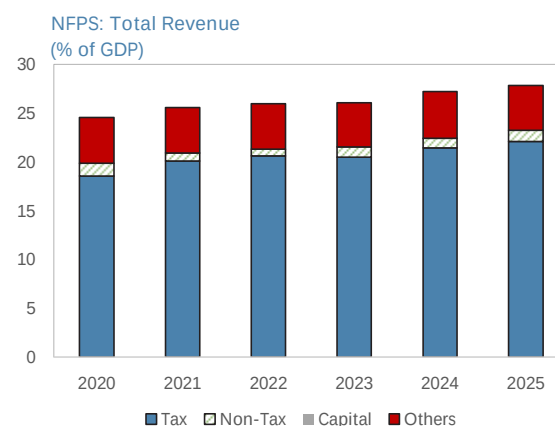
3/ Holdings of central government treasuries and securities.

Figure 4. El Salvador: Fiscal Developments

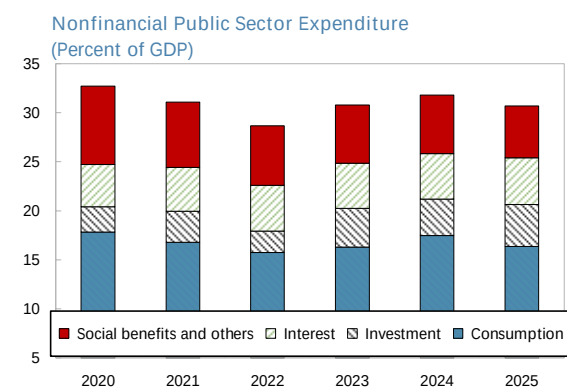
The fiscal position strengthened in 2025...



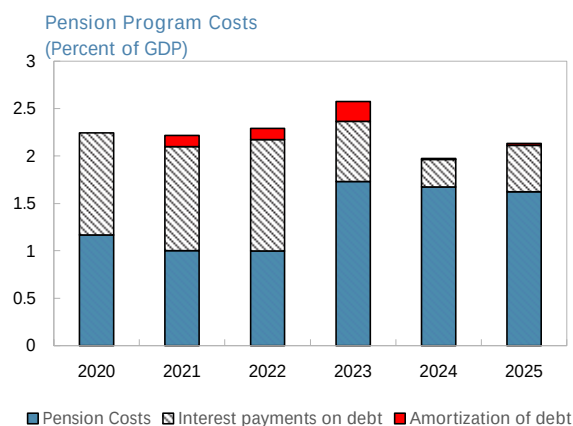
...supported by buoyant revenues



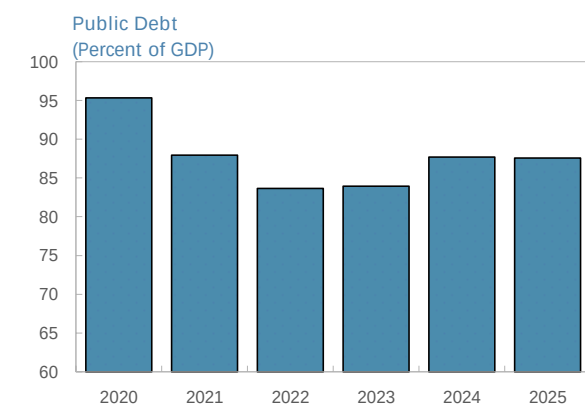
...and expenditure restraint.



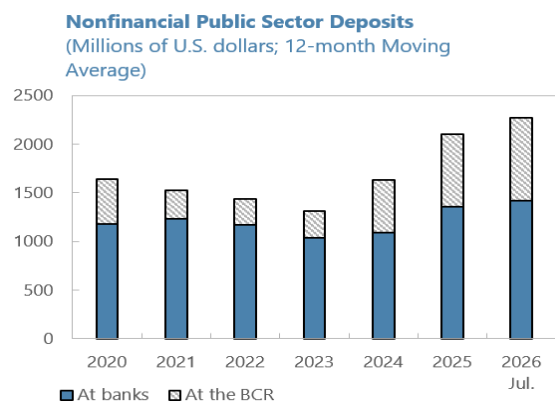
The 2023 pension reform increased pension costs, with the operations providing only temporary relief.



Gross public debt-to-GDP ratio has edged up since 2022...



...although government deposits in the central bank and the banking system have risen sharply more recently.



Sources: National authorities and IMF staff calculations.

Table 1. El Salvador: Selected Economic Indicators

I. Social Indicators											
Rank in UNDP Development Index 2023 (of 193)	132		Population (million, 2025)								6.4
Per capita income (U.S. dollars, 2025)	5,751.3		Life expectancy at birth in years (2024)								72
Percent of pop. below poverty line (2025)	24.3		Infant mortality (per 1,000 live births, 2024)								8.8
Gini index (2023)	40		Adult literacy rate (% ages 15 and older, 2024)								90
II. Economic Indicators (percent of GDP, unless otherwise indicated)											
	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Income and Prices											
Real GDP growth (percent)	3.4	2.6	3.9	2.5	4.5	3.0	4.0	3.3	3.3	3.3	3.3
Consumer price inflation (average, percent)	4.0	0.9	0.3	1.8	2.7	1.8	2.1	1.8	1.8	1.8	1.8
GDP deflator (percent)	1.9	1.3	1.3	2.2	2.7	2.1	2.0	1.8	1.9	1.8	1.9
External Sector											
Current account balance	-1.7	-2.8	-3.5	-2.1	-4.8	-1.5	-3.0	-2.1	-1.5	-1.5	-1.5
Oil prices (U.S. dollars per barrel)	80.6	79.2	67.7	62.4	86.0	62.7	76.9	72.1	69.8	68.2	66.9
Trade balance	-26.4	-27.2	-30.3	-26.0	-31.3	-24.9	-28.9	-26.8	-26.2	-26.2	-26.1
Exports (f.o.b.)	16.4	15.6	15.1	14.7	15.6	14.9	15.8	16.0	16.0	16.0	16.0
Imports (f.o.b.)	42.8	42.8	45.4	40.7	46.9	39.8	44.7	42.8	42.2	42.3	42.1
Services and income (net)	0.3	0.4	-0.6	1.0	0.4	1.0	0.9	1.2	1.3	1.4	1.3
Transfers (net)	24.4	24.1	27.3	23.0	26.1	22.3	25.0	23.6	23.5	23.4	23.3
Foreign direct investment	-2.4	-2.1	-1.2	-2.3	-1.7	-2.2	-1.9	-2.0	-2.1	-2.1	-2.1
Gross international reserves (millions of U.S. dollars)	3,081	3,706	4,814	4,762	5,346	5,467	6,172	6,704	6,936	7,161	7,367
Nonfinancial Public Sector											
Overall balance	-4.7	-4.6	-2.9	-2.1	-2.3	-1.8	-7.7	-2.4	-2.1	-1.9	-1.6
Primary balance	-0.1	0.0	1.9	2.9	2.9	3.7	3.7	3.7	3.7	3.7	3.7
Of which: Tax Revenue	20.3	21.2	21.9	21.2	22.8	21.6	22.9	22.8	22.9	23.0	23.1
Gross debt 1/	83.9	87.7	87.6	86.6	85.0	84.5	89.2	87.3	85.0	82.8	80.2
National Savings and Investment											
Gross capital formation	21.5	20.1	26.3	21.6	28.2	21.5	27.9	27.7	27.9	28.2	28.6
Private fixed investment 2/	19.3	20.2	24.1	19.7	24.5	19.7	24.4	24.1	24.2	24.4	24.7
Public fixed investment 2/	3.1	2.6	3.1	2.8	3.7	2.8	3.5	3.6	3.7	3.8	3.9
Change in inventories	-0.9	-2.7	-0.8	-0.9	-0.1	-1.0	0.0	0.0	0.0	0.0	0.0
National savings	19.8	17.4	22.8	19.5	23.4	20.0	24.9	25.6	26.5	26.7	27.1
Private sector	20.5	18.2	21.4	18.4	21.4	18.5	28.6	24.0	24.3	24.3	24.3
Public sector	-0.8	-0.9	1.4	1.1	2.0	1.4	-3.7	1.6	2.2	2.4	2.8
Money and Credit											
Credit to the private sector	62.4	63.4	64.4	69.1	68.0	72.1	68.1	68.2	68.3	68.3	68.3
Broad money	60.0	59.7	64.2	58.1	65.8	57.9	66.3	66.5	66.7	66.9	67.2
Interest rate (time deposits, percent)	5.3	5.6	...	...	...	...	...	...	...	...	...
Net Foreign Assets of the Financial System											
Millions of U.S. dollars	1,854	2,392	4,467	2,730	4,921	3,038	5,585	5,822	6,084	6,361	6,661
Percent of deposits	10.1	12.4	20.2	13.0	20.2	13.7	21.3	21.0	20.8	20.5	20.3
Memorandum Items											
Nominal GDP (billions of U.S. dollars)	33.6	34.9	36.7	38.3	39.4	40.2	41.8	43.9	46.2	48.6	51.1
Terms of trade, percent change	5.7	-2.1	-1.2	0.7	-3.6	0.1	0.7	1.6	0.6	0.5	0.9
Real effective exchange rate (+ = appreciation)	-2.8	0.6	...	...	...	...	...	...	...	...	...
External sovereign bond spread (basis points)	1,113	639	...	...	...	...	...	...	...	...	...

Sources: Central Reserve Bank of El Salvador, Ministry of Finance, and IMF staff estimates.

1/ Nonfinancial public sector, including CIP-A pension bonds

2/ Excludes change in inventories

Table 2. El Salvador: Medium-Term Economic Outlook
(In Units Indicated)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031

Sources: Central Reserve Bank of El Salvador, Ministry of Finance, and IMF staff estimates.

1/ Nonfinancial public sector, including CIP-A pension bonds. Does not include "Bitcoin" bonds.

2/ Excludes change in inventories

Table 3a. El Salvador: Balance of Payments^{1/}
(In Millions of U.S. Dollars)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Current Account	-585	-964	-1,300	-803	-1,887	-622	-1,249	-907	-686	-707	-752
Merchandise trade balance	-8,854	-9,489	-11,108	-9,961	-12,332	-10,029	-12,055	-11,792	-12,117	-12,757	-13,363
Export of goods (f.o.b.)	5,521	5,439	5,550	5,606	6,125	5,978	6,601	7,022	7,377	7,789	8,188
Import of goods (f.o.b.)	14,375	14,929	16,658	15,567	18,457	16,006	18,657	18,813	19,493	20,546	21,550
Of which: Petroleum products	2,488	2,319	2,338	1,969	2,976	2,012	2,718	2,588	2,598	2,581	2,596
Services, net	2,267	2,387	2,274	2,939	2,585	3,071	2,854	3,063	3,211	3,370	3,499
Of which: Travel receipts	2,755	3,476	3,685	3,834	3,973	4,112	4,257	4,549	4,867	5,114	5,354
Primary income, net	-2,173	-2,258	-2,497	-2,566	-2,412	-2,650	-2,479	-2,542	-2,619	-2,691	-2,815
Of which: Interest	-821	-895	-935	-804	-980	-630	-937	-938	-944	-916	-919
Secondary income, net	8,176	8,396	10,030	8,786	10,271	8,986	10,432	10,364	10,838	11,371	11,926
Of which: Workers' remittances (credits)	8,262	8,461	10,072	8,864	10,319	9,072	10,488	10,433	10,907	11,437	11,991
Capital Account, net	336	286	181	278	256	283	257	261	246	238	252
Financial Account (Net lending (+)/Net borrowing (-))	-1,532	-1,264	-183	-220	-1,491	137	-578	-17	-440	-469	-501
Foreign direct investment, net	-809	-741	-445	-876	-677	-881	-777	-899	-953	-1,017	-1,089
Net acquisition of financial assets	-30	310	318	119	181	176	258	237	240	252	238
Net incurrence of liabilities	778	1,051	764	995	858	1,057	1,035	1,135	1,192	1,268	1,327
Of which: Reinvested earnings	507	477	665	373	670	386	698	723	725	787	832
Portfolio investment, net	-247	-1,525	654	247	155	-255	299	-325	-197	-459	-788
Net acquisition of financial assets	-520	-196	1,164	247	155	197	150	145	153	160	168
Net incurrence of liabilities	-273	1,329	510	0	0	451	-149	470	351	619	957
Of which: Public sector 2/	-270	1,334	-65	0	0	451	-149	470	351	619	957
Financial derivatives, net	-12	-11	1	0	0	0	0	0	0	0	0
Other investment, net	-833	405	-1,404	-100	-1,501	568	-926	675	478	782	1,170
Net acquisition of financial assets	621	471	340	443	296	444	445	592	607	667	680
Net incurrence of liabilities	1,453	66	1,745	544	1,797	-123	1,371	-82	128	-115	-490
Change in Reserve Assets (+ =increase)	369	608	1,012	509	532	705	826	532	232	225	206
Change in reserve position in the IMF	0	0	0	0	0	0	0	0	0	0	0
Other changes in reserve assets	369	608	1,012	509	532	705	826	532	232	225	206
Errors and Omissions, net	-1,283	-586	705	0	0	0	0	0	0	0	0
Financing Gap after Official Financing			232	305	140	476	414	629	0	0	0
Exceptional financing			232	305	140	476	414	629	0	0	0
o.w. IMF	0	0	232	305	140	476	414	629	0	0	0
Residual Financing GAP	0	0	0	0	0	0	0	0	0	0	0
Memorandum Items											
Gross international reserves	3,081	3,706	4,814	4,762	5,346	5,467	6,172	6,704	6,936	7,161	7,367
In months of imports	2.1	2.4	2.8	3.0	2.8	3.4	3.2	3.5	3.5	3.4	3.4
In percent of total short-term external debt	105.8	139.9	129.3	177.3	142.7	204.8	165.9	175.1	180.2	185.1	189.9
In percent of ARA metric	30.6	33.0	38.7	43.4	39.6	47.2	44.1	46.3	46.5	46.7	49.4

Sources: Central Reserve Bank of El Salvador and IMF staff estimates. Presented in BPM6 format.

1/ Presented in BPM6 format.

2/ Refer to Table 4 for the projected Eurobond issuance.

Table 3b. El Salvador: Balance of Payments^{1/}
(In Percent of GDP)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Current Account	-1.7	-2.8	-3.5	-2.1	-4.8	-1.5	-3.0	-2.1	-1.5	-1.5	-1.5
Merchandise trade balance	-26.4	-27.2	-30.3	-26.0	-31.3	-24.9	-28.9	-26.8	-26.2	-26.2	-26.1
Export of goods (f.o.b.)	16.4	15.6	15.1	14.7	15.6	14.9	15.8	16.0	16.0	16.0	16.0
Import of goods (f.o.b.)	42.8	42.8	45.4	40.7	46.9	39.8	44.7	42.8	42.2	42.3	42.1
Of which: Petroleum and products	7.4	6.6	6.4	5.1	7.6	5.0	6.5	5.9	5.6	5.3	5.1
Services, net	6.8	6.8	6.2	7.7	6.6	7.6	6.8	7.0	6.9	6.9	6.8
Of which: Travel receipts	8.2	10.0	10.0	10.0	10.1	10.2	10.2	10.4	10.5	10.5	10.5
Primary income, net	-6.5	-6.5	-6.8	-6.7	-6.1	-6.6	-5.9	-5.8	-5.7	-5.5	-5.5
Of which: Interest	-2.4	-2.6	-2.5	-2.1	-2.5	-1.6	-2.2	-2.1	-2.0	-1.9	-1.8
Secondary income, net	24.4	24.1	27.3	23.0	26.1	22.3	25.0	23.6	23.5	23.4	23.3
Of which: Workers' remittances (credits)	24.6	24.3	27.4	23.2	26.2	22.5	25.1	23.8	23.6	23.5	23.4
Capital Account, net	1.0	0.8	0.5	0.7	0.7	0.7	0.6	0.6	0.5	0.5	0.5
Financial Account (Net lending (+)/Net borrowing (-))	-4.6	-3.6	-0.5	-0.6	-3.8	0.3	-1.4	0.0	-1.0	-1.0	-1.0
Foreign direct investment, net	-2.4	-2.1	-1.2	-2.3	-1.7	-2.2	-1.9	-2.0	-2.1	-2.1	-2.1
Net acquisition of financial assets	-0.1	0.9	0.9	0.3	0.5	0.4	0.6	0.5	0.5	0.5	0.5
Net incurrence of liabilities	2.3	3.0	2.1	2.6	2.2	2.6	2.5	2.6	2.6	2.6	2.6
Of which: Reinvested earnings	1.5	1.4	1.8	1.0	1.7	1.0	1.7	1.6	1.6	1.6	1.6
Portfolio investment, net	-0.7	-4.4	1.8	0.6	0.4	-0.6	0.7	-0.7	-0.4	-0.9	-1.5
Net acquisition of financial assets	-1.5	-0.6	3.2	0.6	0.4	0.5	0.4	0.3	0.3	0.3	0.3
Net incurrence of liabilities	-0.8	3.8	1.4	0.0	0.0	1.1	-0.4	1.1	0.8	1.3	1.9
Of which: Public sector 2/	-0.8	3.8	-0.2	0.0	0.0	1.1	-0.4	1.1	0.8	1.3	1.9
Financial derivatives, net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other investment, net	-2.5	1.2	-3.8	-0.3	-3.8	1.4	-2.2	1.5	1.0	1.6	2.3
Net acquisition of financial assets	1.8	1.3	0.9	1.2	0.8	1.1	1.1	1.3	1.3	1.4	1.3
Net incurrence of liabilities	4.3	0.2	4.8	1.4	4.6	-0.3	3.3	-0.2	0.3	-0.2	-1.0
Change in Reserve Assets (+ =increase)	1.1	1.7	2.8	1.3	1.4	1.8	2.0	1.2	0.5	0.5	0.4
Change in reserve position in the IMF	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other changes in reserve assets	1.1	1.7	2.8	1.3	1.4	1.8	2.0	1.2	0.5	0.5	0.4
Errors and Omissions, net	-3.8	-1.7	1.9	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Financing Gap after Official Financing	0.0	0.0	0.6	0.8	0.4	1.2	1.0	1.4	0.0	0.0	0.0
Exceptional financing	0.0	0.0	0.6	0.8	0.4	1.2	1.0	1.4	0.0	0.0	0.0
o.w. IMF	0.0	0.0	0.6	0.8	0.4	1.2	1.0	1.4	0.0	0.0	0.0
Residual Financing GAP	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum Items											
Gross international reserves	3,081	3,706	4,814	4,762	5,346	5,467	6,172	6,704	6,936	7,161	7,367
In months of imports	2.1	2.4	2.8	3.0	2.8	3.4	3.2	3.5	3.5	3.4	3.4
In percent of total short-term external debt	105.8	139.9	129.3	177.3	142.7	204.8	165.9	175.1	180.2	185.1	189.9
In percent of ARA metric	30.6	33.0	38.7	43.4	39.6	58.6	44.1	46.3	46.5	46.7	49.4

Sources: Central Reserve Bank of El Salvador and IMF staff estimates. Presented in BPM6 format.

1/ Presented in BPM6 format.

2/ Refer to Table 4 for the projected Eurobond issuance.

Table 4. El Salvador: Gross External Financing Requirements and Sources
(In Units Indicated)

	Est.	First Review	Proj.	First Review	2027	2028	Proj.	2030	2031
	2025	2026	2026	2027	2027	2028	2029	2030	2031
(Millions of U.S. dollars)									
Gross Financing Requirements (A)	6,914	5,032	7,754	5,267	8,144	8,684	8,953	8,809	8,866
Current account deficit	1,300	803	1,887	622	1,249	907	686	707	752
Debt amortization (public and private)	5,614	4,229	5,867	4,645	6,894	7,777	8,267	8,102	8,113
Public debt amortization	1,031	510	494	959	774	1,238	1,742	1,494	1,465
Including to the IMF	95	0	0	0	0	0	0	23	59
Private debt amortization	4,583	3,719	5,373	3,686	6,120	6,540	6,525	6,608	6,649
Gross Financing Sources (B)	4,930	4,127	7,539	3,641	7,479	6,905	7,753	7,809	7,866
Capital account flows (net)	181	278	256	283	257	261	246	238	252
FDI (net)	445	876	677	881	777	899	953	1,017	1,089
Private sector and other capital flows	5,316	3,483	7,138	3,182	7,272	6,278	6,786	6,779	6,731
Change in reserves (+ is decrease)	-1,012	-509	-532	-705	-826	-532	-232	-225	-206
Balance of Payments Need (C) = (A) - (B)	1,983	905	215	1,626	664	1,779	1,200	1,000	1,000
Official financing (D) 1/	1,150	600	75	550	250	350	0	0	0
o/w World Bank	250	250	0	250	250	250	0	0	0
o/w IADB	500	250	75	200	0	0	0	0	0
o/w Other official	400	100	0	100	0	100	0	0	0
Eurobonds (E)	602	0	0	600	0	800	1,200	1,000	1,000
Exceptional Financing (F) = (C) - (D) - (E)	232	305	140	476	414	629	0	0	0
IMF financing (J)	232	305	140	476	414	629	0	0	0
Residual Financing Gap (F) - (J)	0	0	0	0	0	0	0	0	0
Gross Financing Requirements (A)	18.8	13.2	19.7	13.1	19.5	19.8	19.4	18.1	17.3
Current account deficit	3.5	2.1	4.8	1.5	3.0	2.1	1.5	1.5	1.5
Debt amortization (public and private)	15.3	11.1	14.9	11.5	16.5	17.7	17.9	16.7	15.9
Public debt amortization	2.8	1.3	1.3	2.4	1.9	2.8	3.8	3.1	2.9
Including to the IMF	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.1
Private debt amortization	12.5	9.7	13.6	9.2	14.6	14.9	14.1	13.6	13.0
Gross Financing Sources (B)	13.4	10.8	19.1	9.0	17.9	15.7	16.8	16.1	15.4
Capital account flows (net)	0.5	0.7	0.7	0.7	0.6	0.6	0.5	0.5	0.5
FDI (net)	1.2	2.3	1.7	2.2	1.9	2.0	2.1	2.1	2.1
Private sector and other capital flows	14.5	9.1	18.1	7.9	17.4	14.3	14.7	13.9	13.2
Change in reserves (+ is decrease)	-2.8	-1.3	-1.4	-1.8	-2.0	-1.2	-0.5	-0.5	-0.4
Balance of Payments Need (C) = (A) - (B)	5.4	2.4	0.5	4.0	1.6	4.1	2.6	2.1	2.0
Official financing (D)	3.1	1.6	0.2	1.4	0.6	0.8	0.0	0.0	0.0
o/w World Bank	0.7	0.7	0.0	0.6	0.6	0.6	0.0	0.0	0.0
o/w IADB	1.4	0.7	0.2	0.5	0.0	0.0	0.0	0.0	0.0
o/w Other official	1.1	0.3	0.0	0.2	0.0	0.2	0.0	0.0	0.0
Eurobonds (E)	1.6	0.0	0.0	1.5	0.0	1.8	2.6	2.1	2.0
Exceptional Financing (F) = (C) - (D) - (E)	0.6	0.8	0.4	1.2	1.0	1.4	0.0	0.0	0.0
IMF financing (J)	0.6	0.8	0.4	1.2	1.0	1.4	0.0	0.0	0.0
Residual Financing Gap (F) - (J)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum Items									
Gross international reserves	4,814	4,762	5,346	5,467	6,172	6,704	6,936	7,161	7,367
In months of imports	2.8	3.0	2.8	3.4	3.2	3.5	3.5	3.4	3.4
In percent of total short-term external debt	129	177	143	205	166	175	180	185	190
Net IMF Financing									
In millions of U.S. dollars	136	305	140	476	414	629	0	-23	-59
In percent of GDP	0.4	0.8	0.4	1.2	1.0	1.4	0.0	0.0	-0.1
Nominal GDP	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador and IMF staff estimates.

1/ Official financing consists of budget support loans and grants

Table 5a. El Salvador: Statement of Operations of the Nonfinancial Public Sector
(In Millions of U.S. Dollars)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Revenue	8,747	9,482	10,216	10,403	11,165	11,101	11,905	12,500	13,196	13,930	14,712
Taxes	6,882	7,484	8,109	8,126	8,981	8,684	9,565	10,035	10,602	11,195	11,836
Taxes on income	2,877	3,103	3,328	3,357	3,677	3,531	3,897	4,097	4,354	4,625	4,866
Taxes on property	54	59	74	64	96	67	102	107	112	118	124
Taxes on goods and services	3,516	3,851	4,178	4,157	4,627	4,373	4,925	5,177	5,448	5,729	6,084
Taxes on foreign trade	322	341	383	381	425	408	476	480	505	530	558
Other taxes	112	130	145	167	156	305	166	174	183	193	203
Social contributions	762	801	842	867	903	912	959	1,008	1,060	1,115	1,173
Other revenue	1,083	1,165	1,243	1,410	1,276	1,505	1,376	1,452	1,528	1,614	1,699
Grants	21	33	22	0	5	0	5	5	5	5	5
Expenditure	10,334	11,091	11,266	11,206	12,065	11,809	15,115	13,569	14,167	14,850	15,531
Expense	9,008	9,791	9,697	9,983	10,383	10,522	13,446	11,780	12,200	12,744	13,265
Compensation of employees	3,755	4,094	3,863	3,989	4,110	4,026	4,250	4,423	4,654	4,895	5,150
Purchases of goods and services	1,715	1,997	2,144	1,867	2,418	1,924	2,523	2,609	2,699	2,838	2,986
Interest	1,545	1,621	1,756	1,913	2,024	2,197	4,735	2,712	2,699	2,738	2,732
Domestic 1/	785	699	744	753	780	1,007	3,606	1,534	1,510	1,534	1,535
Foreign	759	922	1,012	1,160	1,245	1,190	1,129	1,178	1,189	1,204	1,196
Subsidies	936	904	813	61	759	63	776	816	863	912	965
Social benefits	782	871	684	1,702	638	1,815	677	712	749	788	829
Other expense	274	303	437	451	434	497	484	509	535	573	603
Current	143	168	250	305	234	321	248	261	274	288	304
Capital	132	135	187	146	200	176	236	248	261	284	299
Net acquisition of nonfinancial assets	1,326	1,300	1,570	1,223	1,682	1,286	1,669	1,789	1,967	2,106	2,266
Net lending/borrowing 1/	-1,587	-1,609	-1,050	-803	-900	-708	-3,210	-1,069	-971	-920	-819
Net lending/borrowing (excluding recognition; see Box 6)	-1,587	-1,609	-1,050	-803	-900	-708	-881	-1,069	-971	-920	-819
Net financial transactions 1/	-1,587	-1,609	-1,050	-803	-900	-708	-3,210	-1,069	-971	-920	-819
Net acquisition of financial assets 2/	142	535	270	0	446	0	570	0	0	0	0
Foreign	0	0	0	0	0	0	0	0	0	0	0
Domestic 3/	142	535	270	0	446	0	570	0	0	0	0
of which: NFPS Deposits at Central Bank	142	535	-144	...	240	...	366	0	0	0	0
Net incurrence of liabilities	1,729	2,144	1,320	803	1,346	708	3,780	1,069	971	920	819
Foreign	81	1,240	1,546	1,383	676	1,292	971	1,127	418	521	550
Disbursement	1,174	3,548	2,577	1,893	1,170	2,251	1,745	2,365	2,160	2,015	2,015
Amortizations	-1,093	-2,308	-1,031	-510	-494	-959	-774	-1,238	-1,742	-1,494	-1,465
Domestic	1,648	904	-226	-579	670	-585	2,809	-58	553	399	268
Loans and debt securities 1/	1,648	904	-226	-379	670	-435	2,809	-58	553	399	268
Other	0	0	0	0	0	0	0	0	0	0	0
Other accounts receivable/payable	0	0	0	0	0	0	0	0	0	0	0
Memorandum items (mill. of US\$ unless otherwise specified):											
Revenue	8,747	9,482	10,216	10,403	11,165	11,101	11,905	12,500	13,196	13,930	14,712
Taxes	6,882	7,484	8,109	8,126	8,981	8,684	9,565	10,035	10,602	11,195	11,836
Expenditure	10,334	11,091	11,266	11,206	12,065	11,809	15,115	13,569	14,167	14,850	15,531
Interest	1,545	1,621	1,756	1,913	2,024	2,197	4,735	2,712	2,699	2,738	2,732
Net lending	-1,587	-1,609	-1,050	-803	-900	-708	-3,210	-1,069	-971	-920	-819
Taxes (percent of revenue)	78.7	78.9	79.4	78.1	80.4	78.2	80.3	80.3	80.3	80.4	80.4
Compensation of employees (percent of expenditure)	36.3	36.9	34.3	35.6	34.1	34.1	28.1	32.6	32.9	33.0	33.2
Interest (percent of expenditure)	14.9	14.6	15.6	17.1	16.8	18.6	31.3	20.0	19.1	18.4	17.6
Primary balance	-42	12	706	1,109	1,125	1,489	1,525	1,643	1,728	1,818	1,913
Gross total debt 1/	28,177	30,598	32,139	33,147	33,484	34,005	37,264	38,333	39,304	40,224	41,043
External disbursements	1,173.8	3,547.7	2,576.9	1,893	1,169.8	2,251	1,744.6	2,364.5	2,160.0	2,015.0	2,015.0
Nominal GDP	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador; IMF staff estimates and projections.

1/ In 2027, includes the recognition of accrued but unpaid interest to private pension funds for US\$2,329 million; see Box 6.

2/ For the First Review, asset accumulation was included (with a negative sign) in domestic liabilities.

3/ Includes NFPS deposits at the Central Bank and at depository corporations

Table 5b. El Salvador: Statement of Operations of the Nonfinancial Public Sector
(In Percent of GDP)

	Actual		Est. 2025	First Review 2026	Proj. 2026	First Review 2027	Proj.				
	2023	2024					2027	2028	2029	2030	2031
Revenue	26.1	27.2	27.8	27.2	28.4	27.6	28.5	28.5	28.6	28.7	28.8
Taxes	20.5	21.5	22.1	21.2	22.8	21.6	22.9	22.8	22.9	23.0	23.1
Taxes on income	8.6	8.9	9.1	8.8	9.3	8.8	9.3	9.3	9.4	9.5	9.5
Taxes on property	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Taxes on goods and services	10.5	11.0	11.4	10.9	11.7	10.9	11.8	11.8	11.8	11.8	11.9
Taxes on foreign trade	1.0	1.0	1.0	1.0	1.1	1.0	1.1	1.1	1.1	1.1	1.1
Other taxes	0.3	0.4	0.4	0.4	0.4	0.8	0.4	0.4	0.4	0.4	0.4
Social contributions	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3	2.3
Other revenue	3.2	3.3	3.4	3.7	3.2	3.7	3.3	3.3	3.3	3.3	3.3
Grants	0.1	0.1	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Expenditure	30.8	31.8	30.7	29.3	30.6	29.3	36.2	30.9	30.7	30.6	30.4
Expense	26.8	28.1	26.4	26.1	26.4	26.1	32.2	26.8	26.4	26.2	25.9
Compensation of employees	11.2	11.7	10.5	10.4	10.4	10.0	10.2	10.1	10.1	10.1	10.1
Purchases of goods and services	5.1	5.7	5.8	4.9	6.1	4.8	6.0	5.9	5.8	5.8	5.8
Interest	4.6	4.6	4.8	5.0	5.1	5.5	11.3	6.2	5.8	5.6	5.3
Domestic 1/	2.3	2.0	2.0	2.0	2.0	2.5	8.6	3.5	3.3	3.2	3.0
Foreign	2.3	2.6	2.8	3.0	3.2	3.0	2.7	2.7	2.6	2.5	2.3
Subsidies	2.8	2.6	2.2	0.2	1.9	0.2	1.9	1.9	1.9	1.9	1.9
Social benefits	2.3	2.5	1.9	4.4	1.6	4.5	1.6	1.6	1.6	1.6	1.6
Other expense	0.8	0.9	1.2	1.2	1.1	1.2	1.2	1.2	1.2	1.2	1.2
Current	0.4	0.5	0.7	0.8	0.6	0.8	0.6	0.6	0.6	0.6	0.6
Capital	0.4	0.4	0.5	0.4	0.5	0.4	0.6	0.6	0.6	0.6	0.6
Net acquisition of nonfinancial assets	4.0	3.7	4.3	3.2	4.3	3.2	4.0	4.1	4.3	4.3	4.4
Net lending/borrowing 1/	-4.7	-4.6	-2.9	-2.1	-2.3	-1.8	-7.7	-2.4	-2.1	-1.9	-1.6
Net lending/borrowing (excluding recognition; see Box 6)	-4.7	-4.6	-2.9	-2.1	-2.3	-1.8	-2.1	-2.4	-2.1	-1.9	-1.6
Net financial transactions 1/	-4.7	-4.6	-2.9	-2.1	-2.3	-1.8	-7.7	-2.4	-2.1	-1.9	-1.6
Net acquisition of financial assets 2/	0.4	1.5	0.7	0.0	1.1	0.0	1.4	0.0	0.0	0.0	0.0
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic 3/	0.4	1.5	0.7	0.0	1.1	0.0	1.4	0.0	0.0	0.0	0.0
of which: NFPS Deposits at Central Bank	0.4	1.5	-0.4	...	0.6	...	0.9	0.0	0.0	0.0	0.0
Net incurrence of liabilities	5.2	6.1	3.6	2.1	3.4	1.8	9.0	2.4	2.1	1.9	1.6
Foreign	0.2	3.6	4.2	3.6	1.7	3.2	2.3	2.6	0.9	1.1	1.1
Disbursement	3.5	10.2	7.0	4.9	3.0	5.6	4.2	5.4	4.7	4.1	3.9
Amortizations	-3.3	-6.6	-2.8	-1.3	-1.3	-2.4	-1.9	-2.8	-3.8	-3.1	-2.9
Domestic	4.9	2.6	-0.6	-1.5	1.7	-1.5	6.7	-0.1	1.2	0.8	0.5
Loans and debt securities 1/	4.9	2.6	-0.6	-1.0	1.7	-1.1	6.7	-0.1	1.2	0.8	0.5
Other	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other accounts receivable/payable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items (percent of GDP, unless otherwise specified):											
Taxes (percent of revenue)	78.7	78.9	79.4	78.1	80.4	78.2	80.3	80.3	80.3	80.4	80.4
Compensation of employees (percent of expenditure)	36.3	36.9	34.3	35.6	34.1	34.1	28.1	32.6	32.9	33.0	33.2
Interest (percent of expenditure)	14.9	14.6	15.6	17.1	16.8	18.6	31.3	20.0	19.1	18.4	17.6
Primary balance	-0.1	0.0	1.9	2.9	2.9	3.7	3.7	3.7	3.7	3.7	3.7
Cyclically adjusted primary balance	-0.5	-0.1	1.6	3.0	2.5	3.8	3.3	3.6	3.7	3.7	3.7
Gross total debt 1/	83.9	87.7	87.6	86.6	85.0	84.5	89.2	87.3	85.0	82.8	80.2
External disbursements	3.5	10.2	7.0	4.9	3.0	5.6	4.2	5.4	4.7	4.1	3.9
Nominal GDP	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador; IMF staff estimates and projections.

1/ In 2027, includes the recognition of accrued but unpaid interest to private pension funds for US\$2,329 million; see Box 6.

2/ For the First Review, asset accumulation was included (with a negative sign) in domestic liabilities.

3/ Includes NFPS deposits at the Central Bank and at depository corporations

Table 6a. El Salvador: Statement of Operations of the Central Government
(In Millions of U.S. Dollars)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Revenue	7,143	7,679	8,371	8,443	9,362	9,016	9,968	10,459	11,047	11,661	12,325
Taxes	6,804	7,392	8,021	8,126	8,981	8,684	9,565	10,035	10,602	11,195	11,836
Taxes on income	2,838	3,050	3,282	3,357	3,677	3,531	3,897	4,097	4,354	4,625	4,866
Taxes on property	54	59	74	64	96	67	102	107	112	118	124
Taxes on goods and services	3,481	3,812	4,137	4,157	4,627	4,373	4,925	5,177	5,448	5,729	6,084
Taxes on foreign trade	322	341	383	381	425	408	476	480	505	530	558
Other taxes	110	130	145	167	156	305	166	174	183	193	203
Other revenue	334	284	345	317	376	332	397	419	440	461	483
Grants	4	3	5	0	5	0	5	5	5	5	5
Expenditure	7,830	8,770	9,149	9,016	9,699	9,472	10,232	10,575	11,098	11,649	12,220
Expense	6,732	7,617	7,818	8,035	8,265	8,440	8,825	9,061	9,419	9,846	10,271
Compensation of employees	2,360	2,599	2,405	2,650	2,732	2,618	2,788	2,886	3,036	3,193	3,360
Purchases of goods and services	731	941	1,046	803	1,179	827	1,231	1,272	1,316	1,384	1,457
Interest	1,200	1,373	1,629	1,817	1,417	2,087	1,691	1,627	1,620	1,643	1,639
Subsidies 1/	936	904	904	5	970	6	1,029	1,082	1,139	1,197	1,260
Grants	53	69	59	1,490	63	1,568	67	71	74	78	83
Current	0	0	0	1,430	0	1,505	0	0	0	0	1
Capital	53	69	59	60	63	63	67	71	74	78	82
Social benefits	1,439	1,496	1,574	1,058	1,688	1,113	1,792	1,883	1,982	2,084	2,193
Other expense	144	145	200	211	215	222	228	240	252	265	279
Current	12	10	14	14	15	14	16	16	17	18	19
Capital	132	135	187	198	200	208	212	223	235	247	260
Net acquisition of nonfinancial assets	1,098	1,153	1,332	981	1,434	1,032	1,407	1,514	1,679	1,804	1,949
Net lending/borrowing	-688	-1,091	-778	-573	-337	-456	-265	-116	-51	12	104
Net financial transactions	-688	-1,091	-778	-573	-337	-456	-265	-116	-51	12	104
Net acquisition of financial assets	979	1,390	542	230	131	251	441	164	112	97	53
Foreign	0	0	0	0	0	0	0	0	0	0	0
Domestic	979	1,390	542	230	131	251	441	164	112	97	53
Net incurrence of liabilities	1,667	2,481	1,320	803	468	708	706	280	163	85	-51
Foreign	42	1,293	1,546	1,383	676	1,292	971	1,127	418	521	550
Disbursement	1,073	3,540	1,991	1,893	1,170	2,251	1,745	2,365	2,160	2,015	2,015
Amortizations	-1,037	-2,255	-582	-510	-494	-959	-774	-1,238	-1,742	-1,494	-1,465
Domestic	1,624	1,188	-226	-579	-207	-585	-265	-847	-255	-436	-602
Loans and debt securities	1,648	904	-226	-379	-207	-435	-265	-847	-255	-436	-602
Other	-27	281	-100	0	0	0	0	0	0	0	-1
Other accounts receivable/payable	3	4	0	0	0	0	0	0	0	0	1
Memorandum items (mill. of US\$ unless otherwise specified):											
Revenue	7,143	7,679	8,371	8,443	9,362	9,016	9,968	10,459	11,047	11,661	12,325
Taxes	6,804	7,392	8,021	8,126	8,981	8,684	9,565	10,035	10,602	11,195	11,836
Expenditure	7,830	8,770	9,149	9,016	9,699	9,472	10,232	10,575	11,098	11,649	12,220
Interest	1,200	1,373	1,629	1,817	1,417	2,087	1,691	1,627	1,620	1,643	1,639
Taxes (percent of revenue)	95.3	96.3	95.8	96.2	95.9	96.3	96.0	95.9	96.0	96.0	96.0
Compensation of employees (percent of expenditure)	33.0	33.8	28.7	31.4	29.2	29.0	28.0	27.6	27.5	27.4	27.3
Interest (percent of expenditure)	15.3	15.7	17.8	20.2	14.6	22.0	16.5	15.4	14.6	14.1	13.4
Primary balance	513	282	851	1,244	1,080	1,631	1,426	1,511	1,569	1,655	1,743
External disbursements	1,073	3,540	1,991	1,893	1,170	2,251	1,745	2,365	2,160	2,015	2,015
Nominal GDP	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador, IMF staff estimates and projections.

1/ For the First Review, subsidies included only subsidies on liquefied gas.

Table 6b. El Salvador: Statement of Operations of the Central Government
(In Percent of GDP)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
Revenue	21.3	22.0	22.8	22.1	23.8	22.4	23.9	23.8	23.9	24.0	24.1
Taxes	20.3	21.2	21.9	21.2	22.8	21.6	22.9	22.8	22.9	23.0	23.1
Taxes on income	8.5	8.7	8.9	8.8	9.3	8.8	9.3	9.3	9.4	9.5	9.5
Taxes on property	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Taxes on goods and services	10.4	10.9	11.3	10.9	11.7	10.9	11.8	11.8	11.8	11.8	11.9
Taxes on foreign trade	1.0	1.0	1.0	1.0	1.1	1.0	1.1	1.1	1.1	1.1	1.1
Other taxes	0.3	0.4	0.4	0.4	0.4	0.8	0.4	0.4	0.4	0.4	0.4
Other revenue	1.0	0.8	0.9	0.8	1.0	0.8	1.0	1.0	1.0	0.9	0.9
Grants	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Expenditure	23.3	25.1	24.9	23.6	24.6	23.5	24.5	24.1	24.0	24.0	23.9
Expense	20.1	21.8	21.3	21.0	21.0	21.0	21.1	20.6	20.4	20.3	20.1
Compensation of employees	7.0	7.5	6.6	6.9	6.9	6.5	6.7	6.6	6.6	6.6	6.6
Purchases of goods and services	2.2	2.7	2.8	2.1	3.0	2.1	2.9	2.9	2.8	2.8	2.8
Interest	3.6	3.9	4.4	4.7	3.6	5.2	4.0	3.7	3.5	3.4	3.2
Subsidies 1/	2.8	2.6	2.5	0.0	2.5	0.0	2.5	2.5	2.5	2.5	2.5
Grants	0.2	0.2	0.2	3.9	0.2	3.9	0.2	0.2	0.2	0.2	0.2
Current	0.0	0.0	0.0	3.7	0.0	3.7	0.0	0.0	0.0	0.0	0.0
Capital	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2	0.2
Social benefits	4.3	4.3	4.3	2.8	4.3	2.8	4.3	4.3	4.3	4.3	4.3
Other expense	0.4	0.4	0.5	0.6	0.5	0.6	0.5	0.5	0.5	0.5	0.5
Current	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Capital	0.4	0.4	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5	0.5
Net acquisition of nonfinancial assets	3.3	3.3	3.6	2.6	3.6	2.6	3.4	3.4	3.6	3.7	3.8
Net lending/borrowing	-2.0	-3.1	-2.1	-1.5	-0.9	-1.1	-0.6	-0.3	-0.1	0.0	0.2
Net financial transactions	-2.0	-3.1	-2.1	-1.5	-0.9	-1.1	-0.6	-0.3	-0.1	0.0	0.2
Net acquisition of financial assets	2.9	4.0	1.5	0.6	0.3	0.6	1.1	0.4	0.2	0.2	0.1
Foreign	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic	2.9	4.0	1.5	0.6	0.3	0.6	1.1	0.4	0.2	0.2	0.1
Net incurrence of liabilities	5.0	7.1	3.6	2.1	1.2	1.8	1.7	0.6	0.4	0.2	-0.1
Foreign	0.1	3.7	4.2	3.6	1.7	3.2	2.3	2.6	0.9	1.1	1.1
Disbursement	3.2	10.1	5.4	4.9	3.0	5.6	4.2	5.4	4.7	4.1	3.9
Amortizations	-3.1	-6.5	-1.6	-1.3	-1.3	-2.4	-1.9	-2.8	-3.8	-3.1	-2.9
Domestic	4.8	3.4	-0.6	-1.5	-0.5	-1.5	-0.6	-1.9	-0.6	-0.9	-1.2
Loans and debt securities	4.9	2.6	-0.6	-1.0	-0.5	-1.1	-0.6	-1.9	-0.6	-0.9	-1.2
Other accounts receivable/payable	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other	-0.1	0.8	-0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum items (percent of GDP, unless otherwise specified):											
Taxes (percent of revenue)	95.3	96.3	95.8	96.2	95.9	96.3	96.0	95.9	96.0	96.0	96.0
Compensation of employees (percent of expenditure)	33.0	33.8	28.7	31.4	29.2	29.0	28.0	27.6	27.5	27.4	27.3
Interest (percent of expenditure)	15.3	15.7	17.8	20.2	14.6	22.0	16.5	15.4	14.6	14.1	13.4
Primary balance	1.5	0.8	2.3	3.3	2.7	4.1	3.4	3.4	3.4	3.4	3.4
External disbursements	3.2	10.1	5.4	4.9	3.0	5.6	4.2	5.4	4.7	4.1	3.9
Nominal GDP	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador, IMF staff estimates and projections.

1/ For the First Review, subsidies included only subsidies on liquefied gas.

Table 7. El Salvador: Public Sector Financing Requirements and Sources
(In Units Indicated)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
(Millions of U.S. dollars)											
Gross Financing Requirements 1/	5,648	6,971	5,208	2,129	3,913	2,197	6,970	4,868	5,158	5,168	5,141
Overall deficit 1/	1,587	1,609	1,050	803	900	708	3,210	1,069	971	920	819
Public debt amortizations	3,919	4,827	3,888	1,326	2,567	1,489	3,190	3,799	4,187	4,248	4,322
External	1,093	2,308	1,031	510	494	959	774	1,238	1,742	1,494	1,465
Multilateral and bilateral	489	670	931	510	494	810	625	908	892	1,113	1,421
o/w IMF RFI repayment	96	189	95	0	0	0	0	0	0	23	59
Bonds	604	1,638	100	0	0	149	149	330	849	381	43
Domestic	2,826	2,520	2,857	816	2,073	530	2,416	2,561	2,445	2,754	2,858
Asset accumulation			270	...	446	...	570	0	0	0	0
Sources of Financing	5,648	6,971	5,208	2,129	3,913	2,197	6,970	4,868	5,158	5,168	5,141
External	1,174	3,548	2,577	1,893	1,170	2,251	1,745	2,365	2,160	2,015	2,015
Multilateral	1,106	1,282	1,966	1,833	1,103	1,601	1,460	1,510	900	950	950
o/w IMF	0	0	233	198	140	201	212	310	0	0	0
Bilateral/other	68	118	9	60	67	50	285	55	60	65	65
Eurobonds and other private 2/	0	2,148	602	0	0	600	0	800	1,200	1,000	1,000
IMF SDR	0	0	0	0	0	0	0	0	0	0	0
Domestic 1/	4,474	3,423	2,631	237	2,743	-54	5,226	2,503	2,998	3,153	3,126
Unidentified Financing	0	0	0	0	0	0	0	0	0	0	0
(Percent of GDP)											
Gross Financing Requirements 1/	16.8	20.0	14.2	5.6	9.9	5.5	16.7	11.1	11.2	10.6	10.1
Overall deficit 1/	4.7	4.6	2.9	2.1	2.3	1.8	7.7	2.4	2.1	1.9	1.6
Public debt amortizations	11.7	13.8	10.6	3.5	6.5	3.7	7.6	8.6	9.1	8.7	8.5
External	3.3	6.6	2.8	1.3	1.3	2.4	1.9	2.8	3.8	3.1	2.9
Multilateral and bilateral	1.5	1.9	2.5	1.3	1.3	2.0	1.5	2.1	1.9	2.3	2.8
o/w IMF RFI repayment	0.3	0.5	0.3	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.1
Bonds	1.8	4.7	0.3	0.0	0.0	0.4	0.4	0.8	1.8	0.8	0.1
Domestic	8.4	7.2	7.8	2.1	5.3	1.3	5.8	5.8	5.3	5.7	5.6
Sources of Financing	16.8	20.0	14.2	5.6	9.9	5.5	16.7	11.1	11.2	10.6	10.1
External	3.5	10.2	7.0	4.9	3.0	5.6	4.2	5.4	4.7	4.1	3.9
Multilateral	3.3	3.7	5.4	4.8	2.8	4.0	3.5	3.4	1.9	2.0	1.9
IMF	0.0	0.0	0.6	0.5	0.4	0.5	0.5	0.7	0.0	0.0	0.0
Bilateral/other	0.2	0.3	0.0	0.2	0.2	0.1	0.7	0.1	0.1	0.1	0.1
Eurobonds and other private 2/	0.0	6.2	1.6	0.0	0.0	1.5	0.0	1.8	2.6	2.1	2.0
IMF SDR	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Domestic 1/	13.3	9.8	7.2	0.6	7.0	-0.1	12.5	5.7	6.5	6.5	6.1
Unidentified Financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memorandum Items											
Nominal GDP	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Bank; Department of the Treasury; and IMF staff estimates.

1/ In 2027, includes the recognition of accrued but unpaid interest to private pension funds for US\$2,329 million; see Box 6.

2/ In 2025, it includes borrowing for CEL debt repurchase (see Box 1).

Table 8. El Salvador: Summary Accounts of the Financial System^{1/}
(End of Period Stocks; in Millions of U.S. Dollars)

	Actual		Est.	First Review	Proj.	First Review	Proj.				
	2023	2024	2025	2026	2026	2027	2027	2028	2029	2030	2031
I. Central Bank											
Net Foreign Assets	2,202	3,057	3,775	3,252	4,025	3,481	4,508	4,580	4,662	4,746	4,837
Of which: Gross international reserves 1/	3,079	3,705	4,813	4,762	5,345	5,467	6,171	6,703	6,935	7,160	7,367
Of which: Gross international reserves net of liabilities to depository corps. 2/	728	1,151	1,410	2,008	1,780	2,563	2,359	2,681	2,687	2,674	2,625
Net Domestic Assets	443	-200	31	-130	-148	-209	-384	-246	-102	52	216
Nonfinancial public sector (net)	989	484	688	624	445	675	79	79	79	79	79
Claims 3/	1,205	1,194	1,212	1,637	1,208	1,838	1,208	1,208	1,208	1,208	1,208
Liabilities 4/	216	710	523	1,013	763	1,163	1,129	1,129	1,129	1,129	1,129
Rest of the financial system (net)	331	344	359	46	359	46	359	359	359	359	359
Equity	1,088	1,259	1,497	...	1,373	...	1,243	1,105	961	807	643
Other items (net)	210	231	481	-800	422	-930	422	422	422	422	422
Liabilities	2,645	2,857	3,806	2,758	3,877	2,909	4,125	4,334	4,560	4,799	5,054
Base Money	2,352	2,556	3,404	2,755	3,567	2,905	3,814	4,024	4,250	4,488	4,743
Liabilities to depository corporations 5/	2,351	2,554	3,403	2,753	3,565	2,904	3,813	4,022	4,248	4,486	4,741
Other liabilities to the public	292	301	402	3	311	3	311	311	311	311	311
II. Other Depository Corporations											
Net Foreign Assets	-465	-693	126	-559	330	-481	511	675	856	1,048	1,257
Of which: High quality liquid assets held abroad	1,130	1,185	1,701	1,776	2,642	1,881	2,842	3,030	3,232	3,447	3,678
Net Domestic Assets	19,305	20,288	22,271	21,949	24,408	22,963	26,002	27,342	28,784	30,301	31,921
Nonfinancial public sector (net)	3,482	3,248	2,710	1,396	2,552	845	2,361	1,717	1,551	1,247	815
Claims	3,708	3,588	3,169	1,748	3,011	1,197	2,819	2,175	2,010	1,705	1,273
Liabilities 6/	226	340	458	352	458	352	458	458	458	458	458
Rest of the financial system (net)	1,042	1,233	2,368	1,373	2,560	1,444	2,857	3,111	3,385	3,673	3,981
Of which: Reserve requirements	2,246	2,479	3,217	2,753	3,353	2,904	3,600	3,810	4,036	4,274	4,529
Credit to the private sector	17,735	18,770	20,190	22,388	23,007	24,046	24,761	26,717	28,294	30,084	32,102
Other items (net)	-2,954	-2,963	-2,998	-3,208	-3,711	-3,372	-3,977	-4,203	-4,446	-4,702	-4,977
Liabilities to the Private Sector	18,847	19,596	22,397	21,390	24,738	22,481	26,513	28,018	29,640	31,349	33,178
Deposits	18,130	18,915	21,617	20,695	23,950	21,780	25,717	27,214	28,829	30,530	32,350
Securities	716	681	780	695	787	702	795	803	811	819	828
III. Other Financial Corporations 7/											
Net Foreign Assets	117	27	566	37	566	38	566	566	566	566	566
Net Domestic Assets	16,067	17,583	18,428	18,368	19,482	18,788	22,432	22,535	23,328	23,873	24,292
Nonfinancial public sector (net)	11,918	13,562	14,575	13,450	15,403	12,831	18,403	18,990	19,708	20,412	21,112
Rest of the financial system (net)	2,366	2,234	2,035	2,414	1,941	2,524	1,943	1,945	1,946	1,948	1,950
Credit to the private sector	3,221	3,328	3,439	4,044	3,758	4,973	3,706	3,221	3,294	3,133	2,850
Other items (net)	-1,438	-1,541	-1,620	-1,541	-1,620	-1,541	-1,620	-1,620	-1,620	-1,620	-1,620
Liabilities to the Private Sector	16,183	17,610	18,995	18,405	20,049	18,826	20,949	21,702	22,515	23,359	24,259
Pension fund contributions	15,824	17,235	18,607	18,030	19,661	18,466	20,561	21,315	22,128	22,972	23,871
IV. Financial System											
Net Foreign Assets	1,854	2,392	4,467	2,730	4,921	3,038	5,585	5,822	6,084	6,361	6,661
Net Domestic Assets	34,113	35,653	37,714	37,544	40,664	38,734	42,675	44,697	46,870	49,147	51,575
Net claims on nonfinancial public sector	16,389	17,293	17,974	15,470	18,400	14,352	20,843	20,785	21,338	21,737	22,006
Credit to private sector	20,956	22,099	23,629	26,432	26,765	29,019	28,467	29,938	31,588	33,217	34,952
Other	-3,232	-3,739	-3,888	-4,359	-4,501	-4,636	-6,635	-6,027	-6,057	-5,807	-5,383
Liabilities to the Private Sector	35,966	38,045	42,182	40,274	45,586	41,772	48,261	50,519	52,954	55,508	58,236
Money	4,732	5,238	5,984	5,323	6,031	5,364	6,063	6,053	6,142	6,239	6,337
Quasi-money	15,411	15,572	17,591	16,921	19,893	17,942	21,636	23,151	24,684	26,297	28,027
Pension fund contributions	15,824	17,235	18,607	18,030	19,661	18,466	20,561	21,315	22,128	22,972	23,871
(Percent changes relative to previous year's liabilities to the private sector)											
Net domestic assets	9.4	4.3	5.4	2.3	7.0	3.0	4.4	4.2	4.3	4.3	4.4
Nonfinancial public sector	5.0	2.5	1.8	-3.1	1.0	-2.8	5.4	-0.1	1.1	0.8	0.5
Credit to the private sector	3.0	3.2	4.0	5.9	7.4	6.4	3.7	3.0	3.3	3.1	3.1
Liabilities to the private sector	9.4	5.8	10.9	3.0	8.1	3.7	5.9	4.7	4.8	4.8	4.9
(Percent of GDP; Unless Otherwise Indicated)											
Credit to the private sector	62.4	63.4	64.4	69.1	68.0	72.1	68.1	68.2	68.3	68.3	68.3
Liabilities to the private sector	107.2	109.1	114.9	105.3	115.8	103.8	115.5	115.0	114.6	114.2	113.9
Excluding pension contributions	60.0	59.7	64.2	58.1	65.8	57.9	66.3	66.5	66.7	66.9	67.2
Credit to the private sector (y/y percent change)	5.0	5.5	6.9	9.5	13.3	9.8	6.4	5.2	5.5	5.2	5.2
Private sector deposits in depository corporations (y/y percent change)	6.7	4.3	14.3	3.2	10.8	5.2	7.4	5.8	5.9	5.9	6.0
Total deposits (millions of U.S. dollars) 8/	18,342	19,252	22,072	21,273	24,405	22,388	26,172	27,669	29,284	30,985	32,806
Depository corporations liquid deposits at central bank (In percent of total deposits)	13.0	13.5	15.7	13.3	14.9	13.3	14.8	14.8	14.7	14.7	14.7
Nominal GDP (millions of U.S. dollars)	33,565	34,880	36,708	38,256	39,379	40,242	41,783	43,923	46,216	48,607	51,144

Sources: Central Reserve Bank of El Salvador and IMF staff estimates.

1/ Projections reflect no additional spending on Bitcoin, and no large benefits to the economy from using Bitcoin as legal tender and Chivo wallet (see 2021 Article IV, Box 4).

2/ Beginning in 2010, gold in international reserves is valued at the price determined by the London Bullion Market (resulting in a valuation gain of US\$170 million). Gross international reserves of BCR include required and excess reserve requirements of depository corporations.

3/ Rising Central Bank claims on the non-financial public sector is due to on-lending of program financing for budget support.

4/ Primarily reflects public deposits at the central bank.

5/ Required and excess reserve requirements of depository corporations at the BCR.

6/ Primarily reflects deposits of Central Government.

7/ Includes private pension funds, insurance corporations, and the State Development Bank.

8/ Total deposits includes all deposits held in depository corporations while Deposits excludes deposits not included in broad money. The adjustor defined in Table 5 of the TMU refers to Total deposits.

Table 9. El Salvador: Financial Soundness Indicators
(In Percent)

	2019	2020	2021	2022	2023	2024	2025	May 2026
Capital Adequacy								
Regulatory capital to risk-weighted assets	16.0	15.4	15.8	15.4	15.6	15.5	15.0	15.1
Tier 1 capital to risk-weighted assets	13.0	12.5	12.7	12.0	11.9	11.6	11.2	11.4
Asset Quality								
Nonperforming loans to total gross loans	1.7	1.6	1.8	1.8	1.8	1.7	1.6	1.6
Nonperforming loans net of provisions to capital	-3.0	-9.9	-6.7	-6.0	-5.6	-6.1	-4.5	-4.1
Credit growth to private sector	6.5	2.5	9.1	12.4	5.0	5.5	6.9	8.7
Profitability								
Return on assets	1.6	1.1	1.7	2.0	1.9	1.8	1.7	1.8
Return on equity	9.1	6.9	11.5	13.0	13.2	12.6	12.9	14.4
Interest margin to gross income	78.2	81.0	73.4	77.5	78.6	79.0	78.2	78.0
Noninterest expense to gross income	58.4	57.1	53.8	54.9	54.8	54.1	54.7	53.6
Liquidity								
Liquid assets to total assets	23.3	19.7	20.1	15.8	17.7	18.0	21.2	20.8
Liquid assets to short-term liabilities	34.2	27.7	28.2	22.6	26.0	25.7	29.6	28.5
Customer deposits to total (noninterbank) loans	100.4	110.5	106.3	99.7	101.8	105.2	112.4	113.8
Legal liquidity reserves to total deposits	22.1	9.1	14.4	11.5	11.4	12.9	15.4	15.9

Sources: IMF Financial Soundness Indicators and BCR data.

Notes: No liquidity coverage or net stable funding ratio are in force.

Table 10. El Salvador: Selected Vulnerability Indicators
(In Percent of GDP; Unless Otherwise Indicated)

	2020	2021	2022	2023	2024	Est. 2025
Fiscal Indicators						
Overall balance of the nonfinancial public sector	-8.1	-5.5	-2.7	-4.7	-4.6	-2.9
Primary balance of the nonfinancial public sector	-3.8	-1.0	2.0	-0.1	0.0	1.9
Gross public sector financing requirement	13.8	14.3	14.3	16.8	20.0	14.2
Public sector debt (gross)	95.4	88.0	83.7	83.9	87.7	87.6
Public sector external debt	41.0	37.8	33.4	32.8	35.8	38.2
External interest payments to total fiscal revenue (percent)	11.2	8.9	9.4	8.9	8.3	8.0
External amortization payments to total fiscal revenue (percent)	5.7	4.2	9.2	12.5	24.3	10.1
Financial Indicators						
Broad money (percent change, end-of-period)	8.9	2.3	4.6	8.9	3.3	13.3
Private sector credit (percent change, end-of-period)	2.5	9.1	12.4	5.0	5.5	6.9
Ratio of capital to risk-weighted assets	15.4	15.8	15.4	15.6	15.5	15.1
Ratio of loans more than 90 days past due to total loans	1.6	1.8	1.8	1.8	1.7	1.7
Ratio of provisions to total loans	3.2	2.9	2.8	2.7	2.7	2.4
Ratio of provisions to loans more than 90 days past due	205.2	160.5	152.7	150.4	157.6	144.8
Return on average equity	6.9	11.5	13.0	13.2	12.6	12.5
Return on average total assets	1.1	1.7	2.0	1.9	1.8	1.7
Loans as percent of deposits	90.5	94.1	100.3	98.3	95.0	93.4
Ratio of liquid assets to total assets	19.7	20.1	15.8	17.7	18.0	18.9
External Indicators						
Exports of goods and services (percent change, 12-month basis)	-24.1	36.5	21.7	5.4	6.3	3.3
Imports of goods and services (percent change, 12-month basis)	-16.2	48.2	17.4	-4.8	6.9	11.4
Current account balance	1.1	-4.3	-6.7	-1.7	-2.8	-3.5
Capital and financial account balance	9.9	2.8	6.0	2.7	2.2	1.3
Gross international reserves (millions of U.S. dollars)	3,082.7	3,426.1	2,695.8	3,080.7	3,706.0	4,813.8
Months of imports of goods and services, excluding maquila	3.7	2.8	1.9	2.2	2.5	2.9
Percent of short-term debt	164.7	151.7	113.8	105.8	139.9	129.3
Percent of gross external financing requirements	81.2	65.5	38.2	51.1	47.2	69.6
Percent of broad money	17.8	19.4	14.6	15.3	17.8	20.4
Public external debt service	3.6	3.0	4.3	5.3	8.7	4.9
External debt to exports of goods and services (percent)	300.0	242.9	202.1	205.8	213.3	231.7
External interest payments to exports of goods and services (percent)	-24.7	-21.9	-22.1	-24.0	-23.7	-25.6
External amortization to exports of goods and services (percent) 2/	66.6	47.7	48.3	50.8	60.4	47.7
REER, depreciation is negative (percent change, end-of-period)	-2.9	2.6	3.5	-2.8	0.6	-3.9

Sources: Central Reserve Bank of El Salvador, Ministry of Finance, Financial Superintendency, and IMF staff estimates.

Table 11. El Salvador: Proposed Revised Schedule of Purchases Under the Extended Fund Facility

Original schedule

Date of Availability	Amount (millions of SDRs)	Percent of quota	Conditions
February, 2025	86.16	30	Board approval of the Extended Fund Facility
May 5, 2025	86.16	30	Completion of first review, and observance of end-March 2025 performance criteria, continuous performance criteria, and conditions
September 5, 2025	86.16	30	Completion of second review, and observance of end-June 2025 performance criteria, continuous performance criteria, and conditions
March 5, 2026	114.88	40	Completion of third review, and observance of end-December 2025 performance criteria, continuous performance criteria, and conditions
September 5, 2026	114.88	40	Completion of fourth review, and observance of end-June 2026 performance criteria, continuous performance criteria, and conditions
March 5, 2027	172.32	60	Completion of fifth review, and observance of end-December 2026 performance criteria, continuous performance criteria, and conditions
September 5, 2027	186.68	65	Completion of sixth review, and observance of end-June 2027 performance criteria, continuous performance criteria, and conditions
March 5, 2028	186.68	65	Completion of seventh review, and observance of end-December 2027 performance criteria, continuous performance criteria, and conditions
Total	1033.92	360	

Proposed Revision

Date of Availability	Amount (millions of SDRs)	Percent of quota	Conditions
February, 2025	86.16	30	Board approval of the Extended Fund Facility
May 5, 2025	86.16	30	Completion of first review, and observance of end-March 2025 performance criteria, continuous performance criteria, and conditions
March 5, 2026	101.96	35.5	Completion of second and third reviews, and observance of end-December 2025 performance criteria, continuous performance criteria, and conditions
March 5, 2027	129.24	45	Completion of fourth review, and observance of end-December 2026 performance criteria, continuous performance criteria, and conditions
September 5, 2027	172.32	60	Completion of fifth review, and observance of end-June 2027 performance criteria, continuous performance criteria, and conditions
February 5, 2028	215.40	75	Completion of sixth review, and observance of end-December 2027 performance criteria, continuous performance criteria, and conditions
May 5, 2028	242.68	84.5	Completion of seventh review, and observance of end-March 2028 performance criteria, continuous performance criteria, and conditions
Total	1033.92	360	

1/ The original amounts associated with the second review (SDR 86.16 million) became available for purchase on September 5, 2025, and the amounts associated with the third review (SDR 114.88 million) became available for purchase on March 5, 2026.

Table 12. El Salvador: Indicators of Fund Credit, 2026–39
(In Millions of SDRs, Unless Otherwise Indicated)

	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037	2038	2039
Existing Fund credit (SDR million)														
Disbursements	102	302	458	0	0	0	0	0	0	0	0	0	0	0
Stock of Fund credit (end of period)	274	576	1,034	1,020	991	934	800	628	456	298	154	38	0	0
Obligations	14	23	42	62	76	101	175	207	201	180	160	128	47	8
Principal (repayments/repurchases)	0	0	0	14	29	56	134	172	172	158	144	116	38	0
Charges and interest	14	23	42	48	47	45	41	34	28	22	17	12	9	8
Fund obligations (repurchases and charges) in percent of:														
Quota	5	8	15	22	26	35	61	72	70	63	56	45	16	3
GDP	0.1	0.1	0.1	0.2	0.2	0.3	0.4	0.5	0.5	0.4	0.3	0.3	0.1	0.0
Exports of goods and services	0.2	0.2	0.4	0.6	0.7	0.8	1.4	1.6	1.4	1.2	1.0	0.8	0.3	0.0
Gross international reserves	0.4	0.5	0.9	1.2	1.5	1.9	3.0	3.4	3.2	2.7	2.3	1.7	0.6	0.1
Government revenue	0.2	0.3	0.5	0.7	0.7	1.0	1.6	1.8	1.6	1.4	1.2	0.9	0.3	0.1
External debt service, public	1.4	2.0	2.8	3.4	4.6	5.9	9.6	10.8	10.0	8.5	7.2	5.5	1.9	0.3
Fund credit outstanding in percent of:														
Quota	96	201	360	355	345	325	279	219	159	104	54	13	0	0
GDP	1.0	1.9	3.2	3.0	2.8	2.5	2.1	1.5	1.1	0.7	0.3	0.1	0.0	0.0
Exports of goods and services	2.9	5.8	9.9	9.3	8.6	7.8	6.3	4.7	3.3	2.0	1.0	0.2	0.0	0.0
Gross international reserves	7.0	12.8	21.2	20.2	19.1	17.1	13.9	10.4	7.2	4.5	2.2	0.5	0.0	0.0
Government revenue	3.4	6.6	11.4	10.6	9.8	8.8	7.2	5.3	3.7	2.3	1.1	0.3	0.0	0.0
External debt, public	2.5	4.9	8.1	7.6	7.0	6.3	5.1	3.8	2.7	1.6	0.8	0.2	0.0	0.0
Memorandum items¹:														
Quota (SDR million)	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2	287.2
Gross domestic product (USD million)	39,379	41,783	43,923	46,216	48,607	51,120	53,764	56,545	59,469	62,544	65,779	69,181	72,758	76,521
Exports of goods and services (USD million)	12,918	13,657	14,380	15,088	15,791	16,608	17,467	18,370	19,320	20,319	21,370	22,475	23,638	24,860
Gross international reserves (USD million)	5,346	6,172	6,704	6,936	7,161	7,532	7,921	8,331	8,762	9,215	9,691	10,192	10,720	11,274
Government revenue (USD million)	11,165	11,905	12,500	13,196	13,930	14,650	15,408	16,205	17,043	17,924	18,851	19,826	20,851	21,929
External debt service, public (USD million)	1,413	1,621	2,054	2,557	2,273	2,391	2,514	2,644	2,781	2,925	3,076	3,235	3,402	3,578
Total external debt, public (USD million)	14,786	16,109	17,598	18,420	19,382	20,384	21,438	22,547	23,713	24,939	26,229	27,586	29,012	30,513

Source: IMF staff calculations.

1/ Values beyond 2030 are indicative projections.

Annex I. Macroeconomic Implications of El Niño

The ongoing El Niño episode poses a significant macroeconomic risk to El Salvador, primarily through higher food prices and electricity generation costs. Policy priorities should focus on mitigating its near-term impacts while strengthening resilience to future climate shocks.

A. Introduction

1. El Niño is a recurring climate phenomenon with significant macroeconomic implications for El Salvador. Characterized by unusually warm sea-surface temperatures in the tropical Pacific, it occurs every two to seven years. Its relevance is amplified by El Salvador's exposure to drought conditions in the Central American Dry Corridor, with the current episode expected to peak at a strong intensity in late 2026. Reduced rainfall can lower agricultural output, putting upward pressure on food prices and inflation, while also reducing hydroelectric generation and increasing reliance on more costly energy sources. These transmission channels underscore the importance of assessing the magnitude and timing of El Niño shocks and their implications for inflation, output, energy costs, and overall macroeconomic stability.

B. Impact on Economic Activity and Inflation

Figure 1. Headline Prices (Percent)

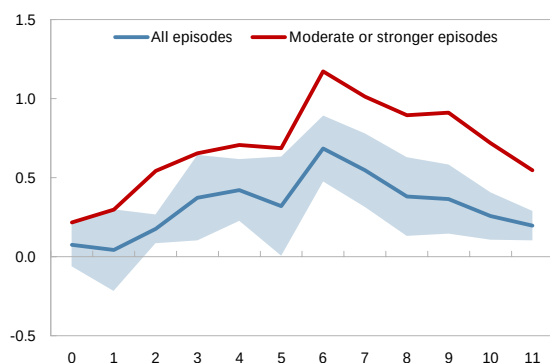
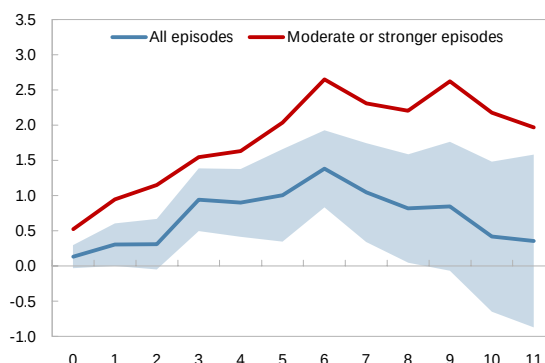


Figure 2. Food Prices (Percent)



Source: Haver Analytics, Primary Commodity Price System (PCPS), EMDAT, National Centers for Environmental Prediction (NCEP), Copernicus Climate Change Service, and IMF staff calculations.

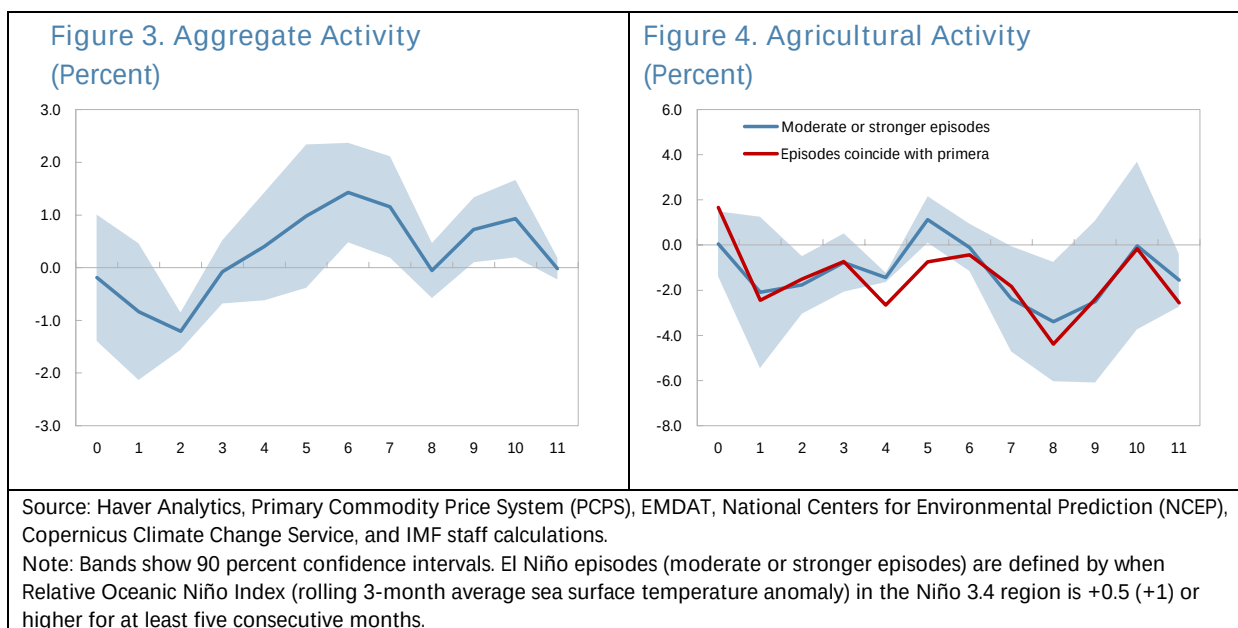
Note: Bands show 90 percent confidence intervals. El Niño episodes (moderate or stronger episodes) are defined by when Relative Oceanic Niño Index (rolling 3-month average sea surface temperature anomaly) in the Niño 3.4 region is +0.5 (+1) or higher for at least five consecutive months.

2. El Niño has a persistent and economically meaningful impact on prices in El Salvador, driven largely by food inflation. Empirical estimates based on local projection methods show that El Niño shocks—defined as the onset of episodes according to the Oceanic Niño Index—are associated with an increase in the headline CPI price level of about 0.7 percent, with the effect peaking six months after the shock (Figure 1).¹ The impact is stronger during moderate-to-severe

¹ The results are based on monthly panel local projection estimations for three Central American countries in the Dry Corridor (El Salvador, Guatemala, and Honduras) using data from January 2005 to March 2026. The regressions control for remittances, U.S. industrial production, oil and fertilizer prices, country fixed effects, and a COVID dummy.

episodes, reaching approximately 1.2 percent at its peak and remaining statistically significant at around 0.6 percent one year after. These dynamics are largely driven by food prices, which rise by up to 2.5 percent six months after moderate or stronger episodes, reflecting the adverse effects of drought conditions on agricultural supply.

3. While the impact of El Niño on economic activity appears limited, it could exacerbate food insecurity among subsistence farmers and other vulnerable groups. Empirical estimates do not indicate a statistically significant or persistent decline in aggregate activity during El Niño episodes (Figure 3).² Timing nonetheless remains important, as shocks coinciding with key planting seasons tend to have larger effects, particularly on agricultural production (Figure 4). The impact of the current episode on agricultural output is expected to be limited, as it is likely to affect only the 2026 *postrera* season, which accounts for less than one-third of annual agricultural production, unless drought conditions persist and extend into the 2027 *primera* season—the main planting season.³ Consequently, the impact on aggregate output should remain modest, given that agriculture accounts for only about 5 percent of GDP. However, subsistence farmers, who produce largely for self-consumption, could be significantly affected. Lower agricultural output could reduce food availability for these households and increase food insecurity among other vulnerable groups.



² The impact on agricultural activity is negative for most of the horizon but not significant. This likely reflects variation in drought intensity and adaptation capacity.

³ The baseline incorporates food price pressures in 2026 and higher fuel and food imports. However, these effects are not expected to persist into the 2027 *primera* season and are therefore considered only as downside risks. Similarly, higher energy generation costs are not assumed to be passed through to consumers under the baseline. Any such pass-through, together with the potential need for fiscal support to mitigate higher energy costs, constitutes a downside risk.

C. Impact on Electricity

4. El Niño is expected to increase electricity generation costs during 2026–27 by reducing hydroelectric output and shifting generation toward more expensive sources. During the three El Niño episodes since 2005 (2009, 2015, and 2024), lower rainfall reduced hydropower generation by 21–30 percent, lowering its contribution to total electricity generation by about 5–12 percentage points, requiring greater use of alternative energy sources. This adjustment was driven primarily by thermal generation, particularly oil-based production, although recent LNG investments have expanded available capacity.⁴ While past episodes did not lead to electricity shortages, they increased generation costs by about 0.1 percent of GDP. The impact was mitigated by greater reliance on other renewable sources (2015), from the availability of relatively low-cost LNG (2024), and lower international oil prices (2009 and 2015). For the current episode, the authorities project that a hydroelectric shortfall of about 40 percent and a 5 percent increase in electricity demand due to higher temperatures will be met primarily through oil-based generation, increasing exposure to volatile oil prices.⁵ As a result, electricity generation costs are projected to rise by about 0.6 percent of GDP, alongside elevated fuel imports.⁶ Current regulations allow end-user electricity tariffs to remain below cost-recovery levels under a transitional decree extended through December 2026, inhibiting the pass-through to headline inflation.⁷ While the authorities expect this tariff-smoothing mechanism to remain viable for up to one year, its continuous use delay investment and maintenance in the electricity sector.⁸ Higher fuel imports is also expected to weaken the current account. Moreover, if elevated oil prices and adverse weather conditions persist, electricity generators could face growing financial pressures, which may, over time, affect investment and maintenance and give rise to broader fiscal and external risks.

D. Policy Implications

5. The current El Niño episode calls for a proactive and targeted policy response to mitigate inflationary pressures, contain fiscal risks, and strengthen resilience to climate shocks.

⁴ While Honduras is also highly dependent on oil, Guatemala relies not only on oil but also on coal-fired electricity generation.

⁵ Although regional electricity trade through the Central American Regional Electricity Market could provide some buffering capacity, its contribution to mitigate regional shortfalls is likely to be limited, as the current El Niño episode will simultaneously affect the entire region.

⁶ Early developments point to mounting electricity cost pressures. The average wholesale spot electricity price increased from US\$85.3/MWh in January to US\$192.4/MWh in June 2026—its highest level since May 2013. Meanwhile, hydropower's share of total generation fell to 10.6 percent in June from an average of 27.6 percent in 2025, while peak electricity demand reached a record high.

⁷ Second-round effects could still arise if higher electricity costs are passed through to businesses in case of a more prolonged El Niño, while the eventual recovery of deferred costs could add to inflationary pressures.

⁸ If El Niño persists beyond one year, the Electricity Mitigation Fund—established in July 2025 and financed with US\$80 million from CEL's liability-management operation—could help shield residential consumers from higher electricity prices on through a repayable bill-deferral mechanism triggered when tariffs exceed predefined thresholds.

- The anticipated increase in food inflation and food insecurity among vulnerable households underscore the importance of well-targeted social protection measures while avoiding broad-based price controls that could distort market incentives. Temporary and targeted support for affected farmers—including through subsidies and emergency assistance—could help ease supply-side pressures. In this context, authorities' collaboration with international partners, including the FAO, the World Food Programme (WFP), and the IDB, is welcome.⁹ Planned support includes cash transfers, agricultural inputs, and TA targeted at small producers, complementing existing initiatives to strengthen the agricultural sector and improve food security, including the *AgroMercados* program.
- In the energy sector, policy efforts should focus on contingency planning to safeguard electricity supply and contain fiscal and external risks. This includes securing fuel supplies¹⁰ and expanding the use of regional electricity trade through the Central American Regional Electricity Market as a buffer against supply disruptions. Over the medium term, the episode highlights the importance of accelerating diversification of the energy mix—particularly through greater investment in non-hydro renewable energy sources—to reduce vulnerability to climate-related shocks, including through the implementation of the April 2026 amendments to the General Electricity Law. Additional investment in water management and climate-resilient agriculture would further help mitigate the broader macroeconomic effects of future El Niño episodes.

⁹ In addition, the IDB's *Shock Responsive Social Protection in El Salvador* project could provide cash transfers of US\$120 up to 125,000 households that were vulnerable prior to the El Niño shock and are at risk of falling into poverty as a result. The *Drought Anticipatory Action Framework*, coordinated by OCHA and implemented by FAO, WFP, UNICEF and PAHO/WHO, with a total envelope of US\$2.5 million, is expected to provide cash transfers, agricultural inputs, food assistance, and support for irrigation and livestock activities.

¹⁰ The authorities have already adopted measures requiring thermal power generators to maintain minimum fuel inventories and plan fuel purchases in advance to help ensure adequate and diversified fuel supply.

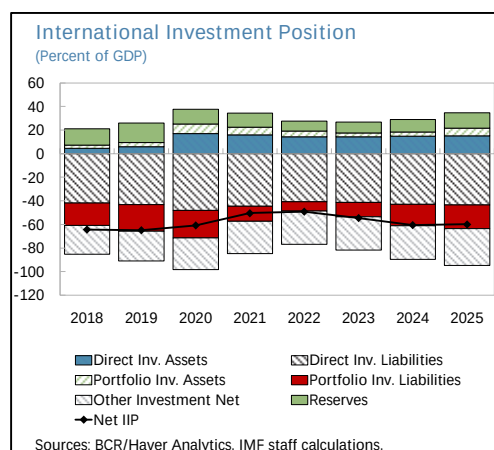
Annex II. External Sector Assessment

Overall Assessment: El Salvador's external position in 2025 was weaker than the level implied by medium-term fundamentals and desirable policies. While stronger tourism receipts and the improved security environment have supported external performance, significant vulnerabilities remain, including a deeply negative NIIP position, low reserve coverage, and still-constrained access to international capital markets. Large and persistent errors and omissions in balance of payments also point to unexplained external flows and continued data weaknesses.

Potential Policy Responses: Sustained fiscal consolidation remains essential to rebuild buffers and secure public debt sustainability over the medium term. Efforts to strengthen international reserve holdings are also needed to enhance resilience to external shocks and reinforce confidence in the financial system. Over time, structural reforms aimed at raising productivity, improving the business environment, and attracting foreign direct investment (FDI) would support competitiveness and strengthen external sustainability.

Foreign Assets and Liabilities: Position and Trajectory

Background. El Salvador's NIIP remains deeply negative, reflecting a limited stock of foreign assets—including international reserves—and a large stock of external liabilities, notably accumulated FDI liabilities and external borrowing. In addition to foreign exchange reserves (13.1 percent of GDP), foreign assets consist primarily of other investment assets (17 percent of GDP), largely private-sector deposits and claims held abroad. Foreign liabilities are dominated by direct investment liabilities (43.5 percent of GDP). Following a series of Eurobond buybacks in 2023–24 and the CEL liability-management operation in 2025, portfolio investment liabilities rose to 20 percent of GDP.



Assessment. The NIIP is estimated at around -60 percent of GDP in 2025, an improvement of about 0.6 percentage points relative to 2024. This persistently negative position reflects sustained fiscal and external deficits, notwithstanding recent improvements under the IMF-supported program. Risks are mitigated by the fact that most external liabilities consist of FDI and official-sector debt. However, vulnerabilities remain elevated given inadequate reserve buffers and the economy's exposure to large and recurrent balance of payments shocks. Although recent debt-management operations have extended the maturity profile of external bonds, still-constrained market access continues to heighten liquidity risks.

2025 (% GDP)	NIIP: -60	Gross Assets: 52	Debt Assets: 29	Gross Liab.: 111	Debt Liab.: 72
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Current Account

Background. The current account deficit widened to 3.5 percent of GDP in 2025 from 2.8 percent of GDP in 2024. The deterioration reflected a larger trade deficit, driven in part by a modest worsening in the terms of trade, and a weaker services balance as outbound tourism increased and imports of digital-asset-related services were incorporated into balance of payment statistics. These developments more than

offset the continued strength of remittances, which reached 27.4 percent of GDP in 2025. Tourism receipts remained buoyant at about 10 percent of GDP, while the primary income deficit widened to 6.8 percent of GDP owing to higher reinvested earnings. Net errors and omissions turned positive, reaching 1.9 percent of GDP, highlighting persistent data-quality concerns and possible unrecorded inflows.

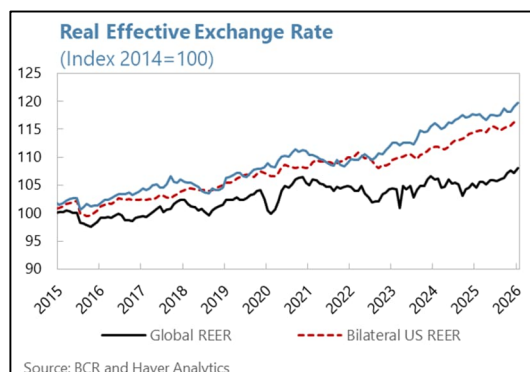
Assessment. The EBA-Lite model estimates a cyclically adjusted current account deficit of 3.2 percent of GDP in 2025, compared with a norm of

2.2 percent of GDP, implying a gap of about 1 percent of GDP. However, the model does not fully capture El Salvador's structural external vulnerabilities, including its deeply negative NIIP, low reserve coverage, and still-constrained market access. An assessment based on external sustainability considerations suggests the need for a faster improvement in the NIIP. For example, reducing the NIIP to -45 percent of GDP over five years would imply a current account norm of about 0.6 percent of GDP and a current account gap of roughly -2.8 percent of GDP. On this basis, the external position is assessed as weaker than warranted by medium-term fundamentals and desirable policies. The gap reflects policy-related factors, including the fiscal deficit, insufficient reserve buffers, and structural impediments to productivity growth and competitiveness.

El Salvador: EBA-lite Model Results, 2025			
	CA model 1/ (in percent of GDP)	REER model	ES model
CA - Actual	-3.5		
Cyclical contributions (from model) (-)	0.0		
Natural disasters and conflicts (-)	-0.3		
Adjusted CA	-3.2		
CA Norm (from model) 2/	-2.2		
Adjustments to the norm (+)	0.0		
Adjusted CA Norm	-2.2		0.6
CA Gap	-1.0	0.9	-2.8
o/w Relative policy gap	-4.0		
Elasticity	-0.3		
REER Gap (in percent)	3.9	-3.5	10.7
1/ Based on the EBA-lite 3.0 methodology			
2/ Cyclically adjusted, including multilateral consistency adjustments.			

Real Exchange Rate

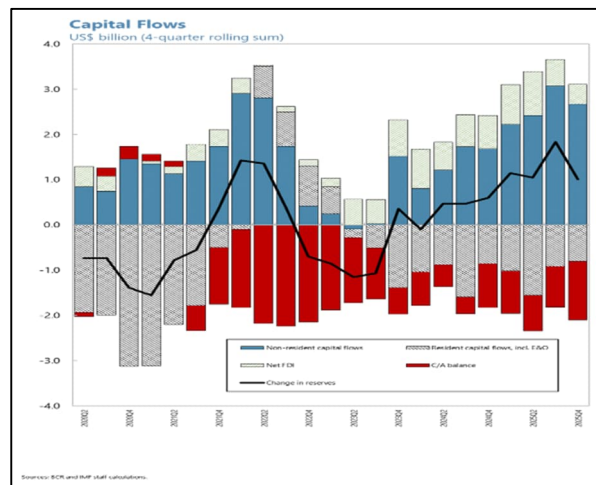
Background. The real effective exchange rate (REER) remained broadly stable in 2025, continuing the pattern observed in recent years. Relative to other Central American economies, however, the REER has appreciated by about 14 percent since 2018, largely reflecting the strength of the U.S. dollar. Significant scope remains to improve competitiveness. The OECD's 2023 *Multidimensional Review of El Salvador* identified cumbersome administrative procedures, inefficiencies in key input markets, and deficiencies in infrastructure and human capital as important constraints.¹ The authorities have launched an ambitious reform agenda to reduce bureaucracy and, alongside substantial improvements in public security, have begun to strengthen the investment climate. These efforts have contributed to an increase in FDI inflows, although inflows moderated somewhat in 2025.



Assessment. REER-based models imply only a small external imbalance and do not adequately capture El Salvador's underlying vulnerabilities. Accordingly, the overall assessment—which places greater weight on external sustainability considerations—is that the external position remains weaker than implied by medium-term fundamentals and desirable policies, and that the REER is overvalued.

Capital and Financial Accounts: Flows and Policy Measures

Background. El Salvador's current account deficit has traditionally been financed through FDI inflows and other investment flows, including official-sector financing. During and immediately after the pandemic, net FDI inflows weakened while resident capital outflows increased amid deteriorating sovereign creditworthiness and still-constrained market access. At the same time, nonresident inflows rose, mainly through other investment liabilities, including multilateral financing to both the public and private sectors.² As pandemic-related shocks faded, policies tightened, and confidence improved, market access was gradually restored and FDI inflows strengthened.

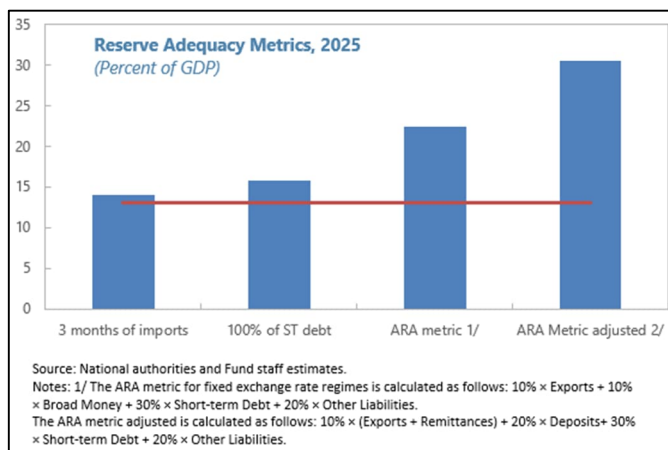


Nevertheless, errors and omissions remain sizable and turned positive in 2025, suggesting the presence of unexplained capital inflows.

Assessment. Given the external financing gap and the constraints imposed by dollarization, front-loaded and sustained fiscal consolidation is needed to address external vulnerabilities. In addition to a credible medium-term fiscal and financing strategy, reserve buffers should be strengthened and structural reforms accelerated to promote exports and attract FDI. Strong policy implementation, supported by continued engagement from international financial institutions, would help restore investor confidence and ensure durable market access on favorable terms.

FX Intervention and Reserves Level

Background. El Salvador is fully dollarized. Gross international reserves reached US\$4.8 billion at the end-2025, while net international reserves stood approximately at US\$4.5 billion, reflecting around US\$300 million in short-term external liabilities of the BCR. Reserve coverage amounted to only 58 percent of the IMF's ARA metric for fixed-exchange-rate regimes and 43 percent of the adapted metric for fully dollarized economies. Reserves are projected to increase by roughly US\$570 million in 2026, supported by stronger FDI and other inflows and continued growth in the deposit base. Import coverage is expected to improve gradually, reaching 3.3 months of imports in 2027 and 3.5 months of imports in 2028.



Assessment. International reserve holdings remain well below levels considered adequate under the adjusted ARA metric. Although dollarization eliminates exchange-rate risks, the economy must maintain

sufficient foreign exchange buffers to meet external obligations and absorb balance of payments shocks. Given still-constrained market access and potential debt-sustainability concerns, rebuilding reserve buffers should remain a policy priority alongside fiscal consolidation. Greater reserve accumulation would strengthen confidence and enhance the BCR's capacity to provide liquidity during periods of financial stress. El Salvador's reliance on remittances and tourism—both potentially volatile sources of foreign exchange—further underscores the need for stronger reserve coverage. Measures to increase reserve holdings, including higher reserve requirements, would support a gradual restoration of reserve adequacy.

^{1/} OECD (2023), *Multi-dimensional Review of El Salvador: Strategic Priorities for Robust, Inclusive and Sustainable Development*, OECD Development Pathways, OECD Publishing, Paris.

^{2/} Financing sources included the World Bank (COVID-19 vaccine procurement), IFC (green bank loans), CABEL and CAF (infrastructure loans), and IMF financing under the Rapid Financing Instrument (RFI).

Annex III. Program Implications of Changes in External Financing

A recalibration of program targets is warranted to accommodate lower-than-envisaged official external financing while preserving the program's financing strategy, rebuilding government deposits at the BCR, and continuing to reduce domestic debt.

1. The composition and timing of external financing have changed significantly since program approval. While the projected fiscal adjustment remains broadly unchanged and the cumulative overall deficit over 2025–26 is now expected to be US\$88 million lower than envisaged at program approval (reflecting lower interest payments), cumulative net external financing is projected to be US\$832 million lower. The shortfall reflects weaker project financing in 2025 and lower budget support in 2026, owing to delays in meeting budget-support conditionality and changes in financing modalities of some multilateral institutions and including because US\$200 million of budget support programmed for 2026 was frontloaded to 2025. Although part of the decline in official financing has been offset by private external borrowing in 2025 (a portion of which was used to repay more expensive multilateral debt), the resources available during 2025–26 to reduce domestic debt and strengthen government liquidity buffers are now estimated to be US\$744 million lower than envisaged under the original program baseline (Table 1). In particular, US\$271 million of net domestic financing will be required in 2026 to finance the overall deficit.
2. At the same time, the nonfinancial public sector (NFPS) accumulated assets and deposits outside the BCR during 2025. State-owned enterprises (SOEs) and decentralized entities have been building deposits outside the BCR since 2008, for operational purposes and because deposits at the BCR are not remunerated (Figure 1).¹ While no such accumulation was envisaged under the program (Table 1), the NFPS accumulated US\$409 million in assets and deposits outside the BCR during 2025, equivalent to roughly 80 percent of available resources for reducing domestic debt and increasing deposits at the BCR. As a result, SOE deposits held in commercial banks rose to more than 15 months of spending, while general government deposits at the BCR remained below one month of spending (Figure 2).
3. In light of these developments, the path for NFPS deposits at the BCR has been recalibrated to continue rebuilding government liquidity buffers while limiting the increase in domestic debt. The original program envisaged an increase of US\$300 million in deposits at the BCR during 2025–26 and a reduction in domestic debt of US\$715 million. This would have supported the accumulation of international reserves and government liquidity buffers, while lowering domestic debt by about 7.8 percent of GDP relative to end-2024. Given the reduction in external financing, the program now envisages slowing down annual accumulation of NFPS deposits outside the BCR in 2026 and 2027.² The program would also allow up to US\$670 million in

¹ Over 92 percent of NFPS deposits at the BCR are held by the central government. In contrast, SOEs and decentralized entities hold their deposits outside the BCR, primarily in the form of remunerated time deposits.

² The NFPS has accumulated US\$125 million of deposits outside the BCR during January–June 2026. Because most deposits held outside the BCR are invested in time deposits, drawing down large amounts before maturity would require incurring in early-withdrawal penalties.

net domestic borrowing in 2026 and US\$480 million in 2027³, to help rebuilding liquidity buffers and finance the overall deficit. Together, these measures would raise NFPS deposits at the BCR to US\$810 million by end-2026—the level originally envisioned for end-2025—and to 1,176 million in 2027, while still reducing domestic debt-to-GDP vis-à-vis end-2024.

Figure 1. NFPS Deposits
(Millions of U.S. Dollar; 12-month Moving Average)

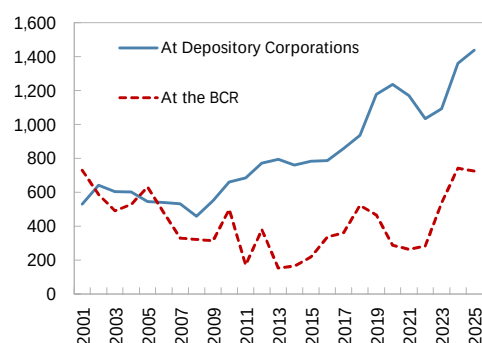
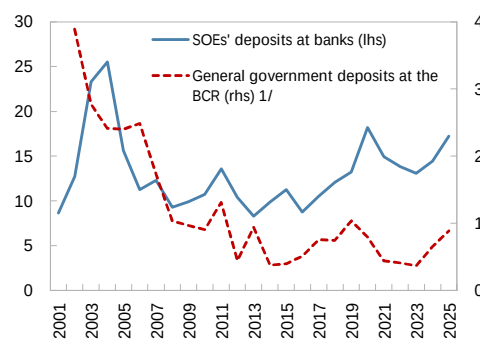


Figure 2. SOE Deposits at Banks, and General Government Deposits at the BCR
(In Months of Spending) 1/



Source: IFS and Central Bank of El Salvador.

1/ Computed as months of NFPS spending excluding SOE expenditure.

Table 1. El Salvador: Program Implications of Changes to External Financing

	(A) At program approval 1/				(B) Current 2/				Cumulative Difference 2025-26
	2025 (proj.)	2026 (proj.)	Cumulative e 2025-26	2027 (proj.)	2025 (actual)	2026 (proj.)	Cumulative e 2025-26	2027 (proj.)	
Overall deficit 3/	-1,240	-799	-2,039	-701	-1,051	-900	-1,951	-881	88
Primary balance	700	1,118	1,818	1,497	705	1,125	1,829	1,525	11
Interest payments 3/	-1,940	-1,917	-3,857	-2,198	-1,756	-2,024	-3,780	-2,406	77
Net external financing	1,671	1,383	3,054	1,292	1,546	676	2,222	971	-832
IMF disbursements	305	200	505	201	233	140	373	212	-132
Project financing	1,100	1,093	2,193	900	614	955	1,569	1,283	-624
Budget support	950	600	1,550	550	1,150	75	1,225	250	-325
External private borrowing	0	0	0	600	580	0	580	0	580
Amortization of external debt	-684	-510	-1,194	-959	-1,031	-494	-1,525	-774	-331
Available financing to reduce domestic debt and/or accumulate deposits at the BCR	431	584	1,015	591	495	-223	271	90	-744
Uses of available financing	-431	-584	-1,015	-591	-495	223	-272	-90	743
Net domestic borrowing (excluding reconocimiento)	-331	-384	-715	-442	-226	669	443	480	1,158
Accumulation (-) / drawdown (+) of deposits at the BCR	-100	-200	-300	-150	140	-240	-100	-366	200
Accumulation (-) / drawdown (+) of assets outside the BCR 4/	0	0	0	0	-409	-206	-615	-204	-615
Memorandum item									
NFPS deposits at BCR, millions of US dollar	810	1,010	...	1,160	570	810	...	1,176	-200
NFPS deposits at BCR in months of next year primary spending	1.0	1.3	...	1.4	0.7	1.0	...	1.1	-0.3
GIR in percent of total short-term external debt	138.0	156.0	...	190.0	129.3	145.7	...	165.0	-10.3
Domestic debt to GDP, percent 3/	47.9	44.7	...	41.6	48.0	46.5	...	44.9	1.8
Change relative to end-2024, percentage points of GDP 3/ 5/	-2.3	-5.5	...	-8.6	-4.8	-6.3	...	-7.9	-0.8

1/ For accumulation of deposits and net domestic borrowing, takes 2025 QPCs and 2026 and 2027 projections at program approval.

2/ For accumulation of deposits and net domestic borrowing, takes 2025 outturn and 2026 and 2027 projections.

3/ Excludes the recognition in 2027 of accrued but unpaid interest payments owed to private pension funds.

4/ Equal to the accumulation (-) or drawdown (+) of SOEs deposits outside the BCR, and incurrence (+) or repayments (-) of other external liabilities.

5/ At program approval, end-2024 NFPS domestic debt was 50.2 percent of GDP. Following GDP revisions, this increased to 52.8 percent of GDP.

³ This amount excludes the issuance of certificates to recognize interest payment accrued but not paid to private pension funds during the grace period.

Annex IV. Sovereign Risk and Debt Sustainability Framework

Public debt is assessed as sustainable. The debt-to-GDP ratio is projected to shift upward in 2027 due to the recognition of accrued pension-related liabilities, maintaining a downward trajectory thereafter. The SRDSF indicates a moderate risk of sovereign stress, while highlighting vulnerabilities related to reform implementation, natural disasters, and external financing conditions.

A. Assessment

1. Staff assesses that the fiscal consolidation envisaged under the program places public debt on a sustainable path. Public debt is projected to increase temporarily in 2027 (see below) before resuming a firm downward trajectory thereafter. The debt-to-GDP ratio is expected to peak at about 89 percent of GDP in 2027 and decline gradually to around 80 percent of GDP by 2031, contingent on the sustained implementation of the programmed fiscal adjustment and accompanying structural reforms.¹ The debt path includes some asset accumulation of about 1.1 and 1.4 percent of GDP in 2026 and 2027, respectively. Despite recent liability-management operations and a marked decline in sovereign spreads, gross financing needs (GFNs) are projected to rise temporarily to 15 percent of GDP in 2027 while averaging about 10.5 percent of GDP during 2026–2031. This remains well below pre-program projections.² Based on the programmed fiscal consolidation path and market-access assumptions, the SRDSF indicates a moderate risk of sovereign stress over the medium and long term and assesses public debt to be sustainable. Nevertheless, risks remain significant, reflecting potential reform implementation challenges, exposure to climate-related shocks and other natural disasters, and uncertainty surrounding external financing conditions and the global outlook, including higher-for-longer global longer-term interest rates.

2. Staff's assessment remains that public debt is sustainable. Although several important developments have affected the stock of debt:

- The updated baseline incorporates the authorities' planned recognition in 2027 of grace-period liabilities, estimated at about 5.6 percent of GDP. Specifically, the authorities are expected to issue a recognition certificate corresponding to accrued but unpaid interest on a CFT bond held by pension fund administrators. The certificate would broadly match the residual maturity, interest rate, and amortization profile of the underlying CFT bond.
- Official debt data for 2024–25 has been revised downward following the consolidation of intra-government debt holdings by NFPS entities. The revision reduced reported debt by approximately 0.8 percent of GDP, in 2023, 2024 and 2025.

¹ The projected medium-term growth appears optimistic relative to the historical distribution, reflecting higher potential growth estimates underpinned by improved security conditions.

² By comparison, the 2023 Article IV projected GFN to average about 20 percent of GDP over 2026–31.

B. Background

3. The public debt-to-GDP ratio increased modestly between 2023 and 2025, partly reflecting the accumulation of government deposits. Despite successful fiscal consolidation in 2024, public debt rose by around 3.5 percentage points of GDP over the period. The primary balance, which was close to zero in 2024, remained below the level required to stabilize debt. At the same time, the government increased deposits by approximately 1.5 percent of GDP in 2024 and a further 0.7 percent of GDP in 2025.

4. The coverage of official public debt statistics is broadly comprehensive. The DSA is based on the nonfinancial public sector (NFPS) and therefore includes the debt of the general government and non-financial SOEs, whether guaranteed or non-guaranteed. It also covers decentralized autonomous agencies, such as FOVIAL. Pension-related liabilities—including CFTs and COPs—are also incorporated into official NFPS debt statistics. While fiscal data for municipalities and public corporations remains incomplete, including for entities that have securitized future streams, the authorities are undertaking reforms under the program to align fiscal reporting with international statistical standards. As part of these efforts, coverage of municipalities within the NFPS is expected to expand over the course of the program.

5. This SRDSF incorporates both planned and recently completed debt-management operations. Specifically, the analysis includes:

- Recognition of accrued pension liabilities (2027). The baseline incorporates the issuance of a recognition certificate covering interest accrued during the grace period of CFTs, assumed to carry terms broadly comparable to the existing pension bonds.
- Domestic debt reprofiling (2023). The analysis also captures the agreement reached with the pension system (April 2023) and domestic banks (September 2023), which extended maturities and reduced near-term debt service obligations.
- External debt buyback operations (2024). The analysis incorporates three liability-management operations that significantly reduced medium-term financing pressures:
 - In April 2024, proceeds from a US\$1 billion Eurobond issuance were used to repurchase approximately US\$487 million of Eurobonds maturing in 2025, 2027, and 2029.
 - In October 2024, a US\$1 billion Blue Loan from JP Morgan Chase—supported by credit guarantees from the U.S. government and CAF—financed the repurchase of Eurobonds with a face value of approximately US\$1.03 billion, most of which were due in 2027 or later.
 - In November 2024, a second US\$1 billion Eurobond issuance financed the repurchase of about US\$238 million of Eurobonds maturing in 2027, while the remaining proceeds were used to clear domestic arrears, meet external debt obligations, and provide budget support.

- o CEL liability management operation (2025). In 2025, the state-owned electricity company CEL issued a \$580 million 10-year bond, backed by a government guarantee, and repaid about US\$416 million in existing external liabilities, thereby improving near-term cash flows.

C. Risk Analysis

6. The GFN Financeability Module points to a moderate risk of sovereign stress. Baseline GFNs have declined substantially relative to pre-program projections and are projected to average 10.5 percent of GDP during 2026–31. This average is influenced by the one-off increase in 2027 associated with the recognition of pension-related liabilities; excluding 2027, average GFNs would fall to 9.6 percent of GDP. The GFN *Financeability Index* is estimated at 9.9, well below the high-risk threshold of 17.9. The index is primarily driven by the continued reliance on both domestic and external financing to meet debt amortization needs.

7. The debt fanchart module also points to a moderate risk of sovereign stress. Public debt is projected to decline toward 80 percent of GDP by 2030, while the probability of debt stabilization under the baseline scenario is estimated at about 90 percent. The relatively narrow fanchart reflects the historically low volatility of growth and inflation. In addition, the predominance of dollar-denominated debt has limited fiscal risks associated with exchange-rate movements given official dollarization.

8. The Medium-Term Index (MTI) also indicates a moderate level of sovereign risk, consistent with the overall findings of the SRDSF analysis.

Table 1. El Salvador: Risk of Sovereign Stress

Horizon	Mechanical signal	Final assessment	Comments
Overall	...	Moderate	The overall risk of sovereign stress is moderate under a program scenario, reflecting credible fiscal consolidation and moderate levels of vulnerability in the medium- and long-term horizons.
Near term 1/	n.a.	n.a.	Not applicable
Medium term	Moderate	Moderate	Staff's assessment on medium-term risk is 'moderate', which is aligned with the mechanical signal and reflects in part El Salvador's access to both domestic financing and external financing, both private and multilateral / bilateral, on affordable terms that would not pose a threat to fiscal / debt sustainability.
Fanchart	Moderate	...	
GFN	Moderate	...	
Stress test	Comm. Prices Nat. Diast.	...	
Long term	...	Moderate	Given large susceptibility to exogenous shocks, including natural disasters, limited but growing access to the international debt market on affordable terms, and considerable uncertainties surrounding the implementation of a comprehensive medium-term fiscal consolidation plan, staff assessed the risk of sovereign stress over the long-term as moderate.
Sustainability assessment 2/		Sustainable	The projected debt path falls steadily to sustainable levels and GFNs will remain at manageable levels, conditional on implementation of fiscal adjustment measures that are assessed as feasible. Given the strong fiscal reform measures included in the program, both on revenues and expenditures, staff's assessment is that public debt is sustainable, consistent with the mechanical SRDSF assessment.
Debt stabilization in the baseline			Yes

DSA Summary Assessment

Commentary: Staff assessed public debt in El Salvador to be sustainable under the program scenario, supported by the successful implementation of a fiscal consolidation path which improves the primary balance by 4.2 percentage points of GDP. The program includes key structural reform measures, including civil service and pension reform. These reforms are expected to have a long-term positive impact on public finances and enable El Salvador to access external financing on more affordable terms, as a declining trajectory for public debt strengthens market confidence. Further, the tools from the Sovereign Risk and Debt Sustainability Framework (SRDSF) indicate a moderate probability of sovereign stress, and a public debt trajectory that is sustainable, consistent with staff's assessment. Staff recognizes that risks to debt sustainability remain significant, including exposure to shocks such as natural disasters and global uncertainty.

Source: Fund staff.

Note: The risk of sovereign stress is a broader concept than debt sustainability. Unsustainable debt can only be resolved through exceptional measures (such as debt restructuring). In contrast, a sovereign can face stress without its debt necessarily being unsustainable, and there can be various measures—that do not involve a debt restructuring—to remedy such a situation, such as fiscal adjustment and new financing.

1/ The near-term assessment is not applicable in cases where there is a disbursing IMF arrangement. In surveillance-only cases or in cases with precautionary IMF arrangements, the near-term assessment is performed but not published.

2/ A debt sustainability assessment is optional for surveillance-only cases and mandatory in cases where there is a Fund arrangement. The mechanical signal of the debt sustainability assessment is deleted before publication. In surveillance-only cases or cases with IMF arrangements with normal access, the qualifier indicating probability of sustainable debt ("with high probability" or "but not with high probability") is deleted before publication.

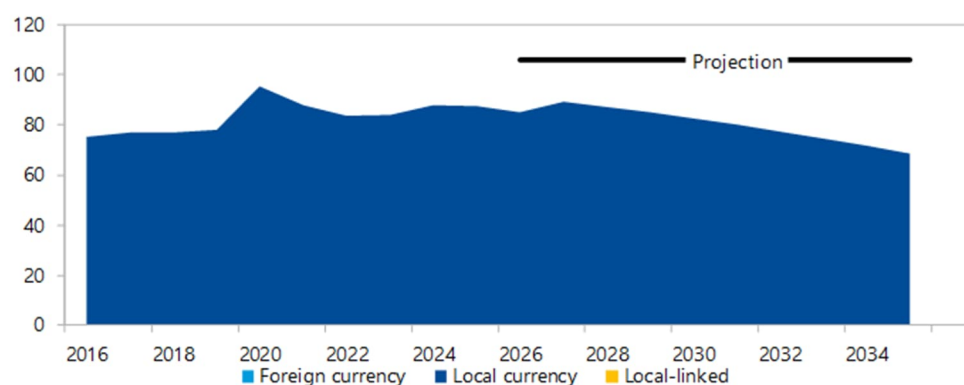
Figure 1. El Salvador: Debt Coverage and Disclosure

Figure 2.1: Coverage of Debt Coverage and Disclosure

1. Debt coverage in the DSA: 1/										Comments		
		CG	GG	NFPS	CPS	Other						
1a. If central government, are non-central government entities insignificant?										n.a.		
2. Subsectors included in the chosen coverage in (1) above:												
Subsectors captured in the baseline										Inclusion		
CPS	NFPS	GG: expected	CG	1	Budgetary central government					Yes	Not applicable	
				2	Extra budgetary funds (EBFs)					Yes		
				3	Social security funds (SSFs)					Yes		
				4	State governments					Yes		
				5	Local governments					Yes		
				6	Public nonfinancial corporations					Yes		
				7	Central bank					No		
				8	Other public financial corporations					No		
3. Instrument coverage:												
		Currency & deposits	Loans	Debt securities	Oth acct. payable 2/	IPSGSs 3/						
4. Accounting principles:												
Basis of recording					Valuation of debt stock							
Non-cash basis 4/		Cash basis	Nominal value 5/	Face value 6/	Market value 7/							
5. Debt consolidation across sectors:												
					Consolidated	Non-consolidated						
Color code: ■ chosen coverage ■ Missing from recommended coverage ■ Not applicable												
Reporting on Intra-Government Debt Holdings												
		Holder	Budget. central govt	Extra-budget. funds	Social security funds	State govt.	Local govt.	Nonfin. pub. corp.	Central bank	Oth. pub. fin corp	Total	
CPS	NFPS	GG: expected	CG	1	Budget. central govt							0
				2	Extra-budget. funds							0
				3	Social security funds							0
				4	State govt.							0
				5	Local govt.							0
				6	Nonfin pub. corp.							0
				7	Central bank							0
				8	Oth. pub. fin. corp							0
Total				0	0	0	0	0	0	0	0	
1/ CG=Central government; GG=General government; NFPS=Nonfinancial public sector; PS=Public sector.												
2/ Stock of arrears could be used as a proxy in the absence of accrual data on other accounts payable.												
3/ Insurance, Pension, and Standardized Guarantee Schemes, typically including government employee pension liabilities.												
4/ Includes accrual recording, commitment basis, due for payment, etc.												
5/ Nominal value at any moment in time is the amount the debtor owes to the creditor. It reflects the value of the instrument at creation and subsequent economic flows (such as transactions, exchange rate, and other valuation changes other than market price changes, and other volume changes).												
6/ The face value of a debt instrument is the undiscounted amount of principal to be paid at (or before) maturity.												
7/ Market value of debt instruments is the value as if they were acquired in market transactions on the balance sheet reporting date (reference date). Only traded debt securities have observed market values.												
Commentary: While public debt coverage is relatively comprehensive, STA and CAPTAC-DR have been supporting the authorities' efforts to strengthen debt statistics. Recent TA has focused on reconciling differences in the data produced by the Central Bank and the Ministry of Finance, as well as addressing coverage issues related to local governments and alignment with international standards and best practices. While the authorities have made progress in these areas, further work remains warranted.												

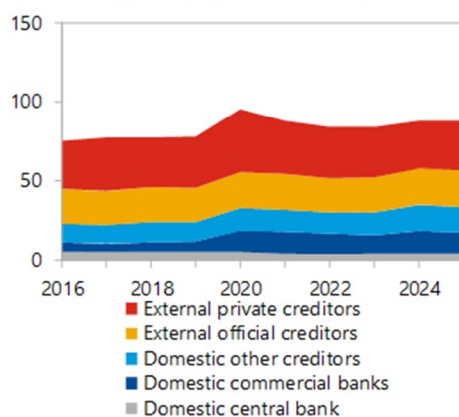
Figure 2. El Salvador: Public Debt Structure Indicators

Debt by Currency (Percent of GDP)



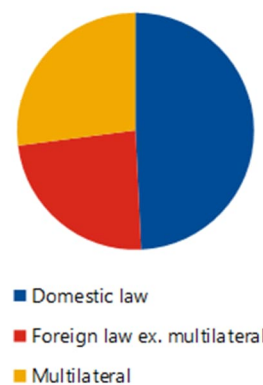
Note: The perimeter shown is nonfinancial public sector.

Public Debt by Holder (Percent of GDP)



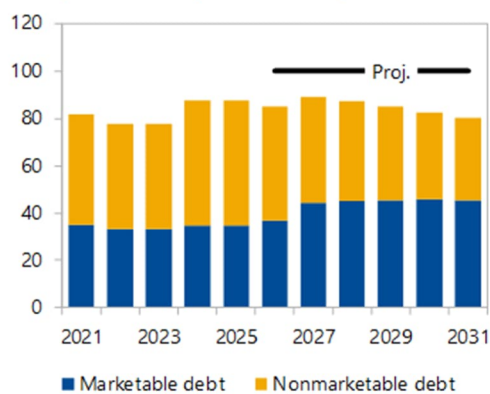
Note: The perimeter shown is general government.

Public Debt by Governing Law, 2025 (percent)



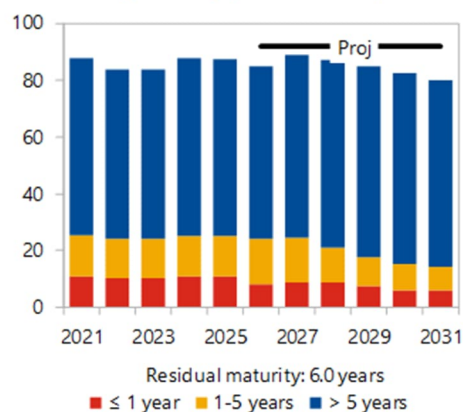
Note: The perimeter shown is general government.

Debt by Instruments (Percent of GDP)



Note: The perimeter shown is general government.

Public Debt by Maturity (Percent of GDP)



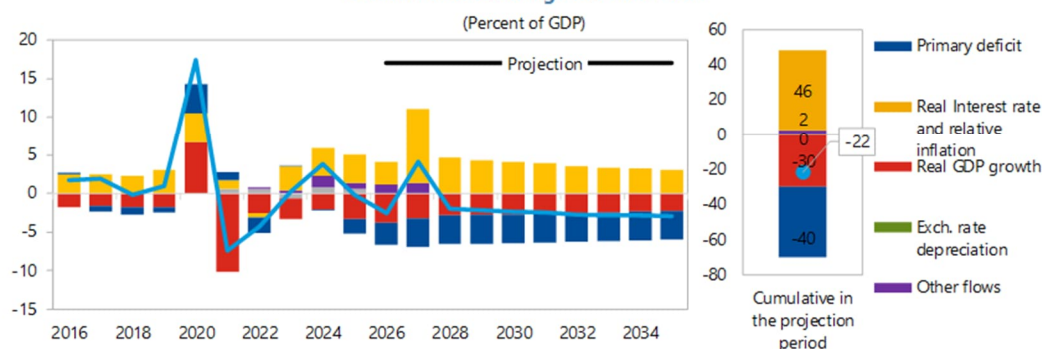
Note: The perimeter shown is general government.

Commentary: The implementation of the program, including the structural reforms it envisages, is expected to have a positive long-term impact on public finances and support access to external financing on more affordable terms. A sustained decline in public debt is expected to strengthen market confidence and improve financing conditions over time.

Figure 3. El Salvador: Baseline Scenario
(Percent of GDP Unless Indicated Otherwise)

	Actual	Medium-term projection						Extended projection			
	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035
Public debt	87.6	85.0	89.1	87.2	84.9	82.6	80.1	77.4	74.5	71.6	68.7
Change in public debt	-0.2	-2.5	4.1	-1.9	-2.2	-2.3	-2.5	-2.7	-2.9	-2.9	-2.9
Contribution of identified flows	-0.8	-2.5	4.1	-1.9	-2.2	-2.3	-2.5	-2.7	-2.9	-2.9	-2.9
Primary deficit	-1.9	-2.9	-3.7	-3.7	-3.7	-3.7	-3.7	-3.7	-3.7	-3.7	-3.7
Noninterest revenues	27.8	28.4	28.5	28.5	28.6	28.7	28.8	28.8	28.8	28.8	28.8
Noninterest expenditures	25.9	25.5	24.8	24.7	24.8	24.9	25.0	25.0	25.0	25.0	25.0
Automatic debt dynamics	0.4	-0.8	6.4	1.8	1.5	1.4	1.2	1.0	0.9	0.9	0.8
Real interest rate and relative inflation	3.7	3.0	9.7	4.6	4.3	4.1	3.9	3.6	3.4	3.2	3.1
Real interest rate	3.7	3.0	9.7	4.6	4.3	4.1	3.9	3.6	3.4	3.2	3.1
Relative inflation	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Real growth rate	-3.3	-3.8	-3.3	-2.8	-2.8	-2.7	-2.6	-2.6	-2.5	-2.4	-2.3
Real exchange rate	0.0	...	...	...	...	...	...	...	...	...	...
Other identified flows	0.7	1.1	1.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
(minus) Interest Revenues	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Other transactions 1/	0.7	1.1	1.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Contribution of residual	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Gross financing needs	13.5	8.8	15.2	10.7	10.7	9.7	8.2	8.4	8.1	7.8	8.0
of which: debt service	15.4	11.6	18.9	14.4	14.4	13.5	12.0	12.2	11.9	11.6	11.7
Local currency	15.4	11.6	18.9	14.4	14.4	13.5	12.0	12.2	11.9	11.6	11.7
Foreign currency	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Memo:											
Real GDP growth (percent)	3.9	4.5	4.0	3.3	3.3	3.3	3.3	3.3	3.3	3.3	3.3
Inflation (GDP deflator; percent)	1.3	2.7	2.0	1.8	1.8	1.8	1.9	2.0	2.0	2.0	2.0
Nominal GDP growth (percent)	5.2	7.3	6.1	5.1	5.2	5.2	5.2	5.4	5.4	5.4	5.4
Effective interest rate (percent)	5.7	6.3	14.1	7.2	7.0	6.9	6.8	6.7	6.6	6.6	6.5

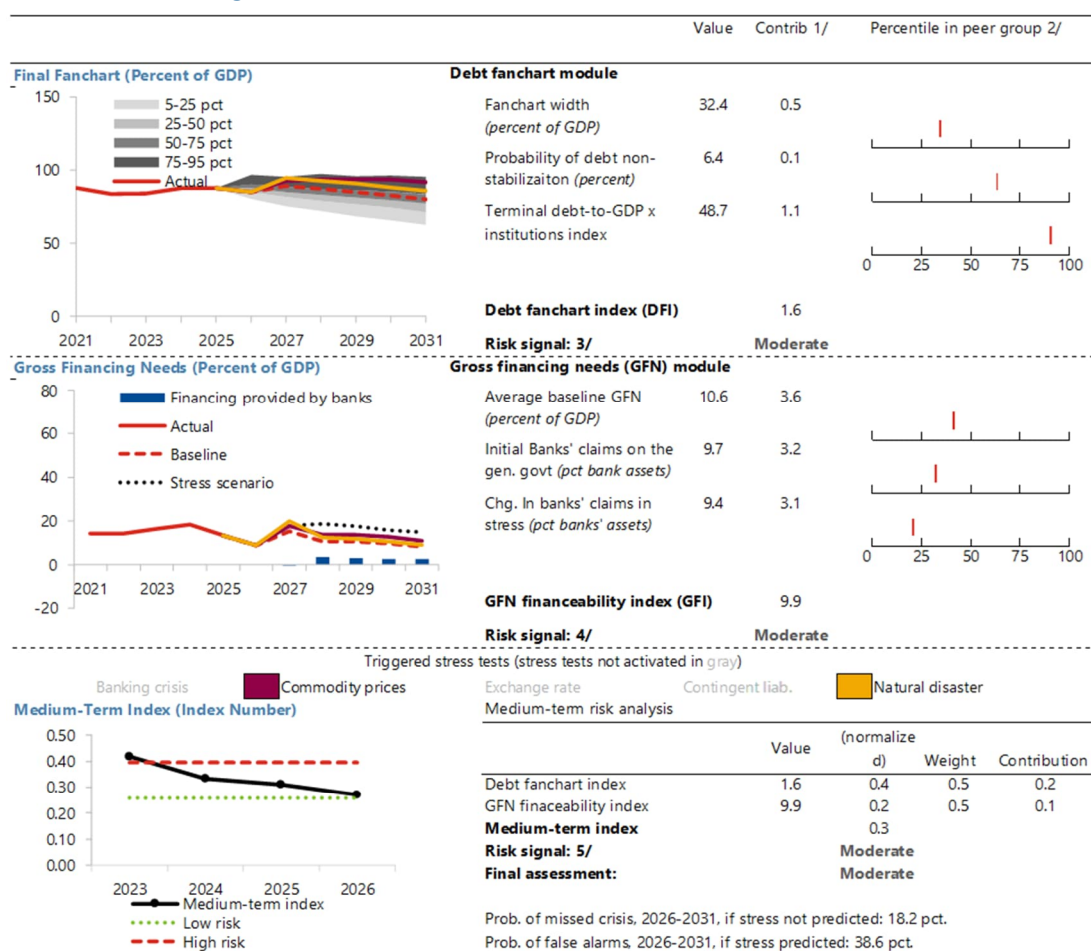
Contribution to Change in Public Debt



Commentary: Under the program, public debt is projected to fall, supported by the fiscal consolidation improving the primary balance; the steady decline will be interrupted in 2027 due to the recognition of accrued interest related to pension debt in 2027. A decline in the public debt-to-GDP ratio would improve market confidence.

1/ Other transactions include deposit accumulation.

Figure 4. El Salvador: Medium-Term Risk Assessment



Commentary: The medium-term modules signal moderate sovereign stress tests driven by the steady improvement of the primary balance over the medium-term resulting from the implementation of the strong structural fiscal reform. The GFN stress tests find moderate risks.

Source: IMF staff estimates and projections.

1/ See Annex IV of IMF, 2022, Staff Guidance Note on the Sovereign Risk and Debt Sustainability Framework for details on index calculation.

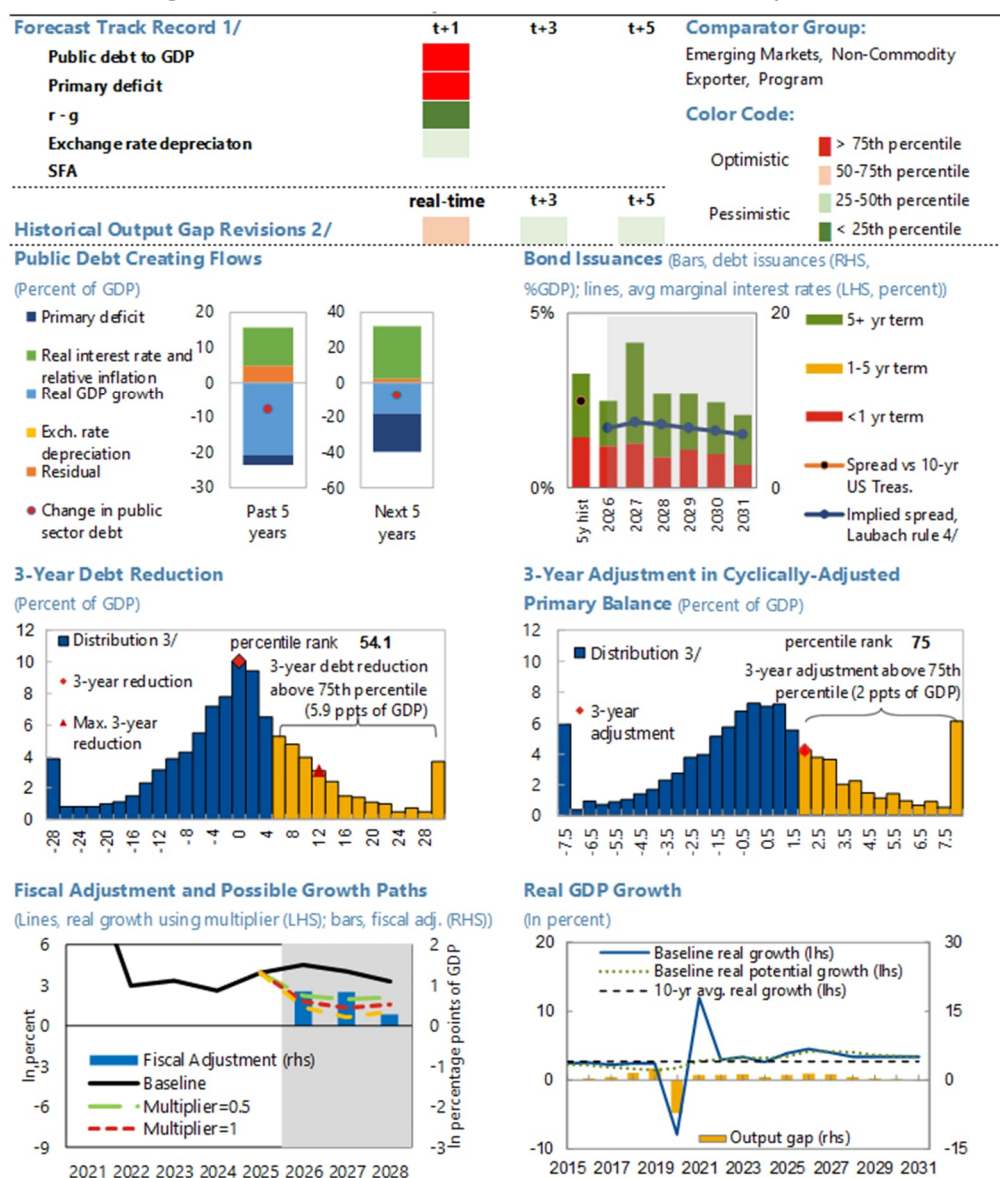
2/ The comparison group is emerging markets, non-commodity exporter, program.

3/ The signal is low risk if the DFI is below 1.13; high risk if the DFI is above 2.08; and otherwise, it is moderate risk.

4/ The signal is low risk if the GFI is below 7.6; high risk if the DFI is above 17.9; and otherwise, it is moderate risk.

5/ The signal is low risk if the GFI is below 0.26; high risk if the DFI is above 0.40; and otherwise, it is moderate risk.

Figure 5. El Salvador: Realism of Baseline Assumptions



Commentary: The realism tool shows that the fiscal adjustment envisaged under the program, in terms of the targeted 3-year improvement in the cyclically-adjusted primary balance, is ambitious, in relation to both cross-country comparisons and to El Salvador's own history. However, El Salvador has already achieved a sizeable consolidation in 2025 and aims to achieve the program consolidation to access more affordable external financing to better face its gross financing needs over the medium- to long-term.

Source: IMF Staff.

1/ Projections made in the October and April WEO vintage.

2/ Calculated as the percentile rank of the country's output gap revisions (defined as the difference between real time/period ahead estimates

3/ Data cover annual observations from 1990 to 2019 for MAC advanced and emerging economies. Percent of sample on vertical axis.

4/ The Laubach (2009) rule is a linear rule assuming bond spreads increase by about 4 bps in response to a 1 ppt increase in the projected debt-to-GDP ratio.

Figure 6. El Salvador: Long-Term Risk Assessment

Triggered Modules

Large amortizations

Pensions

Climate change: Adaptation

Natural Resources

Health

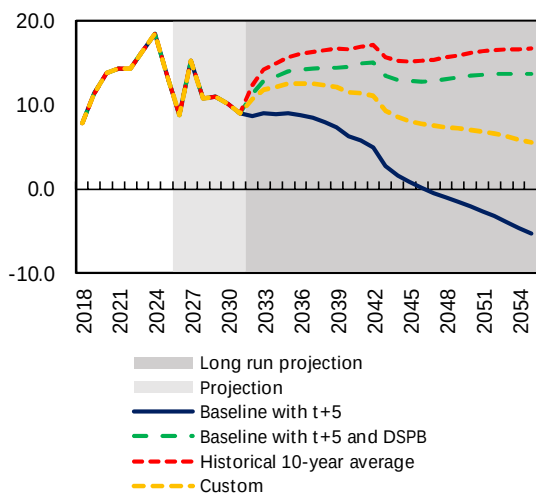
Climate change: Mitigation

Long-Term Risk Assessment: Large Amortization Incl. Custom Scenario

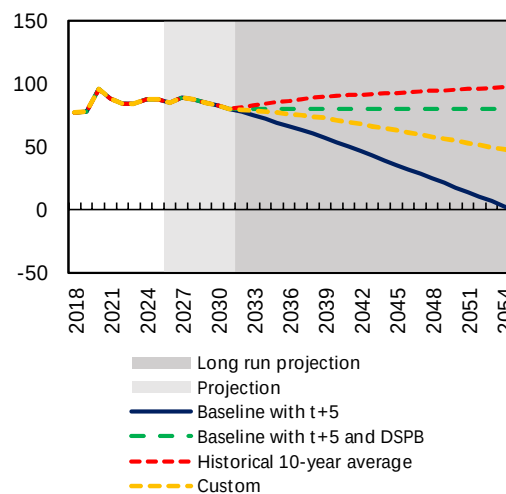
Projection	Variable	Risk Indication
Medium-term extrapolation	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Medium-term extrapolation with debt stabilizing primary balance	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Historical average assumptions	GFN-to-GDP ratio	
	Amortization-to-GDP ratio	
	Amortization	
Overall Risk Indication		

Variable	2031	2035 to 2039 average	Custom Scenario
Real GDP growth	3.3%	3.3%	3.3%
Primary Balance-to-GDP ratio	3.7%	3.7%	1.7%
Real depreciation	-1.8%	-2.0%	-1.9%
Inflation (GDP deflator)	1.9%	2.0%	2.0%

GFN-to-GDP Ratio

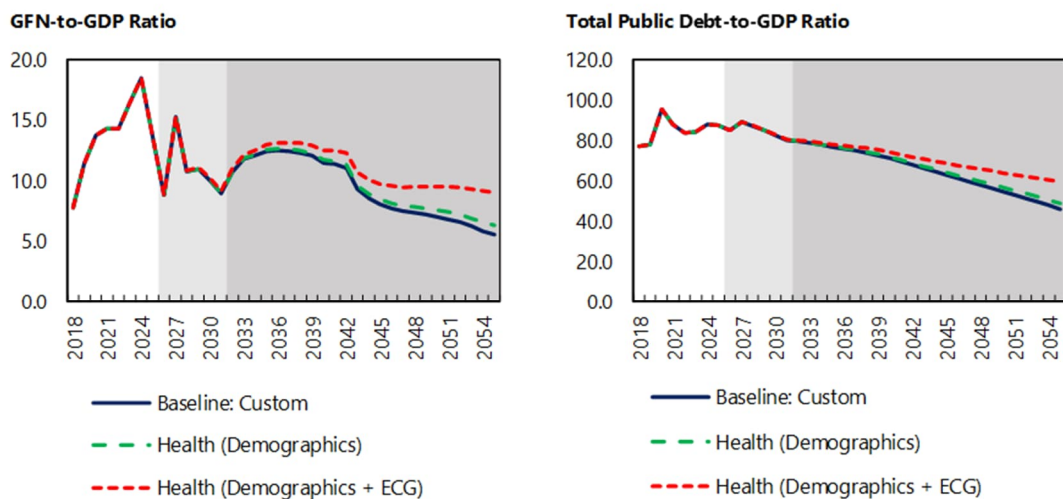


Total Public Debt-to-GDP Ratio



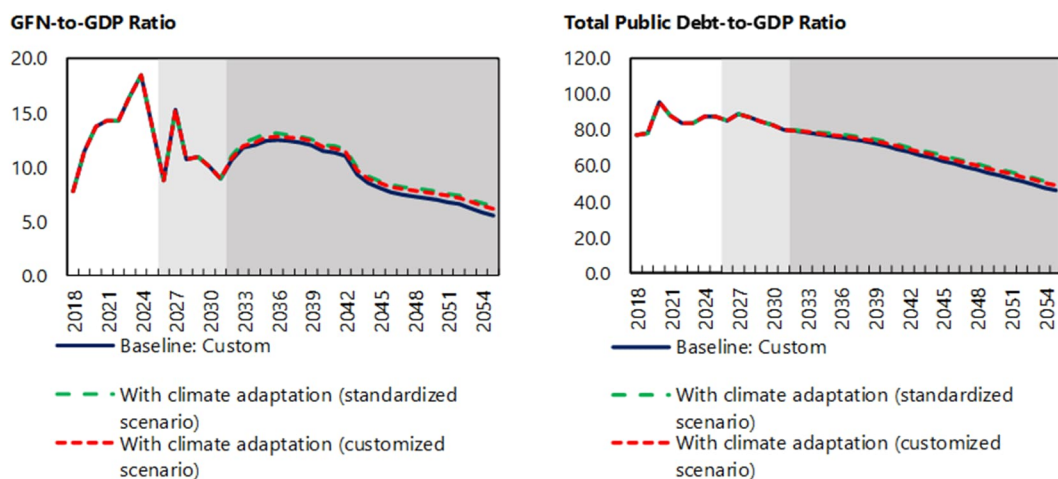
Commentary: The fiscal consolidation embedded in the program, and after, prudent fiscal policy anchored in the Fiscal Sustainability Law will strengthen fiscal buffers and sustainability.

Figure 7. El Salvador: Demographics: Health



Commentary: The fiscal consolidation embedded in the program will place debt on a downward trend and hence strengthen buffers to face long-term shocks. The planned civil service reform together with AI-driven health reform will improve the efficiency of health provision in the country.

Figure 8. El Salvador: Climate Change: Adaptation



Commentary: The fiscal consolidation embedded in the program will place debt on a downward trend and hence strengthen buffers to face long-term shocks.

Annex V. Risk Assessment Matrix¹

Source of Risk	Likelihood /Impact	Policy Response
Global Risks		
Intensification of Conflicts and Geopolitical Tensions. Intensified geopolitical tensions, weaker multilateralism, and other factors raise risks of military escalation and renewed or prolonged conflict, including in the Middle East. Further damage to infrastructure, disruptions to trade routes and supply chains, refugee flows, financial frictions, and commodity and financial market volatility weigh on growth and fuel inflation.	High likelihood High impact	Maintain prudent macroeconomic policies and preserve policy credibility to sustain investor confidence amid heightened external volatility. Strengthen fiscal and financial buffers and maintain adequate liquidity in the financial system to enhance resilience to external shocks. Advance reforms that improve competitiveness and support export diversification, helping reduce vulnerability to disruptions in global trade and supply chains.
Protectionism and Trade Disruptions. Tariff increases and nontariff restrictions weigh on growth, and measures targeting upstream sectors or critical inputs generate supply bottlenecks impacting output and prices. Retaliatory measures amplify costs and disrupt global supply chains.	Medium likelihood High impact	Preserve trade openness and deepen regional and global trade integration to mitigate the impact of rising trade barriers. Diversify export markets and products to reduce reliance on specific trading partners and strengthen resilience to supply chain disruptions. Advance reforms to enhance competitiveness, improve the business environment, and attract investment to support export growth and maximize the gains from trade integration.
New International Agreements. Trade pacts reduce barriers and uncertainty, supporting investment and growth. Cooperation on services, FDI, and taxation enhances gains and strengthens public finances.	Low likelihood Moderate impact	Seize opportunities arising from new trade and investment agreements by advancing reforms that strengthen competitiveness, improve the business climate, and facilitate foreign direct investment. Support export diversification and enhance workforce skills and infrastructure to maximize the benefits of deeper integration into global markets.
Renewed Energy Price Pressures. A re-escalation of geopolitical tensions and tighter inventories increase energy prices and volatility, with potential nonlinearities.	High likelihood High impact	Build fiscal buffers and strengthen revenue mobilization to absorb commodity price shocks while preserving priority social spending. Promote energy diversification and efficiency to reduce exposure to imported fuel prices. Strengthen targeted social assistance to mitigate the impact on vulnerable households and maintain macroeconomic stability.

¹ The Risk Assessment Matrix (RAM) shows events that could materially alter the baseline path. The relative likelihood is the staff's subjective assessment of the risks surrounding the baseline ("low" is meant to indicate a probability below 10 percent, "medium" a probability between 10 and 30 percent, and "high" a probability between 30 and 50 percent). The RAM reflects staff views on the source of risks and overall level of concern as of the time of discussions with the authorities. Non-mutually exclusive risks may interact and materialize jointly.

Easing geopolitical disruptions, stronger-than-expected energy supply, and slower inventory rebuilding reduce price pressures, supporting growth and lowering inflation.	Medium likelihood Moderate impact	Use the favorable terms-of-trade shock to strengthen fiscal and external buffers, accelerate debt reduction, and rebuild policy space. Allow lower energy costs to pass through to consumers while avoiding procyclical spending increases. Advance structural reforms to enhance competitiveness, support investment, and raise medium-term growth.
Fiscal Vulnerabilities and Higher Interest Rates. Higher public debt and deficits drive long-term rates higher, tightening financial conditions, amplifying currency volatility, worsening debt dynamics and lifting inflation. These pressures are amplified by leveraged NBFIs and price-sensitive investors in sovereign markets, concentrated rollover needs, and strong sovereign-financial linkages. Concurrently, tighter external conditions trigger capital outflows from EMDEs, pushing short-term rates sharply higher.	High likelihood High impact	Advance sustained fiscal consolidation to place public debt firmly on a downward trajectory and reduce financing needs. Maintain adequate liquidity buffers, strengthen debt management, and closely monitor sovereign-financial linkages. Preserve policy credibility and market access to mitigate the impact of tighter global financial conditions.
Disorderly AI Correction. Elevated market exuberance and concentration around AI unwind abruptly, triggering a sharp market correction, suppressing demand, and tightening financial conditions.	High likelihood High impact	Strengthen macroeconomic and financial resilience by maintaining prudent fiscal policies and advancing reforms that reinforce investor confidence and market access. Closely monitor financial sector exposures to global market volatility and stand ready to safeguard liquidity and financial stability if external financing conditions tighten. Accelerate reforms to boost productivity, diversify growth drivers, and attract investment across sectors.
AI-driven Demand. An accelerated upswing in capital spending and strong demand for AI-related hardware further fuel the global tech cycle and financial market valuation, supporting investment, output, and cross-border trade, while also exerting additional upward pressure on prices.	Medium likelihood Moderate impact	Use the favorable external environment to strengthen macroeconomic buffers and accelerate productivity-enhancing reforms. Promote investment in digital infrastructure, human capital, and technology adoption to maximize gains from stronger global trade and investment flows. Preserve fiscal discipline and closely monitor inflationary pressures associated with stronger global demand.
Labor Shortages and Remittances. Tighter immigration policies deepen labor shortages in aging economies, weighing on output, inflation, and fiscal balances. Origin countries face lower remittances, and weaker external positions, with potential medium-term mitigation from a larger domestic labor force.	Medium likelihood High impact	Strengthen external resilience through prudent macroeconomic policies and adequate reserve buffers. Prepare contingency measures to address potential declines in remittances and pressures on the external balance. Protect priority social spending and strengthen targeted support to vulnerable households affected by income losses. Advance reforms that support labor force participation, productivity, and domestic job creation.

Domestic Risks		
Reform implementation challenges. Fiscal consolidation and structural reform efforts could face implementation constraints or entail larger-than-expected growth tradeoffs. A slower pace of reform may undermine investor confidence and increase susceptibility to shocks.	Medium likelihood High impact	Ensure timely implementation of fiscal and structural reforms to preserve policy credibility and investor confidence. Strengthen PFM and governance frameworks to support effective execution and monitoring. Prepare contingency measures to offset reform delays while safeguarding priority social and investment spending.
Natural disasters. More frequent extreme weather and other natural disasters to which El Salvador is highly exposed (such as El Niño, earthquakes and volcanoes), cause loss of life, damage to infrastructure, food insecurity, supply disruptions, lower growth, and financial instability.	High likelihood Moderate impact	Strengthen resilience through investment in resilient infrastructure and climate adaptation. Build fiscal buffers to manage recovery costs. Enhance contingency planning and emergency response capacity. Expand targeted social protection to support vulnerable populations. Strengthen resilience through investment in climate-resilient and disaster-resistant infrastructure. Build fiscal buffers and enhance disaster risk management frameworks to support rapid recovery efforts. Improve contingency planning and emergency response capacity, while expanding targeted social protection to assist affected households.

Appendix I. Letter of Intent

San Salvador, El Salvador
September 18, 2026

Ms. Kristalina Georgieva
Managing Director
International Monetary Fund
Washington, DC 20431

Dear Ms. Georgieva,

El Salvador is benefiting greatly from the implementation of the Extended Fund Facility (EFF) arrangement approved in February 2025. Economic activity continues to surpass expectations, reaching the highest growth rates of the last three decades, supported by a structural increase in potential GDP growth, while steadfast implementation of our economic program is supporting investor confidence and strengthening the foundations for sustained and inclusive growth. These gains have contributed to a significant reduction in poverty and improvements in other social indicators. Since completion of the first review, the financial system has remained sound and well-positioned to provide credit to support economic activity, external buffers have strengthened further and fiscal consolidation has continued to advance, with only temporary deviations. We are making substantial progress toward achieving the program's objectives while strengthening governance, transparency, and economic resilience. On the issue of Bitcoin, we have substantially reduced public-sector involvement in the e-wallet Chivo through the transfer of majority ownership and control to a private operator, while retaining a minority stake and custodial responsibilities for customer assets. We have not used public resources to accumulate Bitcoin, and all Bitcoin accumulated since the first review arose from properly documented donations from a private firm.

To build on this progress, we are committed to continuing to implement the program. As highlighted in the attached Memorandum of Economic and Financial Policies (MEFP), understandings have been reached on policies that (i) deepen fiscal consolidation and put public debt on a firm downward path, including through carefully sequenced reforms of our pension and civil service systems; (ii) strengthen external and liquidity buffers, and enhance the resilience of our financial system; (iii) further improve governance and transparency frameworks, while reducing barriers to investment and formal employment. Going forward, we will continue enhancing the regulatory framework for crypto-assets to support the program objective of reducing public involvement in Bitcoin, and create the conditions for the public sector to eventually exit its custodial role over Chivo clients' assets—which are owned by those clients and held separately from public-sector holdings.

Against this backdrop, we request completion of the second and third reviews under the EFF arrangement and the associated purchase in an amount equivalent to SDR 101.96 million (35.5 percent of quota). We also request Executive Board approval of waivers of nonobservance on the basis of corrective actions for: (i) the end-December 2025 quantitative performance criterion (QPC)

related to the primary balance of the Non-Financial Public Sector (NFPS); (ii) the end-December 2025 QPC on net domestic borrowing of the NFPS; (iii) the end-December 2025 QPC on the stock of NFPS deposits at the Central Bank (BCR); and (iv) the continuous QPC on no voluntary accumulation of Bitcoin. To better align Fund disbursements with the implementation of key reforms and the evolution of our external financing needs, we request a rephrasing of purchases under the EFF arrangement, including the amounts to be purchased upon completion of the second and third reviews, without any change in access or the expiration date of the arrangement. The modest proposed adjustment to the availability dates of the remaining reviews reflects the revised timetable for structural reforms. Finally, we request modifications to the Technical Memorandum of Understanding (TMU) to: (i) target the stock of domestic arrears rather than their net change; (ii) permit specified shortfalls in project financing to be partially offset through a lower floor of the stock of NFPS deposits at the BCR; (iii) exclude the recognition of accrued but unpaid obligations to private pension funds from the measurement of net domestic borrowing in 2027, to facilitate program monitoring; and (iv) allow Bitcoin accumulation arising from properly documented donations that comply with domestic AMF/CFT and government's conflict of interest frameworks, and other domestic legislation and regulations. All prior actions required for the combined second and third reviews will be completed before the Board meeting.

We remain confident that the steadfast implementation of the policies described in the MEFP will safeguard macroeconomic stability and advance the program's objectives. Nevertheless, recognizing the country's exposure to shocks and an uncertain external environment, we stand ready to consult with Fund staff and adopt any additional measures that may be necessary to ensure continued achievement of these objectives. We will continue to provide all information necessary for program monitoring in a timely manner, as specified in the TMU, and will promptly share any information requested by IMF staff to assess program implementation. The BCR and the Ministry of Finance will continue to operate under the framework agreement governing their respective responsibilities for servicing financial obligations to the IMF. Consistent with our commitment to transparency, we authorize the IMF to publish the Staff Report for the combined second and third reviews, this letter, the MEFP, the TMU, the Annexes, and the Sovereign Risk and Debt Sustainability Analysis.

We will continue to consult closely with IMF staff well in advance of adopting or announcing policy changes and will refrain from measures that would be inconsistent with program objectives or commitments. We are confident that steadfast implementation of the program will further strengthen macroeconomic stability, support sustainable and inclusive growth, and improve living standards for all Salvadorans.

Yours sincerely,

/S/

Douglas Pablo Rodríguez Fuentes
Central Bank President

/S/

Jerson Rogelio Posada Molina
Minister of Finance

Attachments (2):

Memorandum of Economic and Financial Policies (MEFP)

Technical Memorandum of Understanding (TMU)

Attachment I. Memorandum of Economic and Financial Policies

I. CONTEXT

1. The Salvadoran economy continues to outperform expectations under the IMF-supported program. Real GDP growth accelerated to 3.9 percent in 2025, and economic activity has remained strong this year, supported by robust construction, manufacturing, tourism and other services, as well as remittances. This expansion has been underpinned by sustained improvements in security and confidence, which are boosting private consumption and investment. Economic activity continues to surpass expectations, reaching the highest growth rates of the last three decades, supported by a structural increase in potential GDP growth. Fiscal consolidation continues to advance, building on the gains achieved in 2025 and supported by strong revenue performance and expenditure restraint, which have also created space for priority social and infrastructure programs. Despite less favorable terms of trade and a somewhat higher current account deficit, international reserves have increased owing to strong capital inflows. More generally, continued implementation of the IMF-supported program is supporting private investment, helping reduce sovereign spreads to their lowest levels since 2011, and strengthening El Salvador's growth potential.

2. Our strategy is delivering significant achievements. Socioeconomic conditions have improved markedly, with the poverty headcount declining by about 20 percent since 2023, supported also by improved access to health, education, and financial services, including through AI-enabled solutions and other innovations. Sustained improvements in security and confidence have significantly reduced outmigration and encouraged our highly skilled diaspora to invest in and return to El Salvador. Meanwhile, gross FDI inflows have doubled between 2020 and 2025, and certified investment projects over the past two years are estimated to have directly generated over 9,000 jobs, with substantial indirect benefits. Importantly, El Salvador has emerged as one of the top 10 innovation ecosystems in Latin America, owing to its pro-market and openness policies. Current investments in health and education are building strong foundations for sustained and inclusive long-term economic growth and development.

II. PROGRAM OBJECTIVES AND PERFORMANCE

3. To sustain these gains, we are fully committed to continuing to implement the IMF program. With strong ownership at the highest level, we will continue to take measures to: (i) place the public debt-to-GDP ratio on a firm downward path; (ii) strengthen financial system liquidity buffers and international reserves; (iii) enhance governance, transparency, and the fight against corruption; (iv) improve the regulatory and supervisory framework of the financial system; and (v) mitigate Bitcoin-related risks. We recognize that steadfast and timely program implementation are essential to continue to catalyze support from our multilateral partners, improve investor confidence, attract foreign investment, and support sustainable and inclusive growth.

4. Program performance has been solid across most dimensions, notwithstanding some rescheduling of actions and minor deviations from targets, which we are working to address.

In this regard, needed waivers are being requested (see Letter of Intent).

- Liquidity and reserve targets. Required liquid assets of depository corporations were above the QPC floor at both end-June and end-December 2025, and above the end-March 2026 IT floor, reaching 15.7 percent of total deposits at end-July 2026. Meanwhile, gross international reserves (GIR) have comfortably exceeded program floors (at end-June and end-December 2025, and at end-March 2026) and reached US\$5.1 billion at end-July 2026, well above the IT floor and broadly in line with the end-2026 target, on account of stronger-than-anticipated external inflows and deposit growth.
- Fiscal targets. After some slippages earlier in the year, the end-2025 NFPS primary balance reached 1.9 percent of GDP, exceeding the unadjusted target, while falling short of the adjusted QPC by a small margin (US\$78 million), as revenue overperformance was partly allocated to priority social and infrastructure spending. Fiscal performance remains broadly on track to meet the 2026 target, and spending adjustments are underway following some frontloading of wage and health outlays. To achieve this objective, steps have also been taken to strengthen the monitoring of public investment execution across NFPS entities, improve liquidity management, and tighten control over payables and arrears, and closely coordinate budget projections and execution across entities. Meanwhile, social and investment spending remained above their respective program floors, supporting the decline in poverty observed in 2025 and strengthening preparedness for shocks such as El Niño.
- Domestic borrowing limits. Lower-than-anticipated official external financing, reflecting in part delays in completing the program review, led to higher-than-programmed domestic borrowing, including to avoid disruption to project execution. Specifically, and after meeting the end-June 2025 targets, the end-2025 QPC on net domestic borrowing was missed by a small margin (about US\$105 million), yet the margins of deviation have grown during 2026 relative to the established end-March indicative target. Similarly, the end-2025 QPC on NFPS deposits at the BCR was missed, as SOEs and other general government entities instead accumulated assets and deposits in commercial banks (US\$411 million). With the support of IMF technical assistance, steps will be taken to identify alternatives during the remainder of the year to slow the accumulation of deposits in commercial banks, to allow deposits at the BCR to reach the level envisioned for end-2025 by year-end. Corrective measures are enabling important improvements in liquidity and debt management, permitting a better alignment of financing and budget execution plans (see also ¶13).

5. On the bitcoin front, we have substantially reduced public-sector involvement in Chivo and are requesting waivers of nonobservance for the continuous QPC on voluntary Bitcoin accumulation on the basis of corrective actions:

- Chivo. After a diligent negotiation process, in May 2026 we transferred majority ownership and operational control of Chivo to a highly reputable private operator (end-July, 2025, SB), while retaining a minority stake and maintaining custody responsibilities for customer assets. This was followed by the recent publication of the Court of Accounts' audits of Fidebitcoin and the

Agencia Administradora de Fondos Bitcoin (AAB), and the upcoming publication of Chivo's audited financial statements (*prior action*).

- **Bitcoin.** No Bitcoin-denominated, indexed, or tokenized debt instruments have been issued or guaranteed (continuous QPC). In addition, public resources have not been used to accumulate Bitcoin, with all accumulation since completion of the first review (over 1,400 BTC) arising from donations by a private firm in the digital asset space. As such, and consistent with the documentation provided to staff, the accumulation did not involve the use of public resources and reflects documented donations from a private firm in the digital asset space. As a corrective action, we will segregate all donated Bitcoin into a dedicated and identifiable wallet communicated to staff (*prior action*) and keep the donated Bitcoin unspent for the duration of the program. Meanwhile, and consistent with program commitments, steps continue to be taken to strengthen the transparency and governance of Bitcoin holdings by the public sector (see ¶23–25).
- **Crypto framework.** Work is advancing in (i) amending the Digital Assets Issuance Law to strengthen the regulation and supervision of crypto-asset activities and markets and reassess the current supervisory framework (December 15, 2025, SB); and (ii) strengthening the governance framework for public-sector crypto-asset holdings (end-December 2025 SB). Despite some delays due to the complexity of these undertakings, we intend to finalize these initiatives by April 2027 (see ¶25).

6. Structural reforms have advanced in several key areas, with delays largely reflecting some reprioritization of reform efforts:

- **Financial sector.** We implemented key financial sector reforms, including the Financial Stability Law (end-September 2025, SB), adopted regulations establishing the LCR and NSFR frameworks (end-December 2025, SB), and signed an agreement on a recapitalization plan for the BCR (end-December 2025, SB).
- **Governance and transparency.** The AML/CFT law was enacted (end-August 2025, SB), and asset declarations of high-level officials were published (end-June 2026, SB), although additional legal requirements are being finalized with IMF support to strengthen the beneficial ownership framework. Fiscal accounts continue to transparently disclose pension-related expenses and financial stocks and flows (continuous SB). Similarly, the year's Executive Budget Proposal (end-October 2025, SB), and the MTFF (end-October 2025, SB) were published.
- **Pension reform.** An actuarial pension study prepared with Fund support was published in December 2025 (end-September 2025, SB). However, the publication of a pension reform proposal (February 10, 2026, SB) has been postponed to end-June 2027 to align it with IMF TA recommendations and the broader pension reform strategy, including the immediate recognition of accrued but unpaid interest obligations owed to pension funds (see ¶10).

- Civil service reform. Preparation of a public employment reform plan (end-September 2025, SB) remains pending, as we have prioritized other reforms. We remain committed to implementing a comprehensive civil service reform in 2027.

III. OUTLOOK AND RISKS

7. The outlook remains favorable, with further improvements expected as fiscal and external imbalances continue to narrow. Real GDP growth is projected at 4.5 percent in 2026, supported on the demand side by strong investment and private consumption, with construction, tourism and remittances remaining robust. Growth is prudently envisaged to moderate to 4.0 percent in 2027, although risks are tilted to the upside given the economy's strong momentum and continued gains from improved security conditions. Meanwhile, inflation is expected to reach 2.7 percent this year, reflecting higher energy prices and El Niño-related food price pressures, before gradually converging to around 1¾ percent by 2028. The current account deficit is expected to gradually narrow in line with envisaged improvements in the terms of trade in 2027 and continued fiscal adjustment, with a further buildup in reserves supported by a further rise in capital inflows. The fiscal consolidation path will remain consistent with the Fiscal Sustainability Law objective of reducing public debt toward 80 percent of GDP by 2030. Steadfast and timely implementation of our macroeconomic and pro-growth reforms is projected to continue to boost private and foreign direct investment and raise El Salvador's medium-term growth potential.

Key Economic Indicators (changes since First Review)					
	Actual	Forecast		Changes vis-à-vis June 2025 Staff Report	
	2025	2026	2027	2026	2027
Real GDP growth (percent)	3.9	4.5	4.0	2.0	1.0
Consumer price inflation (average, percent)	0.3	2.7	2.1	0.9	0.3
Current account balance (% of GDP)	-3.5	-4.8	-3.0	-2.7	-1.5
Gross international reserves (millions of U.S. dollars)	4814	5346	6172	584	705
Primary balance (% of GDP)	1.9	2.9	3.7	0.0	0.0

8. In the context of rising global uncertainties, we will remain agile and maintain strong contingency plans. Downside risks remain elevated, including from escalation of the war in the Middle East, renewed energy-price pressures, a more prolonged or severe El Niño episode, stricter immigration policies abroad, and tighter global financial conditions. If downside risks materialize, additional fiscal measures may be needed to preserve reserves and avoid external indebtedness, including through further expenditure rationalization and, if warranted, by deepening our efforts to improve revenue administration. That said, we do not rule out upside risks stemming from sustained program implementation and dividends from improvements in the security situation, which are supporting domestic growth drivers (see ¶26).

IV. STRENGTHENING FISCAL SUSTAINABILITY

9. Fiscal consolidation will continue, supported by high-quality and durable policy measures. We will secure achievement of the primary surplus target of 2.9 percent of GDP this year through strict expenditure control during the remainder of the year, careful prioritization of public investment, tight control over payables, and greater information sharing and coordination across institutions to ensure that part of any revenue overperformance is saved, in line with program commitments. Similarly, we will ensure that the 2027 budget proposal submitted to the Legislative Assembly by September 30 is consistent with a primary surplus of 3.7 percent of GDP (prior action). In addition, in January 2027 we will publish a medium-term fiscal framework (MTFF) that safeguards the Fiscal Sustainability Law objective of reducing public debt toward 80 percent of GDP by 2030 (end-January 2027, proposed SB), and we are committed to publishing future MTFFs by end-May, as per the Fiscal Sustainability Law. We expect the 2027 budget proposal to be approved by end-December 2026 (end-December 2026, proposed SB) and to properly reflect the implications of recognizing accrued but unpaid interest in 2027. We will underpin next year's programmed fiscal adjustment by (i) limiting wage increases for high-wage public employees while safeguarding priority programs; (ii) strengthening the public investment framework and investment prioritization, focusing on high-impact transport, health, and education projects; (iii) enhancing the efficiency of social spending including through the use of technology in the provision of health and education; and (iv) continuing efforts to improve tax administration, expand the use of electronic invoicing, and combat tax evasion. Over time, these efforts will be supported by pension and civil service reforms, and improvements in public financial management, including through better cash and arrears management (see below).

10. The implementation of a three-pronged strategy to strengthen the pension system is underway. As a first step, we will recognize the accrued but unpaid interest obligations to private pension funds accumulated during 2023–27, estimated at about US\$2.3 billion. In doing so, we will preserve the value of the liability, taking into account the government's available financing options. This will be accompanied by a plan for quarterly issuances of Pension Obligation Certificates (COPs) aimed at improving pension-system liquidity and progressively transferring responsibility for paying pension debt service from the *Instituto Salvadoreño de Pensiones* (ISP) to the Treasury (end-October 2027, proposed SB). As a final step, we will submit to the Legislative Assembly a parametric pension reform proposal, aligned with IMF recommendations, by end-June 2027 to strengthen the long-term sustainability and efficiency of the system, including better aligning benefits with contributions (end-June 2027, proposed SB, previously February 10, 2026). We will seek enactment of this reform by end-September 2027 (end-September 2027, proposed SB).

11. Efforts have deepened in improving the efficiency and delivery of key public services. Specifically, we have launched an AI-assisted telemedicine platform to expand access to primary healthcare, improve early diagnosis, and enhance the quality and efficiency of service delivery. Similar efforts are underway in the education sector, where technology is being used to support teachers and improve learning outcomes. An education pilot program incorporating AI tutors has been operating in 171 public schools for just over a year and has delivered promising results, with

participating students achieving learning outcomes in standardized assessments reaching levels comparable to average PISA outcomes in countries such as Germany and Sweden. Building on these results, we plan to expand the program to all public schools over the next 18 months. With the support of our development partners, we will continue to monitor implementation and quantify the coverage and quality benefits of AI-enabled initiatives as nationwide coverage is expanded.

12. The reform of the civil service remains central to our consolidation efforts. As a first step, we have requested IMF and World Bank technical assistance to undertake a comprehensive wage-bill diagnostic and support the preparation and publication of a roadmap for a comprehensive civil service reform by end-June 2027 (end-June 2027, proposed SB, previously end-September 2025, modified). The reform will aim to modernize human resource management, strengthen performance and accountability frameworks, further improve service delivery, and support medium-term fiscal sustainability. A reform proposal is expected to be submitted to the Legislative Assembly by end-2027 (end-December 2027, proposed SB) to support consolidation starting in 2028.

13. Actions to strengthen treasury operations, liquidity management, and expenditure controls will continue. Priority will now be given to (i) establishing a strategy and operational protocol for the management and gradual clearance of payables and domestic arrears; (ii) improving cash management coordination across NFPS entities to reduce liquidity-holding costs; and (iii) strengthening expenditure controls and transparency (see ¶19). IMF technical assistance has been requested to support these efforts.

14. Meanwhile, our financing plans are being recalibrated to preserve program objectives. Given lower-than-programmed multilateral financing, reflecting in part delays associated with completion of program reviews, reliance on domestic borrowing will be greater than anticipated. Specifically, net domestic borrowing for 2026 will be capped at US\$670 million, while accumulation of NFPS deposits held outside the BCR will be slowed down. These measures will restore NFPS deposits at the BCR to the level originally envisaged for end-2025 (US\$810 million) and preserve the program objective of reducing the domestic debt-to-GDP ratio over time. In 2027, excluding the recognition of accrued but unpaid interest to private pension funds, net domestic borrowing will be reduced to US\$480 million, with a view to gradually returning to the path originally envisaged under the program, while rebuilding government deposits and external buffers.

15. Going forward, our external financing plans and broader debt management plans will support further reductions in the sovereign-bank nexus. Work is well advanced in the preparation of a new Medium-term Debt Strategy (MTDS) and an annual borrowing plan, with support from MCM and other development partners, to further strengthen debt management capacity, guide communication with stakeholders, improve refinancing conditions, support domestic capital market development, and improve private-sector access to finance. The new MTDS, which will be aligned with the 2027 Budget and the 2026–30 MTFF, will be published by end-January 2027 (end-January 2027, proposed SB), with support from the U.S. Office of Technical Assistance (OTA).

V. REBUILDING BUFFERS AND STRENGTHENING FINANCIAL RESILIENCE

16. Efforts will continue to strengthen liquidity and reserve buffers. Banks' liquidity buffers have increased, and regulatory liquidity requirements will be kept at 15 percent of deposits, comprising 12 percent in required reserves and 3 percent in high-quality liquid assets. These buffers will enhance the resilience of the financial system and support the BCR's capacity to respond to liquidity shocks in our dollarized economy.

17. The modernization of bank regulation and supervision will continue. We will continue to ensure that our banks remain well capitalized and liquid. Stronger-than-anticipated deposit growth, owing in part to strong inflows, has allowed a further expansion of private credit while continuing to reduce the banks' exposure to the public sector supported by the fiscal consolidation and debt management plans already underway. Meanwhile, the enactment of the Financial Stability Law in December 2025 has strengthened the system's resilience through improvements in the frameworks for early intervention, resolution, crisis management, and deposit insurance. Efforts are now focused on enhancing operational efficiency, strengthening financial sector oversight, and ensuring that the Superintendency of the Financial System has adequate resources to carry out its mandate in line with the Basel Core Principles. IMF technical assistance was requested in August 2025 to support these objectives.

18. Similarly, efforts are underway to strengthen the oversight of public and non-bank financial institutions. Specifically, a revised law for the *Banco de Fomento Agropecuario* (BFA) will be advanced with IMF support to establish a legal framework to ensure that it is subject to substantially the same crisis-management, recovery, resolution, and deposit-insurance regime applicable to banks under the Financial Stability Law. Submission to the Legislative Assembly to align its resolution and crisis management framework with international best practices and is expected to be submitted to the Legislative Assembly by end-April 2027 (end-April 2027, proposed SB). In addition, steps are being taken to assess the current state of the cooperatives and savings and credit societies, in order to enhance their regulatory and supervisory framework. An Economic Census will be implemented in Q2 and Q3 of 2027 and will inform future work to strengthen financial cooperatives and credit societies, including through revisions to the legislation governing their supervision and regulation, with IMF technical assistance.

19. The BCR's institutional and financial framework continues to be strengthened. We have made significant progress in implementing safeguards recommendations, including strengthening internal audit arrangements, while substantially improving the BCR's financial and capital positions through a comprehensive set of measures aimed at enhancing revenue generation, optimizing resources, and improving operational efficiency. These efforts have strengthened the BCR's financial resilience and laid a solid foundation for the transition to IFRS. In addition, the BCR has hired reputable independent external audit firms to support the validation of the IFRS transition and provide independent assurance over the process. A memorandum of understanding between the Ministry of Finance and the BCR governing financial flows and recapitalization was signed. Migration of the BCR's accounting policies and financial reporting to IFRS is expected by end-March 2027 (end-March 2027, proposed SB). The BCR has also continued to strengthen its governance

and operational framework, including its leadership and decision-making bodies. For example, its management systems have been certified by ISO 37001, reflecting adherence to internationally recognized anti-bribery management standards. In addition, we have requested IMF technical assistance on October 2025 and have held preliminary discussions with Fund technical experts on a timeline to support the preparation of a new BCR Organic Law incorporating safeguards recommendations. The resulting reform is expected to be submitted to the Legislative Assembly during the first quarter of 2028 (end-March 2028, proposed SB).

VI. IMPROVING FISCAL TRANSPARENCY AND GOVERNANCE

20. Improvements in fiscal transparency and accountability will continue. We will progressively expand the publication of financial statements to cover SOE subsidiaries, starting with at least one-third of SOE subsidiaries by end-December 2026 and two-thirds by end-December 2027 (end-December 2026 and end-December 2027, proposed SBs). In addition, with the support of IMF technical assistance, we will continue improving fiscal reporting standards, including by starting to report monthly consolidated central government fiscal data consistent with the 2014 Government Finance Statistics Manual by end-December 2027 (end-December 2027, proposed SB) and completing the migration of the whole Consolidated Central Government and social security institutions to GFSM 2014 by end-March 2028 (end-March 2028, proposed SB). Debt statistics are being strengthened, including by reporting consolidated public debt net of intra-NFPS holdings and by publishing fiscal statistics with clearly disaggregated pension costs and pension debt (continuous SB).

21. The beneficial ownership and financial integrity frameworks will be further strengthened. Following enactment of the AML/CFT law, we will introduce legal requirements to strengthen the transparency and availability of beneficial ownership information for legal persons and legal arrangements, whether through the submission of legislation to the Legislative Assembly, the issuance of regulations, or mandatory instructions, to ensure full compliance with FATF Recommendations 24 and 25 (end-December 2026, proposed SB). Efforts will continue to operationalize the National Anti-Corruption Center envisaged under the Anti-Corruption Law, and further enhancements will be made to the transparency of asset declarations as specified in Article 18 of the Law (end-June 2027, proposed SB). Specifically, published data will include information on fixed and current assets, liabilities, and summary information on acquisitions and transfers of movable and immovable property, covering the declarant and family members.

22. Steps will be taken to strengthen the institutional framework for accountability. Following the enactment of legislation strengthening the independence and anti-corruption mandate of the Court of Accounts, emphasis will be placed on ensuring that the Court of Accounts can effectively deliver on its mandate. Priority will be given to strengthening the Court's audit capacity, access to information, and collaboration with the *Fiscalía General de la República*.

VII. MITIGATING BITCOIN RISKS AND ENHANCING CRYPTO OVERSIGHT

23. We will limit the public-sector's involvement in Chivo. Following the transfer of majority ownership and control of Chivo to a private operator in May 2026 (end-July 2025 SB), efforts will continue to ensure the transparency and governance of Bitcoin holdings at the Bitcoin Strategic Reserve, which will continue to perform custodial functions for customer assets. As we advance our reform agenda to strengthen the regulation and supervision of digital assets (see ¶25), we will continue reducing public-sector involvement in Chivo, consistent with the program objective, and create the conditions for the public sector to eventually exit its custodial role over Chivo clients' assets—which are owned by those clients and held separately from public-sector holdings. We are committed to the clear disclosure of public-sector holdings and custodial assets and to maintaining adequate risk management practices (see also ¶24).

24. Efforts will continue to strengthen the reporting of public-sector crypto-asset holdings, while Bitcoin accumulation through the use of public resources will continue to be prohibited. Comprehensive documentation has been provided to Fund staff clarifying that the Bitcoin accumulated since the first review (over 1,400 Bitcoin, valued at approximately US\$110 million at current prices) was received as donations from a private firm to the government. The first donation was received in November 2025. The second donation, equivalent to US\$40 million, is being executed gradually through daily transfers of one Bitcoin that began in October 2025. These donations comply with domestic AML/CFT frameworks and applicable domestic laws and regulations. We will segregate all Bitcoin received through these two donations into dedicated and identifiable wallets communicated to staff (prior action and continuous SB), and we will keep these Bitcoin unspent for the remainder of the program. In addition, signed statements have been provided on the inventories of all hot and cold wallet addresses controlled by the public sector, both as of end-December 2025 and end-August 2026 (prior action), clearly identifying holdings of Bitcoin and other crypto-assets, while also distinguishing public-sector holdings from assets held in custody for Chivo users or other end-users. Beginning at end-December 2026 and at each quarter-end thereafter, signed statements will continue to be shared with Fund staff listing all public-sector wallet addresses and identifying holdings of Bitcoin and other crypto-assets, clearly distinguishing public-sector holdings from assets held in custody for Chivo users or other end-users (end of each quarter starting with end-December 2026, proposed SB). Going forward, no further Bitcoin accumulation by the public sector is envisaged during the remainder of the program beyond the donations for which supporting documentation has already been provided, which will remain unspent. Should any future Bitcoin donation or transfer be contemplated, we will notify Fund staff and publish all related documentation, including a statement of compliance with AML/CFT and conflict of interest frameworks and other applicable domestic laws and regulations, before the donation or transfer is accepted or executed.

25. The legal and supervisory framework for digital assets will continue to be strengthened. With support from Fund technical assistance, preparations for amendments to the Digital Assets Issuance Law are well advanced to strengthen the regulation and supervision of crypto-asset activities and markets and reassess the current dual supervisory framework. Submission

of the amended law to the Legislative Assembly is expected by end April 2027 (end-April 2027, proposed SB). In addition, work is underway to establish a comprehensive governance framework for public-sector crypto-asset holdings that clarifies the mandate and responsibilities of the *Agencia Administradora de Fondos Bitcoin* (AAB) and ensures the application of adequate transparency, accountability, and risk management safeguards (end-April 2027, proposed SB). Consistent with the Bitcoin Strategic Reserve's custodial role over Chivo end-user assets, the transparent, timely, and comprehensive disclosure of public-sector Bitcoin and other crypto-asset holdings will continue.

VIII. STRENGTHENING COMPETITIVENESS, RESILIENCE AND GROWTH

26. Our reform agenda is leading to stronger and more resilient private-sector-led growth. In addition to addressing imbalances, we continue to implement reforms to improve the business climate, reduce administrative burdens, deploy digital tools to streamline business procedures, attract investment and skilled labor, and deepen trade links with the US and other partners. These efforts are supported by our Long-Term Growth Strategy, prepared with support from the IDB, which promotes strategic sectors such as tourism, housing, digitalization, and infrastructure. Emphasis is being given to improving infrastructure, developing a new PPP framework (with World Bank assistance), and improving competitiveness. We are also working to mitigate the impact of El Niño, and are working with international partners, including FAO, WFP, IDB, and others, to protect vulnerable households and small producers, particularly subsistence farmers, while preserving market signals and fiscal discipline. We are also strengthening our statistical framework to support policymaking, with an ambitious agenda to update several censuses and rebase the national accounts and price indexes. Given the significant improvements in potential growth, we will undertake, jointly with Fund staff, a re-estimation of potential output, building on previous IMF technical assistance and using state-of-the-art estimation techniques informed by updated data on investment, formal employment, and productivity. This will help enhance our projections and inform the macroeconomic framework going forward.

IX. PROGRAM MODALITIES AND MONITORING

27. To better align Fund financing with the implementation of key reforms and the evolution of external financing needs, we are requesting a rephasing of availability dates and a rephasing of access under the EFF arrangement. This rephasing reflects the revised timeline for key structural reforms and the updated profile of our external financing needs.

28. The program will continue to be monitored through QPCs, ITs, and SBs. Performance criteria for subsequent semiannual reviews will continue to be assessed against end-December and end-June targets. The performance criteria, prior actions, dates for reviews and SBs are detailed in Tables 1 and 2. Definitions and data requirements are provided in the attached Technical Memorandum of Understanding. Starting with this joint second and third reviews, program reviews will be semiannual and conditional on continued strong policy implementation. We will remain closely engaged with Fund staff and provide timely information to ensure proper program monitoring in line with the Technical Memorandum of Understanding.

Table 1. El Salvador: Quantitative Performance Criteria (QPC) and Indicative Targets (IT), 2025
(Within-year Cumulative Change—in Millions of U.S. Dollars, Unless Otherwise Stated)

	2025														
	March QPC			June QPC				Sept. IT				Dec. QPC			
	Prog.	Adj. Prog.	Actual	Prog.	Adj. Prog.	Actual	Status	Prog.	Adj. Prog	Actual	Status	Prog.	Adj. Prog.	Actual	Status
Performance criteria															
Primary Balance of the nonfinancial public sector (floor) 1/	180	180	209	530	530	446	Not met	750	750	740	Not met	700	784	706	Not met
Net Domestic Borrowing of the nonfinancial pubic sector (ceiling) 1/	0	...	164	-100	...	-114	Met	-415	...	-426	Met	-331	...	-226	Not met
External payment arrears of the public sector (continuous ceiling) 2/	0	...	0	0	...	0	Met	0	...	0	Met	0	...	0	Met
Ratio of required liquid assets to total deposits for depository corporations (floor) in percent	13	...	13	13	...	15.1	Met	13	...	14.1	Met	14	...	15.2	Met
Voluntary accumulation of BTC by the public sector (continuous ceiling) 2/	0	...	0	0	...	0	Met	0	...	337	Not Met	0	...	1,280	Not met
Issuance or guarantee by the public sector of BTC-denominated-or-indexed debt or tokenized instruments (continuous ceiling) 2/	0	...	0	0	...	0	Met	0	...	0	Met	0	...	0	Met
Floor on stock of nonfinancial public sector deposits at the BCR (floor)	650	475	702	780	805	810	Met	790	790	801	Met	810	1,174	570	Not Met
Net accumulation of domestic payments arrears by the consolidated central government (ceiling) 3/	0	...	0	0	...	-240	Met	0	...	-218	Met	0	...	-175	Met
Indicative targets															
Priority social spending (floor) 1/	138	...	164	276	...	333	Met	413	...	515	Met	551	...	687	Met
Public investment of the NFPS (floor) 1/	204	...	329	438	...	797	Met	651	...	1,179	Met	919	...	1,570	Met
Stock of gross international reserves of the BCR, US\$ millions (floor)	3,704	3,529	3,771	3,898	3,923	4,243	Met	4,025	4,025	4,786	Met	4,110	4,400	4,488	Met
Memorandum items:															
Wage bill of the nonfinancial public sector (ceiling) 1/	918	...	885	1,896	...	1,914	Not met	2,808	...	2,779	Met	3,964	...	3,863	Met

1/ Cumulative, since the beginning of the calendar year.

2/ To be applied on a continuous basis.

3/ Cumulative, since end-2024.

Table 2. El Salvador: Quantitative Performance Criteria (QPC) and Indicative Targets (IT) for March 2026, and Proposed for end-2026 and for 2027
(Within-year Cumulative Change-in Millions of U.S. Dollars, Unless Otherwise Stated)

	2026				2027				
	March IT				Dec. QPC	March IT	June QPC	Sept. IT	Dec. QPC
	Prog.	Adj. Prog.	Actual	Status	Prog.	Prog.	Prog.	Prog.	Prog.
Performance criteria									
Primary Balance of the nonfinancial public sector (floor) 1/	300	300	185	Not met	1,125	234	853	1,238	1,525
Net Domestic Borrowing of the nonfinancial public sector (ceiling) 1/ 2/	-50	...	373	Not met	670	141	537	527	480
External payment arrears of the public sector (continuous ceiling) 3/	0	...	0	Met	0	0	0	0	0
Ratio of required liquid assets to total deposits for depository corporations (floor) in percent	14	...	14	Met	15	15	15	15	15
Voluntary accumulation of BTC by the public sector (continuous ceiling) 3/	0	...	1,300	Not met	0	0	0	0	0
Issuance or guarantee by the public sector of BTC-denominated-or-indexed debt or tokenized instruments (continuous ceiling) 3/	0	...	0	Met	0	0	0	0	0
Floor on stock of nonfinancial public sector deposits at the BCR (floor)	860	860	710	Not met	810	600	1,150	1,467	1,160
Net accumulation of domestic payments arrears by the consolidated central government (ceiling) 4/	0	...	-185	Met	...	...	...	...	...
Stock of domestic payments arrears by the consolidated central government (ceiling)	...	...	...	...	80	75	50	40	20
Indicative targets									
Priority social spending (floor) 1/	145	...	195	Met	570	181	329	490	627
Public investment of the NFPS (floor) 1/	215	...	347	Met	1,270	311	731	1,064	1,340
Stock of gross international reserves of the BCR, US\$ millions (floor)	4,280	4,280	4,570	Met	5,198	5,150	5,710	5,915	6,120
Memorandum items:									
Wage bill of the nonfinancial public sector (ceiling) 1/	940	...	999	Not met	4,140	1,043	2,064	3,015	4,250

1/ Cumulative, since the beginning of the calendar year.

2/ In 2027, it excludes the issuance of certificates for the recognition of interest payments accrued but not paid to private pension funds.

3/ To be applied on a continuous basis.

4/ Cumulative, since end-2024.

Table 3. El Salvador: Prior Actions and Structural Benchmarks

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Prior Actions for the Joint Second and Third Review			
Fiscal transparency and responsibility	Publish the Executive 2027 Budget Proposal, consistent with program fiscal targets and supported by identified policy measures.	Improve budget credibility, transparency, and accountability.	
Bitcoin	Publish the Court of Accounts audits of <i>Fidebitcoin</i> and the <i>Agencia Administradora de Fondos Bitcoin</i> (AAB), and publish Chivo's financial statements audited by an independent auditor with relevant crypto-asset expertise.	Strengthen transparency and reduce risks related to Bitcoin.	<i>Previously, July 2025.</i>
Bitcoin	Segregate the 1,090 Bitcoin received in November 2025 and all Bitcoin received under the US\$40 million donation into dedicated and identifiable wallet(s), the address(es) of which will be communicated to IMF staff.	Strengthen transparency and reduce risks related to Bitcoin.	
Bitcoin	Provide staff with a signed statement listing all hot and cold wallet addresses controlled by the public sector and identifying the corresponding holdings of Bitcoin and other crypto-assets owned by or under the control of the public sector, including all public-sector entities and legal persons controlled by the State (through majority ownership, voting interest, or direct or indirect control, as defined in GFSM 2014), as of end-December 2025, and as of end-August 2026, clearly distinguishing those used to hold assets in custody for Chivo users or other end-users.	Strengthen transparency and reduce risks related to Bitcoin.	Previously, end-Dec. 2025 SB. Not met. <i>Modified</i>
Structural Benchmarks for the joint Second and Third Review			
Fiscal policy	Prepare a civil service reform plan in line with IMF recommendations.	Ensure the quality and permanence of the fiscal adjustment.	End-Sep. 2025 (previously, end-June 2025). Not met. <i>Modified and reset to end-June, 2027.</i>
Fiscal policy	Publish an independent actuarial evaluation of the pension system.	Assess the sustainability of the pension system.	End-Sep. 2025. (Previously end- July 2025). Not met, implemented with delay in Dec. 2025.
Fiscal policy	Publish a pension reform proposal, to strengthen the system's sustainability and to generate fiscal savings, in line with recommendations from IMF TA.	Ensure the quality and permanence of the fiscal adjustment.	Feb-10, 2026. Not met. <i>Modified and reset to end-Jun. 2027.</i>

Table 3. El Salvador: Prior Actions and Structural Benchmarks (continued)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the joint Second and Third Review			
Financial Sector	Enact legislation to strengthen the legal framework for bank resolution, crisis management, and deposit insurance schemes in line with recommendations from Fund technical assistance and international standards (FSB Key Attributes, IADI Core Principles for Effective Deposit Insurance Systems and Basel Core Principles).	Strengthen the framework for early intervention, resolution, crisis management and deposit insurance.	End-Sep. 2025. (Previously end-June 2025). Met.
Financial Sector	Adopt Liquidity Coverage Ratio and Net Stable Funding Ratio regulations.	Adopt Basel III standards on risk-based supervision.	End-Dec. 2025. Met.
Financial Sector	Approval by the BCR board of a recapitalization plan that carries the support of the government to address the capital shortfall under the IFRS.	Strengthen the BCR's financial position.	End-Dec. 2025. Met.
Bitcoin	Send to IMF staff a signed statement listing and identifying all hot and cold wallet public addresses and the corresponding Bitcoin amounts owned by or under the control of the public sector, including all public-sector entities and legal persons controlled by the State (with majority voting interest and/or direct or indirect control as defined by the 2014 GFSM) as of end-June/end-December 2025.	Reduce risks related to BTC.	End-Jun. 2025. Met. End-Dec. 2025. Not met.
Bitcoin	Liquidate the Bitcoin trust fund Fidebitcoin, publish Fidebitcoin and AAB Court of Accounts' audits, publish Chivo's financial statements audited by an independent auditor with experience in the crypto space, segregate and safeguard Chivo clients US dollars at the BCR, and end public participation in Chivo.	Reduce risks related to BTC.	End-July 2025. Not met, partially implemented with delay: Fidebitcoin was liquidated, transfer of majority ownership and control of Chivo was completed in May 2026 but minority stake was kept, segregation has been established but not at the BCR, customer assets remain under public sector custody, and not all audits have been published (reset as prior action).

Table 3. El Salvador: Prior Actions and Structural Benchmarks (continued)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the joint Second and Third Review			
Bitcoin and other crypto-assets	Submission to the Legislative Assembly of law strengthening the regulation and supervision of crypto-asset activities and markets (including crypto-asset issuers and service providers) and fostering legal certainty in this area, in line with evolving best practices and international standards, where special emphasis will be given to addressing ML/TF risks in line with FATF recommendation 15, as well as financial stability and cybersecurity risks, strengthening market integrity and consumer protection policies, such as antifraud, anti-manipulation, and transparency policies, as well as developing governance, data frameworks, and solvency, liquidity, segregation, and other prudential requirements.	Reduce risks related to crypto markets and VASPs.	Dec-15, 2025. (Previously, August 8, 2025). Not Met. <i>Reset to end-Apr. 2027.</i>
Bitcoin	Enact a comprehensive framework for the management of government-owned Bitcoins and other crypto-assets to enhance governance, transparency, and accountability, and define the role of the AAB, including investment guidelines and risk mitigation policies AAB must comply with.	Reduce risks related to BTC and other crypto-assets.	End-Dec. 2025. Not Met. <i>Modified and reset to end-Apr. 2027.</i>
Governance	Submission to the Legislative Assembly of a new AML/CFT law to place lawyers, notaries, accountants, and auditors under a risk-based monitoring framework in compliance with FATF Recommendation 28; and enact legislation requiring the submission and updating, as needed, of beneficial ownership information by all legal persons and arrangements registered in El Salvador and ensuring the availability of such information to relevant competent authorities (as defined in and in line with the FATF standards).	Strengthen the AML/CFT framework.	End-Aug. 2025. (anticipated from end-Dec. 2025) Not met, <i>partially implemented.</i> <i>While the law was passed in October 2025, additional legal requirements are being prepared to comply with FATF requirements on beneficial ownership.</i>
Fiscal transparency and responsibility	Publish Executive Budget Proposal, with a Medium-Term Fiscal Framework, transfers to and from extrabudgetary funds, SOEs and subnational governments; financing in gross terms for both external and domestic debt; multi-annual investment projects, including public-private partnerships and fiscal risk analysis.	Improve budget credibility, transparency, and accountability.	End-Oct. 2025. Not Met, implemented with delay: <i>Executive Budget Proposal published in October; MTFF published on Dec. 22, 2025.</i>

Table 3. El Salvador: Prior Actions and Structural Benchmarks (continued)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the joint Second and Third Review			
Financial integrity, Governance, and Transparency	In consultation with Fund staff, enact legislation to strengthen the independence and anti-corruption mandate of the Court of Accounts to bring it in line with international standards (INTOSAI Mexico Declaration and the UNODC Abu Dhabi Declaration) and to ensure a clear legal basis for collaboration with the <i>Fiscalía General de la República</i> on corruption, including exchange of information and referral protocols.	Strengthen the independence and anticorruption framework and the AML/CFT framework.	End-Dec. 2025. Met.
Financial integrity, Governance, and Transparency	Publish asset declaration of high- level public officials, in line with the requirements of the new Anti-Corruption Law.	Strengthen the anticorruption framework.	End-June 2026. Not met. <i>Partially implemented</i> . Published data does not distinguish fixed from current assets, or acquisitions and transfers of property, including for covered family members.
Continuous and Recurrent Structural Benchmarks			
Fiscal transparency and responsibility	All published fiscal statistics (including but not limited to <i>Estadísticas Básicas Sobre Las Finanzas Públicas</i> , MTFF, <i>Mensaje de Proyecto de Presupuesto</i>) show and clearly disaggregate pension costs and pension debt when reporting statistics on total NFPS expenditures and public debt.	Improve transparency of NFPS accounts.	Continuous. Met.
Bitcoin	Provide staff with a signed statement listing all hot and cold wallet addresses controlled by the public sector and the corresponding holdings of Bitcoin and other crypto-assets owned by or under the control of the public sector, including all public-sector entities and legal persons controlled by the State (through majority ownership, voting interest, or direct or indirect control, as defined in GFSM 2014), as of the end of each quarter, clearly distinguishing public-sector holdings, assets held in custody, and Bitcoin received through donations.	Strengthen transparency and reduce risks related to Bitcoin.	Proposed. End of each quarter, beginning end-Dec. 2026.
Bitcoin	Segregate any new Bitcoin received through donations, including any Bitcoin received under the US\$40 million donation, into dedicated and identifiable wallet(s), the address(es) of which will be communicated to Fund staff.	Strengthen transparency and reduce risks related to Bitcoin.	Proposed. Continuous.

Table 3. El Salvador: Prior Actions and Structural Benchmarks (continued)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the Fourth Review			
Public debt management	Publish a medium-term debt strategy (MTDS) and an annual borrowing plan which details adequate funding for the <i>Instituto Salvadoreño de Pensiones</i> (ISP).	Improve fiscal management and predictability.	Proposed, end- Jan. 2027.
Fiscal transparency and responsibility	Approval by the Legislative Assembly of the 2027 Budget, consistent with the program fiscal targets, with policy actions supporting the delivery of the agreed budget targets.	Improve budget credibility, transparency, and accountability.	Proposed, end-Dec. 2026.
Fiscal transparency and responsibility	Publish a MTFF consistent with program objectives, including the Fiscal Sustainability Law target of reducing debt toward 80 percent of GDP by 2030. The MTFF will also have to show transfers to and from extrabudgetary funds, SOEs and subnational governments; financing in gross terms for both external and domestic debt; multi-annual investment projects, including public-private partnerships and fiscal risk analysis.	Improve budget credibility, transparency, and accountability.	Proposed, end-Jan. 2027.
Fiscal transparency and responsibility	Publish financial statements of at least one-third of subsidiaries of SOEs, for 2025, and/or both 2024 and 2023.	Improve budget credibility, transparency, and accountability.	Proposed, end-Dec. 2026.
Governance	Introduce legal requirements to strengthen the transparency and availability of beneficial ownership information for legal persons and legal arrangements, through the issuance of regulations, or mandatory instructions to: (i) require all legal persons and legal arrangements registered or operating in El Salvador to obtain and hold adequate, accurate, and up-to-date beneficial ownership information; (ii) designate or establish a public authority, body, or alternative mechanism responsible for collecting and maintaining adequate, accurate, and up-to-date beneficial ownership information on legal persons and legal arrangements and ensuring timely and efficient access by competent authorities; (iii) require legal persons and legal arrangements to cooperate with competent authorities and reporting entities in providing beneficial ownership information; and (iv) establish proportionate, effective, and dissuasive sanctions for non-compliance with beneficial ownership transparency requirements, in line with FATF Recommendations 24 and 25.	Strengthen the AML/CFT framework.	Proposed, End-Dec. 2026.
Structural Benchmarks for the Fifth Review			
Fiscal policy	Submit to the Legislative Assembly a pension reform proposal, to strengthen the long-term sustainability of the pension system and reduce contingent liabilities, in line with IMF TA recommendations.	Ensure the quality and permanence of the adjustment.	Proposed, end-Jun. 2027. <i>Reset from February 10, 2026, and modified.</i>

Table 3. El Salvador: Prior Actions and Structural Benchmarks (continued)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the Fifth Review			
Fiscal policy	Publish a roadmap for a comprehensive civil service reform, informed by IMF TA recommendations.	Ensure the quality and permanence of the adjustment.	Proposed, End-Jun. 2027.
Financial Sector	Fully migrate the BCR's accounting policies and financial reporting to the International Financial Reporting Standards (IFRS).	Strengthen the BCR's financial reporting framework and governance.	Proposed, End-Mar. 2027.
Financial Sector	Submit to the Legislative Assembly legislation to establish a legal framework for <i>Banco de Fomento Agropecuario (BFA)</i> to ensure that it is subject to substantially the same crisis management, recovery, resolution and deposit insurance regime for banks under the Financial Stability Law, in particular, the autonomy of the resolution authority to determine entry into resolution and to exercise its resolution powers, and adequate resolution tools including business transfers to a private purchaser or a bridge bank, resolution and crisis management practices in line with international standards.	Strengthen oversight and align regulation with best practices.	Proposed, End-Apr. 2027.
Bitcoin and other crypto-assets	Submit to the Legislative Assembly a law strengthening the regulation and supervision of crypto-asset activities and markets (including crypto-asset issuers and service providers) and fostering legal certainty in this area, in line with evolving best practices and international standards, where special emphasis will be given to addressing ML/TF risks in line with FATF Recommendation 15, as well as financial stability and cybersecurity risks, strengthening market integrity and consumer protection policies, such as antifraud, anti-manipulation, and transparency policies, as well as developing governance, data frameworks, and solvency, liquidity, segregation, and other prudential requirements.	Reduce risks related to crypto markets and VASPs.	Proposed, end-Apr. 2027. <i>Reset from Dec. 15, 2025.</i>
Bitcoin	Enact a comprehensive framework governing public-sector Bitcoin and other crypto-asset holdings, including governance, transparency, accountability, investment and risk-management provisions, and defining the mandate and responsibilities of the AAB.	Strengthen transparency and reduce risks related to Bitcoin.	Proposed, end-Apr. 2027. <i>Modified and reset from end-Dec. 2025.</i>
Financial integrity, Governance, and Transparency	Publication, through the Ministry of Finance portal, of enhanced public versions of the asset declarations of high-level public officials, including separate information on fixed and current assets and liabilities, and summary information on acquisitions and transfers of movable and immovable property during the reporting period, covering the declarant and family members aligned with Article 18 of the Anti-Corruption Law.	Strengthen the anticorruption framework.	Proposed, end-June 2027.

Table 3. El Salvador: Prior Actions and Structural Benchmarks (concluded)

Reform Area	Structural Conditionality	Objective	Status/Proposal, and Comments
Structural Benchmarks for the Sixth Review			
Fiscal policy	Enact a pension reform, to strengthen the sustainability of the pension system and reduce contingent liabilities.	Ensure the quality and permanence of the adjustment.	Proposed, End-Sep. 2027.
Public debt management	Publish quarterly ceilings on the issuance of COPs by the ISP for 2028. These ceilings should not exceed projected pension payment and debt service obligations and should be calibrated to safeguard pension system liquidity while progressively transferring responsibility for servicing ISP debt to the Treasury.	Improve fiscal management and predictability.	Proposed, end-Oct. 2027.
Financial integrity, Governance, and Transparency	Start reporting monthly fiscal data for the consolidated central government, consistent with the IMF's 2014 Government Finance Statistics Manual (GFSM), reporting fiscal data on an accrual basis and public debt at nominal value.	Improve reporting of fiscal information, and transparency.	Proposed, end-Dec. 2027.
Fiscal transparency and responsibility	Publish financial statements of two-thirds of SOE subsidiaries for 2026, 2025, 2024, and 2023.	Improve budget credibility, transparency, and accountability.	Proposed, end- Dec. 2027.
Fiscal policy	Submit to the Legislative Assembly a comprehensive civil service reform consistent with IMF recommendations.	Ensure the quality and permanence of the fiscal adjustment.	Proposed, end-Dec. 2027.
Structural Benchmarks for the Seventh Review			
Financial integrity, Governance, and Transparency	Fully migrate fiscal reporting of the Consolidated Central Government and Social Security Institutions to GFSM 2014 (including ISP, INPEP, IPSFA, ISBM, ISSS).	Improve budget credibility and transparency.	Proposed, end-Mar. 2028.
Financial sector	Submit to the Legislative Assembly legislation amending the BCR Organic Law to strengthen the BCR's mandate, governance, and autonomy (institutional, personal and financial), and financial framework. The amendments should align the BCR's objectives with the dollarization regime; prevent public officials from influencing the BCR's decisions; strengthen eligibility criteria, appointment procedures, and dismissal safeguards for Board members; enhance the profit distribution framework; and clarify the distribution of responsibilities among the BCR's decision-making bodies.	Strengthen the frameworks.	Proposed, end-Mar. 2028.

Attachment II. Updated Technical Memorandum of Understanding

September 18, 2026

1. This Updated Technical Memorandum of Understanding (TMU) sets out the framework for monitoring the performance of El Salvador's Extended Arrangement under the Extended Fund Facility (EFF). It specifies the performance criteria and indicative targets (including adjusters) under which El Salvador's performance will be assessed through program reviews as specified in Table 1 of the Updated Memorandum of Economic and Financial Policies (MEFP). Monitoring procedures and reporting requirements are also specified.

2. For program monitoring purposes, all foreign currency-related assets, liabilities, and flows will be evaluated at "program exchange rates" as defined in Table 1 below, except for items related to fiscal operations which will be measured at current exchange rates as published by the authoritative data sources. As the U.S. dollar is the official legal tender since January 1st, 2001, the program rates reflect exchange rates against the U.S. dollar that prevailed on February 7th, 2025. Monetary gold will be valued at US\$2,874.65 per troy ounce, which was the price prevailing on February 7th, 2025.

Table 1. El Salvador: Program Exchange Rates

US dollar per Euro	1.03
US Dollar per Pound	1.24
US Dollar per Swiss Franc	1.10
US Dollar per 100 Yen	0.66
US Dollar per Chinese Yuan	0.14
US Dollar per Mexican Peso	0.05
US Dollar per Canadian Dollar	0.70
US Dollar per 100 Colombian Pesos	0.02
US Dollar per Guatemalan Quetzal	0.13
US Dollar per Honduran Lempira	0.04
US Dollar per SDR	1.32
Gold Price (US\$/ounce)	2874.65

Source: Financial Times and Haver Analytics as of market close February 7, 2025.

3. The quantitative performance criteria (QPC) and indicative targets (IT) specified in Tables 1 and 2 of the Updated MEFP are listed as follows.

- a) a QPC on the primary balance of the nonfinancial public sector (NFPS) (floor);
- b) a QPC on net domestic borrowing of the NFPS (ceiling);
- c) a continuous QPC of no incurrence of external payment arrears of the NFPS (ceiling);
- d) a QPC on the ratio of required liquid assets to total deposits for depository corporations (floor);
- e) a continuous QPC of no voluntary accumulation of BTC by the public sector (ceiling);
- f) a continuous QPC of no issuance of or guarantee by the public sector of BTC-denominated-or-indexed debt or instrument (ceiling);
- g) a QPC on the stock of deposits of the NFPS at the central bank (*Banco Central de Reserva de El Salvador*, BCR) (floor);

- h) a QPC on the net accumulation of domestic payments arrears of the consolidated central government (ceiling) through the March 31, 2026 test date and, beginning with the December 2026 test date, a QPC on the stock of domestic payment arrears of the consolidated central government (ceiling);
 - i) an IT on priority social spending (floor);
 - j) an IT on public investment of the NFPS (floor);
 - k) an IT on the stock of gross international reserves of the BCR (floor).
4. In addition to the performance criteria listed in Table 1 and 2 of the Updated MEFP, the arrangement will include the performance criteria standard to all Fund arrangements, namely:
- a) no imposition or intensification of restrictions on the making of payments and transfers for current international transactions;
 - b) no imposition or intensification of import restrictions for balance of payments reasons;
 - c) no introduction or modification of multiple currency practices;
 - d) no conclusion of bilateral payments agreements that are inconsistent with Article VIII of the IMF Articles of Agreement.

These four performance criteria will be monitored continuously.

5. Definition of concepts. Unless otherwise specified, the definitions of all variables contained in this Technical Memorandum of Understanding are those defined in the IMF's most recent statistical manuals and guidance (2014 Manual on Government Finance Statistics, 6th Edition of the Balance of Payments Manuals and the Compilation Guide).

I. QUANTITATIVE PERFORMANCE CRITERIA

A. Common Concepts

6. Consolidated central government. For the purposes of the program and all QPCs and ITs in this TMU, the consolidated central government (CCG) comprises the budgetary central government (Administración Central) and extrabudgetary central government agencies (*Gobierno Central Extrapresupuestario*) (see Appendix TMU-A for a list of these entities).
7. Nonfinancial public sector. For the purposes of the program and all QPCs and ITs in this TMU, the NFPS consists of the consolidated central government as defined above, the Social Security Institute (*Instituto Salvadoreño del Seguro Social*), all state-owned public pension funds (*Instituto Salvadoreño de Pensiones, Instituto de Previsión Social de la Fuerza Armada, Instituto*

Salvadoreño de Bienestar Magisterial), the municipality of San Salvador Centro, and the following nonfinancial public corporations, including subsidiaries, listed in Appendix TMU-A: CEL, ANDA, CEPA, and the LNB, including subsidiaries for each of them, existing or new. The scope of the NFPS should generally follow the concepts and definitions of the *GFSM 2014*.

8. Public sector: For the purposes of the program and all QPCs and ITs in this TMU, the public sector is defined as the NFPS, the BCR, the AAB, the Bitcoin Strategic Reserve (BSR), and other public institutions, existing or new, including subsidiaries, as defined in the *GFSM 2014*. For program purposes, *Chivo* is considered part of the public sector until May 19, 2026, included.

9. Project loans and grants: Project loans and grants include all grants and loans disbursed from multilateral and bilateral donors to the public sector, directly linked to (or dependent on) the execution of specific projects, programs, or investments, and/or earmarked to specific projects, programs, or investments. If a loan (or grant) is disbursed as an ex-post recognition of past expenses on project, programs, or investments, the classification of such loan (or grant) as project loan (or grant) will be discussed with the team.

10. Budget support loans and grants: Budget support loans and grants include all grants and loans from multilateral and bilateral donors to the public sector that are not project loans and grants. It does not include SDR purchases (“disbursements”) from the IMF.

B. Floor on the Primary Balance of the NFPS

11. The primary balance of the NFPS is defined as the difference between total revenue and non-interest expenditure. NFPS’ revenue is recorded on a cash basis and includes taxes, social contributions, grants, and other revenues, including SOE revenues. NFPS expenditure is also recorded on a cash basis and includes expenses and net acquisition of nonfinancial assets, including of SOEs. Both revenues and expenditure that are not related to pensions or interest payments of the ISP will be measured using BCR data.

12. Monitoring. The primary balance will be measured at each test date as the cumulative value starting from the beginning of each calendar year.

13. Adjustor. The floor on the primary balance of the NFPS will be adjusted:

- a) starting with the second review, upward by 50 percent of the difference (if positive) between cumulative (observed) NFPS revenues and the cumulative program amounts plus US\$100 million, that is: (i) US\$5,177+ US\$100 million at end-June 2025; (ii) US\$9,955 + US\$100 million at end-December 2025; (iii) US\$8,512+ US\$100 million at end-September 2026; (iv) US\$11,165 + US\$100 million at end-December 2026; (v) US\$2,687 + US\$100 million at end-March 2027; (vi) US\$6,344 + US\$100 million at end-June 2027; (vii) US\$9,061 + US\$100 million at end-September 2027, and (viii) US\$11,901 + US\$100 million at end-December 2027. In other words, positive deviations up to US\$100 million will not trigger the adjustor; positive deviation in excess of

US\$100 million will trigger the adjustor by the amount of $\frac{1}{2}$ the amount of the deviation that is above US\$100 million.

- b) downward by the smaller between US\$100 million and the cumulative excess in the U.S. dollar value of project loans and grants relative to the baseline projections reported in Table 2.

Table 2. El Salvador: Baseline Projections of Project Loans and Grants (US\$ Millions)								
	2025			2026	2027			
	End-March	End-June	End-Dec.	End-Dec.	End-March	End-June	End-Sept.	End-Dec.
Project loans and grants (cumulative since the beginning of the year)	221	535	962	955	192	513	962	1,283

C. Ceiling on Net Domestic Borrowing of the NFPS

14. Net domestic borrowing by the NFPS. Net domestic borrowing by the NFPS is equal to incurrence of liabilities minus repayment of liabilities to domestic depository corporations, the *Administradoras de Fondos de Pensiones* (AFPs), and any other domestic financial or non-financial institution. It does not include drawdown nor accumulation of NFPS deposits at the BCR or at other depository corporations, nor BCR on-lending to the central government of IMF disbursements under the EFF arrangement for budget support. During 2027, and for the purpose of program design and monitoring only, net domestic borrowing by the NFPS shall also exclude any domestic financing operation associated with the recognition of accrued but unpaid interest obligations owed to AFPs accumulated during April 2023 and April 2027, estimated at approximately US\$2,329 million.

15. Monitoring. At each test date, net domestic borrowing by the NFPS will be measured as the cumulative value starting from the beginning of each calendar year.

16. Adjustor. The ceiling on net domestic borrowing of the NFPS will be adjusted:

- a) Upward by the excess, if any, of NFPS deposits at the BCR relative to the adjusted QPC floor for the same test date up to a maximum of US\$100 million. This adjustor will apply only starting with the third review of the program.
- b) Upward by the shortfall in NFPS net borrowing from nonresidents that is neither project loans and grants nor budget support loans and grants, relative to the one envisioned under the program as shown in Table 3. This adjustor will apply only for test dates posterior to July 1st 2027.

D. Non-Accumulation of New External Payment Arrears of the Non-Financial Public Sector

17. External arrears. External debt payments arrears for program monitoring purposes are defined as external debt obligations (principal and interest) falling due after February 19, 2025 that have not been paid, considering the grace periods specified in contractual agreements. Under the definition of debt set out below, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt. This performance criterion does not cover (i) arrears on trade credits, (ii) arrears on debt subject to renegotiation and restructuring; and (iii) arrears resulting from the nonpayment of commercial claims that are the subject of litigation initiated prior to February 19, 2025.

18. External debt. External debt is determined according to the residency criterion. The term “debt” will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of financial and nonfinancial assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take several forms; the primary ones being defined as follows:

- a) Loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);
- b) Suppliers’ credits, i.e., contracts where the supplier allows the obligor to defer payments until sometime after the date on which the goods are delivered or services are provided, and,
- c) Leases, i.e., arrangements under which the lessee has the right to use the provided property for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the lessor retains the title to the property. For the program, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair, or maintenance of the property.

19. Monitoring. This PC will be monitored on a continuous basis.

E. Floor on Required Liquid Assets to Total Deposits for Depository Corporations

20. Deposits. For the purposes of this program, deposits include the total balance on all deposits, as defined in the Monetary and Financial Statistics Manual and Compilation Guide, held by private agents at depository corporations in El Salvador.

21. Required liquid assets. Required liquid assets include (i) legal liquidity reserves of depository institutions held to comply with the norms on *reserva legal de liquidez* as established by the BCR and (ii) high-quality liquid assets held to comply with the norms NRP-87 on *activos líquidos* as established by the BCR.

22. Monitoring. At each test date, the ratio of required liquid assets to deposits will be measured using the daily average of legal liquidity reserves, high quality assets and deposits during the last full 14-day compliance period preceding the test date as defined in the norms on *reserva legal de liquidez* and NRP-87.

F. No Voluntary Accumulation of BTC by the Public Sector

23. Bitcoins held by the public sector. Bitcoins held by the public sector are Bitcoins in all hot and cold wallets owned by or under the control of the public sector, including Chivo, Agencia Administradora de Bitcoin, Oficina Nacional del Bitcoin, Comision Ejecutiva Hidroelectrica del Rio Lempa (CEL), the BSR, and all other public sector entities and legal persons controlled by the State (through majority voting interest and/or direct or indirect control as defined in the GFSM 2014). Through May 19, 2026, Bitcoin held by the public sector shall be measured net of Chivo clients' Bitcoin-denominated balances. From May 20, 2026 onward, Bitcoin held by the public sector shall be measured net of Bitcoin held in custody by the BSR on behalf of Chivo or Chivo clients.

24. Voluntary accumulation. Voluntary accumulation of Bitcoin includes the purchase and mining of Bitcoin or any other receipt of Bitcoin in satisfaction of contractual or any other legal obligations to the government or any of its agencies with exception of the accumulation of Bitcoin resulting from: (i) forfeiture; (ii) seizure; (iii) apprehension; (iv) custody or any other form of property or possession by the government arising from law enforcement measures adopted in accordance with Salvadoran law. Voluntary accumulation also excludes donations or unrequited transfers that are in compliance with the domestic AML/CFT framework, the government's conflict of interest framework and other domestic legislations and regulations; provided that before the receipt of such donations or transfers, the government publishes on the website of El Salvador's Bitcoin Office the following documents: (i) a donation agreement or any legal instrument governing and formalizing the donation or unrequited transfer, clearly identifying the donor or transferor, and, in the case of legal persons, their beneficial owner(s); (ii) identifiable public accounts, wallets, or addresses from and to which the Bitcoin will be transferred; (iii) the government's intended use of the donated or transferred Bitcoin; (iv) a statement by the government declaring that the donor or the transferor

and its affiliated entities are not subject to any special tax or other regulatory treatment beyond that provided under existing law, and (v) statements by responsible government agencies that the receipt conforms with El Salvador's AML/CFT and conflict of interest frameworks and other applicable domestic laws and regulations. Any new Bitcoins received shall be maintained in segregated and clearly identified wallets, the addresses of which are published on the website of El Salvador's Bitcoin Office. For the purpose of this performance criterion, the donation of 1,090 BTC received in November 2025, and the US\$40 million donation executed through daily transfers of 1 Bitcoin, up to a cumulative amount equivalent to US\$40 million valued at the market price prevailing on the date of each receipt (and including all Bitcoin that will be received under this donation until the US\$40 million pledge is exhausted) are excluded from being counted as new voluntary accumulation of Bitcoin, provided that they are maintained in segregated and clearly identified wallets, the addresses of which are published on the website of El Salvador's Bitcoin Office.

25. Monitoring. This PC will be monitored on a continuous basis.

G. No Public Sector Issuance of or Guarantee to Any Type of Debt or Tokenized Instrument That Is Indexed to or Denominated in Bitcoin and Implies a Liability for the Public Sector.

26. Debt or guarantee to any type of debt or tokenized instrument that is indexed to or denominated in Bitcoin and implies a liability for the public sector. For the purpose of this program, *Chivo* clients' deposits in *Chivo* denominated in Bitcoins will be excluded from the measurement of the public sector debt and guarantee mentioned in this QPC.

27. Monitoring. This PC will be monitored on a continuous basis.

H. Floor on the Stock of NFPS Deposits at the BCR

28. Monitoring. At each test date, the end-of-period stock of NFPS deposits at the BCR will be measured.

29. Adjustor. The floor on the stock of NFPS deposits at the BCR will be adjusted:

- a) upward by the excess of NFPS gross borrowing from non-residents that is neither project loans and grants nor budget support loans and grants, relative to that envisioned under the program as shown in Table 3. Starting with the third review, NFPS borrowing used explicitly and exclusively for the repurchasing or refinancing of existing NFPS debt will be excluded for the calculation of this adjustor, subject to advance consultation with and written consent from IMF staff on a case-by-case basis. This adjustor will be removed for test dates posterior to July 1st, 2027.
- b) upward for any cumulative excess in the U.S. dollar value of disbursements of budget support loans and grants relative to the baseline projection reported in Table 3.

- c) downward by the smaller between US\$350 million U.S. dollars and the cumulative shortfall of disbursed budget support loans and grants relative to the baseline projection reported in Table 3.
- d) downward by the smaller between US\$100 million U.S. dollars and the cumulative shortfall of disbursed project loans and grants relative to the baseline projections reported in Table 2.

Table 3. El Salvador: Baseline Projections of NFPS Loans and Grants (US\$ Millions)								
	2025			2026		2027		
	End- Mar.	End- June	End- Dec.	End- Dec.	End- Mar.	End- June	End- Sept.	End- Dec.
Gross borrowing from non-residents excluding project loans and grants and budget support loans and grants	0	0	0	0	0	0	0	0
Budget support loans and grants (cumulative since the beginning of the year)	250	650	950	75	0	0	250	250

I. Ceiling on the Net Accumulation and Stock of Domestic Payment Arrears of the Consolidated Central Government

30. Domestic payment arrears. Domestic payment arrears are payment obligations overdue by more than 90 days to resident agents, including businesses and corporations, and public institutions.

31. Monitoring. At each test date, the net accumulation of domestic payment arrears of the consolidated central government will be measured as the difference between the stock outstanding at the test date and the stock outstanding on December 31, 2024. This measure of net accumulation of domestic payment arrears will be reported only through the March 31, 2026, test date. Beginning on September 30, 2026, the target will be set on the stock of domestic payment arrears of the consolidated central government, which will be measured and reported at each test date.

II. INDICATIVE TARGETS

J. Floor on Priority Social Spending

32. Priority social spending. For program monitoring purposes, priority social spending is defined as all total spending on the programs listed in Table 4.

33. Monitoring. Priority social spending will be measured at each test date as the cumulative value starting from the beginning of each calendar year.

Table 4. El Salvador: Social Program and Projects

Education sector (<i>Área de Educación</i>)
Programa Crecer y Aprender Juntos: Desarrollo Integral de la Primera Infancia en El Salvador
"Mi Nueva Escuela" de El Salvador (formación y materiales didácticos) ^{1/}
Programa de Mejora de la Calidad y Cobertura Educativa: Nacer, Crecer, Aprender
Programa de Reducción de Brecha Digital en Centros Escolares de El Salvador
Programa de mejoramiento de ambientes educativos para la formación integral y aprendizajes, a nivel nacional
Programa de formación docente al servicio de los aprendizajes, a nivel nacional
Programa de equipamiento y capacitación docente en tecnología e innovación al servicio de los aprendizajes, a nivel nacional
Programa de Becas Bicentenario para estudiantes de tercer ciclo y educación media en los departamentos de Ahuachapán, La Libertad y La Unión
Atención a la Educación Parvularia, Básica y Media (equipamiento)
Becas Escolares
Bono de Gratuidad
Jóvenes Talento
Universidad Virtual
Paquete Escolar
Programa Protección y Ambientes Educativos Seguros
Health sector (<i>Área de Salud</i>)
Programa Creciendo Saludables Juntos: Desarrollo Integral de la Primera Infancia en El Salvador
Programa Integrado de Salud II
Programa Salud Mesoamérica 2015 – El Salvador
Social and economic development (<i>Desarrollo Económico y Social</i>)
Programa de fomento de la empleabilidad y mejora del acceso al empleo asalariado - Componente 1, BIRF 9612-SV
Programa de Protección Social en respuesta a eventos adversos que afecten a la población vulnerable, Componente 2, BID 5785/OC-ES
Programa de promoción de oportunidades de emprendimiento - Componente 2, BIRF 9612-SV
Programa de Gestión Social y Fortalecimiento Comunitario - MOPT - KfW
Programa de inclusión productiva en el marco de programas sociales en municipios de mayor vulnerabilidad en El Salvador
Programa para la Erradicación de la Pobreza, a nivel nacional: Componente Desarrollo y Protección Social
Programa de Gestión Social y Fortalecimiento Comunitario - MIVI - KfW

Table 4. El Salvador: Social Program and Projects (concluded)

Poverty eradication and local economic development programs (<i>Programa de Erradicación de la Pobreza y de Desarrollo Económico Local</i>)
Pensión al Adulto Mayor y a Personas con Discapacidad
Programa Indemnización a Víctimas de Graves Violaciones
Atención a Veteranos Excombatientes
Agricultura Familiar
Prevention of violence (<i>Prevención de la Violencia</i>)
Programa de mejoramiento de espacios seguros de convivencia para jóvenes en El Salvador (CONVIVIR) (equipamiento)
1/ It includes the following programs: Apoyo a la Profesionalización Docente Pertinencia Curricular; Atención a la Salud y Nutrición Escolar; Atención a la Producción de Materiales Educativo y Multiplataforma; Atención de la Primera Infancia; Atención a Centros de Desarrollo Infantil.

K. Floor on Investment Spending of the NFPS

34. Investment spending. Public investment is defined as capital expenditures of the NFPS, that is acquisition of non-financial assets by the NFPS.

35. Monitoring. At each test date, net investment spending of the NFPS will be measured as the cumulative value starting from the beginning of each calendar year.

L. Floor on the Stock of Gross International Reserves of the BCR

36. Gross international reserves. Gross international reserve assets (GIR) comprise all readily available claims on nonresidents denominated in convertible foreign currencies, consistent with the Balance of Payments Manual (Sixth Edition). In particular, they include the (i) monetary claims, (ii) free gold, (iii) holdings of SDRs, (iv) the reserve position in the IMF, and (v) holdings of fixed income instruments. Specifically excluded from gross international reserves are:

- Any precious metals or metal deposits, other than monetary gold, held by the BCR;
- Assets in nonconvertible currencies and illiquid assets;
- Claims on residents; and
- Any reserve assets that are pledged, collateralized or otherwise encumbered (in so far as those assets are not already excluded from gross international reserve assets of BCR), including assets tied up in repurchase agreement transactions.

37. The main financing source for the GIR are the reserves holdings of domestic banks and NFPS deposits held at the BCR, in US\$. The former comprise all liabilities of the BCR to other depository institutions, including statutory reserve requirements and excess reserve requirements. These reserves holdings are specified as a function of the other depository corporations' deposit liabilities. Other financing sources include the deposits of the consolidated NFPS at the BCR, the BCR's own equity position as well as IMF disbursements to the BCR during the program period.

38. Monitoring. The stock of gross official international reserves (GIR) will be measured at each test date. GIR data will be provided to the Fund at biweekly frequency after the end of the second business day of the following week. At end-December 2024, the GIR, evaluated at market exchange rates, stood at US\$3,706 million. Targets for the Program GIR are set for stock positions at the test dates and are evaluated at the program exchange rates and gold price specified in Table 1.

39. Adjustors. The floor on the Stock of Gross International Reserves of the BCR will be adjusted:

- a) By the equivalent amount and direction (upward/downward) as the adjustor on NFPS deposits, as described in paragraph 29, is applied.
- b) Downward by the shortfall in deposits in depository taking corporations relative to the baseline projection reported in Table 5. The percentage adjustment will be equivalent to the legal liquidity reserve ratio of 12 percent.

Table 5. El Salvador: Baseline Projections of Deposits in Depository Taking Corporations (US\$ Millions)								
	2025			2026	2027			
	End-Mar.	End-June	End-Dec.	End-Dec.	End-Mar.	End-June	End-Sept.	End-Dec.
Deposits in Depository Taking Corporations (end-of-period stock)	20,163	20,397	20,865	24,405	24,847	25,289	25,731	26,172

III. DATA REPORTING REQUIREMENTS

40. Provision of data. El Salvador shall provide the Fund, through reports at intervals or dates indicated by the Fund, with such information as the Fund requests in connection with the progress of El Salvador in achieving the objectives and policies set forth in the Memorandum of Economic and Financial Policies and Letter of Intent. All program monitoring data will be provided by the Ministry of Finance and the BCR.

41. Timing and frequency of data. The timing of data provision to the Fund for program monitoring purposes will be as in Table 6. The data reporting requirements below relate to factual outturns based on the established reporting frequency, along with projections for the remainder of the respective calendar year.

Table 6. El Salvador: Reporting Requirements

Type of Data	Reporting frequency	Reporting Deadline	Reporting Institution
External Sector Data			
Family Remittances	Monthly 1/	20 th day of the next month	BCR
Trade Balance, Imports, Exports of Goods (volumes, values)	Monthly 1/	20th day of the next month	BCR
Oil and fuel imports	Monthly 1/	20th day of the next month	BCR
Electricity exports	Monthly 1/	20th day of the next month	BCR
Foreign Trade Good Price Indices	Monthly	Last day of the next month	BCR
Tourist arrivals	Monthly	Last day of the next month	BCR
Gross International Reserves	Weekly	By the end of the second business day in the following week	BCR
Gross international Reserves, composition details including the volume of gold by troy ounce	Every two weeks	By the end of the second business day in the following week	BCR
Net International Reserves (GIR and reserve-related liabilities (FX liabilities with a maturity of 1 year or less). Reserve-related liabilities projections for 4 quarters forward)	Monthly	10th day of the next month	BCR
External Arrears	Continuous	Immediate reporting if the QPC is breached. The stock is reported Monthly, fifth business day in the following month	BCR
Real Effective Exchange Rates (index, US bilateral, Central America bilateral)	Monthly	20th day of the next month	BCR

Table 6. El Salvador: Reporting Requirements (continued)

Type of Data	Reporting frequency	Reporting Deadline	Reporting Institution
External Sector Data (continued)			
Service account of the Balance of Payments, credit and debit (estimates).	Monthly	Last day of the next month	BCR
Total external debt stock of the NFPS by creditor: instrument-by-instrument data.	Monthly	Last day of the next month	BCR
Total external debt service due and debt service paid by creditor / debt instrument. Perimeter is NFPS.	Monthly	Last day of the next month	BCR
Total external debt contracted by creditor / debt instrument. Perimeter is NFPS.	Monthly	Last day of the next month	BCR
Short-term liabilities to nonresidents (maturity in one year or less), including overdraft positions and debt owed or guaranteed by the government or the BCR.	Monthly	Last day of the next month	BCR
Balance of Payments	Quarterly	2 months and 15 days after the reference quarter	BCR
International Investment Position	Quarterly	2 months and 15 days after the reference quarter	BCR
External Debt Position	Quarterly	2 months and 15 days after the reference quarter	BCR
FDI by economic sector	Quarterly	Second month of the next quarter	BCR
Monetary and Financial Data			
Total deposits	Weekly	By the end of the second business day in the following week	BCR
Deposits by deposit type (savings, term and sight)	Monthly	Last day of the next month	BCR

Table 6. El Salvador: Reporting Requirements (continued)

Type of Data	Reporting frequency	Reporting Deadline	Reporting Institution
Monetary and Financial Data (continued)			
Total credit to the private sector including a breakdown by sector	Monthly	Last day of the next month	BCR
Total credit to the public sector	Monthly	Last day of the next month	BCR
Net credit to the non-financial public sector from depository corporations	Monthly	Last day of the next month	BCR
Net credit to the non-financial public sector from other financial corporations	Monthly	Last day of the next month	BCR
Required liquidity reserves held at the BCR	Weekly	By the end of the second business day in the following week	BCR
Excess liquidity reserves held at the BCR	Weekly	By the end of the second business day in the following week	BCR
High-quality liquid assets computable for the purposes of the liquidity requirement as defined by NRP-87 including a breakdown by asset type (readily realizable assets, deposits in foreign banks and deposits at the BCR) and custody agent.	Every two weeks	By the end of the second business day after the end of the 14-day compliance period.	BCR
Proof of the statement accounts, issued by the custody agents, of the securities reported as liquid assets computable for the purpose of NRP-87.	Every two weeks	By the end of the second business day after the end of the 14-day compliance period.	BCR
Total deposits of the consolidated government at the BCR.	Weekly	By the end of the second business day in the following week	BCR
Total deposits of the NFPS at the BCR.	Weekly	By the end of the second business day in the following week	BCR

Table 6. El Salvador: Reporting Requirements (concluded)

Type of Data	Reporting frequency	Reporting Deadline	Reporting Institution
Fiscal Data			
Primary balance of the NFPS and of its components. 2/	Monthly	No later than 40 days after the end of the month.	BCR and ISP
Revenues and spending not related to pensions or interest payment of the ISP (using the presentation published on BCR website).	Monthly	No later than 40 days after the end of the month.	BCR
Cash flow table of the ISP, table with issuances of COPs and stock of ISP assets and liabilities.	Monthly	No later than 31 days after the end of the month.	ISP
Net domestic borrowing by the NFPS, broken down by • disbursements/issuance and amortization (domestic and external), • type of instrument, • counterparty (depository corporations, AFPs, BCR, other domestic financial institutions, multilateral developmental organizations, bilateral, and other external creditors)	Monthly	No later than 31 days after the end of the month.	Ministry of Finance
Daily stock of domestic payment arrears of the central government, with breakdown by expenditure component.	Monthly	No later than 15 days after the end of the month	Ministry of Finance
Priority social spending, investment spending, and wage bill	Quarterly	No later than 45 days after the end of the quarter.	Ministry of Finance
Notes:			
1/ Two extra days in Holy Week (March or April depending on the calendar) and August.			
2/ This data will be made consistent with annual data reporting of the Ministry of Finance, using a derivation table and a methodological note provided by the authorities.			

42. Reporting of external payment arrears. Confirmation of the non-incurrence of external payment arrears will be provided in writing, by email, on a bi-weekly basis, by the Ministry of Finance. Any emergence of external payment arrears must be communicated by the Ministry of Finance promptly, with no more than one working day of delay.

43. Reporting of Bitcoins and Bitcoin-linked issuance of debt or guarantees. Confirmation that (i) the Bitcoin amounts owned by or under the control of the public sector (as identified in the statement mentioned as PA to the program and SBs and as defined in paragraph 23 and 24) have not changed, nor that (ii) new hot or cold wallets have become owned by or have undergone the

control of the public sector, nor that (iii) issuances of or guarantees to any type of debt or tokenized instrument that is indexed to or denominated in Bitcoin and implies a liability for the public sector has been done or provided, will be communicated at the end of every month in writing, via email, by Ministry of Finance for the month. If any of the circumstances mentioned in (i), (ii), or (iii) occurs within a month, this will be communicated by no later than the following business day in writing, via email.

Appendix A. Non-Financial Public Sector Entities

No.	Name of Institution	Acronym
Gobierno Central Presupuestario (Administración Central)		
1	Órgano Legislativo	AL
2	Órgano Judicial	CSJ
3	Presidencia de la República	PRESIDENCIA
4	Ministerio de Hacienda	MH
5	Tesoro Público	DGT
6	Ministerio de Relaciones Exteriores	MIREX
7	Ministerio de la Defensa Nacional	DEFENSA
8	Ministerio de Gobernación y Desarrollo Territorial	MIGOB
9	Ministerio de Justicia y Seguridad Pública	MJYSP
10	Ministerio de Educación, Ciencia y Tecnología	MINEDUCYT
11	Ministerio de Salud	MINSAL
12	Ministerio de Trabajo y Previsión Social	MTYPS
13	Ministerio de Economía	MINEC
14	Ministerio de Agricultura y Ganadería	MAG
15	Ministerio de Obras Públicas y Transporte	MOPT
16	Ministerio de Medio Ambiente y Recursos Naturales	MARN
17	Ministerio de Turismo	MITUR
18	Ministerio de Cultura	...
19	Ministerio de Vivienda	...
20	Ministerio de Desarrollo Local	...
21	Instituto de Acceso a la Información Pública	IAIP
22	Fiscalía General de la República	FGR
23	Procuraduría General de la República	PGR
24	Procuraduría para la Defensa de los Derechos Humanos	PDDH
25	Corte de Cuentas de la República	CC
26	Tribunal Supremo Electoral	TSE
27	Tribunal de Servicio Civil	TSC
28	Consejo Nacional de la Judicatura	CNJ
29	Tribunal de Ética Gubernamental	TEG
30	Fideicomisos varios que son parte del Gobierno Central Presupuestario	...

No.	Name of Institution	Acronym
Gobierno Central Extrapresupuestario		
1	Instituto Nacional de los Deportes de El Salvador	INDES
2	Instituto Salvadoreño para el Desarrollo de la Mujer	ISDEMU
3	Fondo de Inversión Social para el Desarrollo Local	FISDL
4	Agencia de Promoción de Exportaciones e Inversiones de El Salvador	...
5	Fondo Salvadoreño para Estudios de Preinversión	FOSEP
6	Instituto Salvadoreño de Desarrollo Municipal 1/	ISDEM
7	Academia Nacional de Seguridad Pública	ANSP
8	Unidad Técnica Ejecutiva del Sector Justicia	UTE
9	Consejo Nacional de Administración de Bienes	CONAB
10	Registro Nacional de las Personas Naturales	RNPN
11	Instituto Salvadoreño para el Desarrollo Integral de la Niñez y la Adolescencia 1/	ISNA
12	Consejo Nacional de la Niñez y de la Adolescencia 1/	CONNA
13	Universidad de El Salvador	UES
14	Hospital Nacional Rosales	HR
15	Hospital Nacional Benjamín Bloom	HNBB
16	Hospital Nacional de Maternidad "Dr. Raúl Arguello Escolán"	...
17	Hospital Nacional Psiquiátrico "Dr. José Molina Martínez"	...
18	Hospital Nacional de Neumología y Medicina Familiar "Dr. José Antonio Saldaña", San Salvador	...
19	Hospital Nacional "San Juan De Dios", Santa Ana	...
20	Hospital Nacional "Francisco Menéndez", Ahuachapán	...
21	Hospital Nacional "Dr. Jorge Mazzini Villacorta", Sonsonate	...
22	Hospital Nacional "Dr. Luis Edmundo Vásquez", Chalatenango	...
23	Hospital Nacional "San Rafael", Santa Tecla, La Libertad	...
24	Hospital Nacional "Santa Gertrudis", San Vicente	...
25	Hospital Nacional "Santa Teresa", Zacatecoluca	...
26	Hospital Nacional "San Juan de Dios", San Miguel	...
27	Hospital Nacional "San Pedro", Usulután	...
28	Hospital Nacional "Dr. Juan José Fernández", Zacamil	...
29	Hospital Nacional "Enfermera Angélica Vidal de Najarro", San Bartolo, San Salvador	...
30	Hospital Nacional "Nuestra Señora de Fátima", Cojutepeque, Cuscatlán	...

No.	Name of Institution	Acronym
31	Hospital Nacional de La Unión	...
32	Hospital Nacional de Ilobasco	...
33	Hospital Nacional de Nueva Guadalupe	...
34	Hospital Nacional "Monseñor Oscar Arnulfo Romero y Galdámez", Ciudad Barrios, San Miguel	...
35	Hospital Nacional de Sensuntepeque	...
36	Hospital Nacional de Chalchuapa	...
37	Hospital Nacional "Arturo Morales", Metapán, Santa Ana	...
38	Hospital Nacional "Dr. Héctor Antonio Hernández Flores", San Francisco Gotera, Morazán	...
39	Hospital Nacional de Santa Rosa de Lima	...
40	Hospital Nacional de Nueva Concepción	...
41	Hospital Nacional "Dr. Jorge Arturo Mena", Santiago de María, Usulután	...
42	Hospital Nacional de Jiquilisco	...
43	Hospital Nacional de Suchitoto	...
44	Consejo Superior de Salud Pública	CSSP
45	Instituto Salvadoreño de Rehabilitación Integral	ISRI
46	Hogar de Ancianos "Narcisa Castillo", Santa Ana	...
47	Fondo Solidario para la Salud	FOSALUD
48	Superintendencia de Regulación Sanitaria (Dirección Nacional de Medicamentos)	...
49	Fondo de Protección de Lisiados y Discapacitados a Consecuencia del Conflicto Armado 1/	...
50	Instituto Salvadoreño de Formación Profesional 1/	INSAFORE
51	Centro Nacional de Registros	CNR
52	Consejo Salvadoreño de la Agroindustria Azucarera	CONSAA
53	Superintendencia de Competencia	SC
54	Defensoría del Consumidor	DC
55	Consejo Nacional de Energía 1/	CNE
56	Consejo Nacional de Calidad	CNC
57	Centro Internacional de Ferias y Convenciones de El Salvador	CIFCO
58	Consejo de Vigilancia de la Profesión de Contaduría Pública y Auditoría	CVPCPYA
59	Superintendencia General de Electricidad y Telecomunicaciones	SIGET
60	Fondo de Inversión Nacional en Electricidad y Telefonía	FINET
61	Fondos Especial de los Recursos Provenientes de la Privatización de ANTEL-FANTEL	

No.	Name of Institution	Acronym
62	Comisión Nacional de la Micro y Pequeña Empresa	CONAMYPE
63	Instituto Salvadoreño de Fomento Cooperativo	INSAFOCOOP
64	Instituto Salvadoreño de Transformación Agraria	ISTA
65	Centro Nacional de Tecnología Agropecuaria y Forestal	CENTA
66	Escuela Nacional de Agricultura	ENA/IENS-ENA)
67	Consejo Salvadoreño del Café 1/	CSC
68	Fondo de Emergencia para el Café 1/	FEC
69	Autoridad Marítima Portuaria 1/	AMP
70	Fondo de Conservación Vial	FOVIAL
71	Autoridad de Aviación Civil	AAC
72	Fondo Nacional de Vivienda Popular	FONAVIPO
73	Fondo de Atención de Víctimas de Accidentes de Transito	FONAT
74	Fondo Ambiental de El Salvador 1/	FONAES
75	Instituto Salvadoreño de Turismo	ISTU
76	Corporación Salvadoreña de Turismo	CORSATUR
77	Fondo del Milenio 1/	FOMILENIO
78	Fondo del Milenio II 1/	FOMILENIO
79	Instituto Administrador de los Beneficios de los Veteranos y Excombatientes 1/	INABVE
80	Hospital Nacional El Salvador1/	...
81	Dirección Nacional de Obras Municipales	DOM
82	Consejo Nacional para la Inclusión de las Personas con Discapacidad	CONAIPD
83	Instituto de Bienestar Animal	IBA
84	Autoridad Salvadoreña del Agua	ASA
85	Dirección Nacional de Compras (Dirección Nacional de Compras Públicas)	...
86	Cuerpo de Bomberos de El Salvador	...
87	Consejo Nacional de la Primera Infancia, Niñez y Adolescencia	CONAPINA
88	Instituto Crecer Juntos	ICJ
89	Centro de Maternidad Nacer con Cariño “El Nido”	...
90	Instituto Especializado “Hospital El Salvador”	...
91	Sistema de Emergencias Médicas	SEM
92	Ente Nacional de Transmisión Eléctrica	ENTE
93	Autoridad de Planificación del Centro Histórico de San Salvador	...
94	Agencia Administradora de Fondos Bitcoin	AAB

No.	Name of Institution	Acronym
95	Comisión Nacional de Activos Digitales	...
96	Dirección General de Energía, Hidrocarburos y Minas	DGEHM
97	Instituto Salvadoreño del Café	ISC
98	Dirección de Integración	...
99	Instituto Nacional de Capacitación y Formación	...
100	Centro de Desarrollo de Comercio Agropecuario	...
Fondos de Seguridad Social		
1	Instituto Nacional de Pensiones de los Empleados Públicos 1/	INPEP
2	Instituto de Previsión Social de la Fuerza Armada	ISPFA
3	Instituto Salvadoreño de Bienestar Magisterial	ISBM
4	Instituto Salvadoreño del Seguro Social	ISSS
5	Instituto Salvadoreño de Pensiones	ISP
Sociedades Públicas no Financieras		
1	Lotería Nacional de Beneficencia	LNB
2	Centro Farmacéutico de la Fuerza Armada	CEFAFA
3	Centro Internacional de Ferias y Convenciones de El Salvador 1/	CIFCO
4	Comisión Ejecutiva Hidroeléctrica del Río Lempa 2/	CEL
5	Comisión Ejecutiva Portuaria Autónoma	CEPA
6	Administración Nacional de Acueductos y Alcantarillados (ANDA)	ANDA
^{1/} No longer in operation. ^{2/} It holds the following subsidiaries: ETESAL, GEO, CECSA, e INE.		



EL SALVADOR

October 1, 2026

SECOND AND THIRD REVIEWS UNDER THE EXTENDED FUND FACILITY, REQUESTS FOR WAIVERS OF NONOBSERVANCE OF PERFORMANCE CRITERIA, AND REPHASING OF ACCESS—SUPPLEMENTARY INFORMATION

Prepared By

Western Hemisphere Department

This supplementary information has become available since the staff report was issued on September 18, 2026. This information complements the staff statements issued on September 29, 2026 and does not alter the thrust of the staff appraisal.

Update on completion of prior actions (PAs). The following action has been taken by the authorities since the issuance of the previous Staff Statement:

Budget: As anticipated in the staff statement, the Executive 2027 Budget Proposal submitted to the Legislative Assembly was published on September 30 in the [Fiscal Transparency Portal](#) of the Ministry of Finance. As outlined in the accompanying technical notes published on [September 25](#) and [September 30](#), the Executive 2027 Budget Proposal is consistent with program fiscal targets and is supported by identified policy measures to reach a primary balance of 3.7 percent of GDP (US\$ 1,525 millions), as required under the PA. Staff assesses that this PA has been met.

Statement by the IMF Staff Representative on El Salvador October 1, 2026

This statement provides information that has become available since the staff report was issued on September 18, 2026. This information does not alter the thrust of the staff appraisal.

Update on prior actions (PAs). The following actions have been taken by the authorities since the issuance of the Staff Report:

- **Publication of audits and Chivo's audited financial statement:** As required by the PA, the 2025 Court of Accounts' final reports, including findings and conclusions, of the special examinations of *Fidebitcoin* ([link](#)) and the *Agencia Administradora de Fondos Bitcoin* (AAB, [link](#)) have been published on September 17, and Chivo's audited financial statement ([link](#)) has been published on September 28. Staff assesses that this PA has been met.
- **Bitcoin donations:** As required by the PA, the 1,090 Bitcoin received in November 2025 and the 344 Bitcoin received as of September 25, 2026 from the US\$40 million donation, at a rate of one Bitcoin per day (corresponding to cumulative withdrawals of around US\$26.8 million from the pledged amount), have been segregated in dedicated and identifiable wallets, the addresses of which were communicated to staff. Staff assesses that this PA has been met. The authorities reiterated to staff that no further accumulation, beyond the documented donations, is envisaged.
- **Public wallets:** As required by the PA, the authorities have provided staff with a signed statement listing all hot and cold wallet addresses identifying the corresponding holdings of Bitcoin and other crypto assets owned by or under the control of the public sector, including all public-sector entities and legal persons controlled by the State, as of end-December 2025 and as of September 15, 2026 (the list has remained unchanged since end-May 2026). They also identified the wallets used to hold assets in custody for Chivo users, donated Bitcoin, and government-owned Bitcoin. Staff assesses that this PA has been met.
- **Budget:** The 2027 Executive Budget Proposal submitted to the Legislative Assembly will be published on September 30 in the [Fiscal Transparency Portal](#) of the Ministry of Finance, in accordance with the country's legal framework. On September 25, the Minister of Finance issued a press release ([link](#)) reaffirming that the 2027 Budget Proposal remains consistent with program objectives, including achieving a primary fiscal balance for the non-financial public sector in 2027 of 3.7 percent of GDP (US\$ 1,525 millions). This PA is expected to be completed on September 30, and staff will assess and report completion ahead of the Board meeting.

**Statement by Ms. Mendez Bertolo, Executive Director for El Salvador, and
Mr. Monterroso, Senior Advisor to Executive Director
October 1, 2026**

Introduction

1. On behalf of our Salvadoran authorities, we express our sincere appreciation to the Fund staff, Management, and the Executive Board for their continued support and constructive engagement, including during the second and third reviews under the Extended Fund Facility (EFF). The authorities highly value the candid and productive policy dialogue underpinning these engagements. They broadly concur with staff's assessment that program objectives have largely been achieved, while recognizing that sustained reform momentum will be essential to preserve macroeconomic stability, strengthen resilience, reduce public debt, enhance governance, and support stronger and more inclusive private-sector-led growth.

Program performance

2. Despite delays in completing the second and third reviews, reflecting the complexities of reform implementation, the authorities remain committed to strengthening fiscal and external buffers and advancing reforms to enhance governance, transparency, and sustained growth. They have taken corrective measures to address minor deviations from performance criteria. On Bitcoin, the authorities have reduced overall public sector exposure, drastically reducing its participation in the Chivo e-wallet by transferring majority ownership and control to a private operator, while retaining a minority stake and custodial responsibilities for customer assets. They will continue to reduce public sector involvement in Chivo, in line with the program objective, and create the conditions for the public sector's eventual exit from its custodial role over clients' assets, which remain client-owned and are held separately from public sector holdings. Public resources have not been used to accumulate Bitcoin; all Bitcoin acquired since the first review resulted from properly documented donations by a private firm. Meanwhile, the program continues to catalyze financial support from other official creditors, helping strengthen market confidence and rebuild policy buffers.

3. The authorities remain committed to the continued and decisive implementation of the policies and reforms outlined in the Memorandum of Economic and Financial Policies (MEFP), which they believe will keep the program firmly on track to achieve its objectives. They are fully aware of El Salvador's vulnerability to the increasingly challenging global environment (the war in the Middle East and its impact on energy and commodities' prices,

the El Niño phenomenon, the trade tensions, and migration policy shifts) and stand ready to take any additional measures necessary to safeguard program goals. The authorities also highly value the Fund's technical assistance, together with support from other official partners, which is gradually strengthening institutional capacity and supporting the effective implementation of their ambitious reform agenda.

Recent economic developments and outlook

4. The Salvadoran economy continues to outperform under the IMF-supported program. Real GDP growth accelerated to 3.9 percent in 2025, and economic activity has remained robust this year, supported by strong performance in construction, tourism, and other services, as well as continued growth in remittances. This momentum reflects sustained improvements in security and confidence, which have fostered private consumption and investment and reduced poverty. As a result, economic activity continues to exceed expectations, with growth reaching its highest levels in more than three decades. Socioeconomic conditions have improved markedly, supported also by improved access to health, education, and financial services, including through AI-enabled solutions and other technological innovations.

5. According to the program, growth is projected at 4.5 percent in 2026, supported by robust activity in construction, manufacturing, tourism, and services, as well as resilient remittances, despite temporary headwinds from higher energy prices and climate-related shocks. Sustained improvements in security and confidence continue to support private consumption and investment. More generally, continued implementation of the IMF-supported program is underpinning private investment, helping reduce sovereign spreads to their lowest levels since 2011, and strengthening El Salvador's growth potential. Notwithstanding the positive outlook, risks remain firmly tilted to the downside. Heightened geopolitical fragmentation, renewed volatility in global commodity and energy markets, and increasingly severe climate-related events (El Niño) could materially affect growth prospects and macroeconomic stability. These risks reinforce the importance of initiative-taking contingency planning, continued efforts to strengthen economic resilience, and the preservation of adequate fiscal and financial sector buffers to respond effectively to potential shocks. Growth is expected to ease gradually to 4.0 percent in 2027 and converge toward its long-term potential of about 3.3 percent by 2028, remaining well above the average growth rate recorded over the past two decades. This stronger performance reflects productivity gains from improved security, higher investment, and ongoing structural reforms.

6. As in many peer economies, inflation picked up during the first half of 2026, driven by higher food and fuel prices and base effects from early 2025, broadly mirroring U.S.

inflation trends given El Salvador's dollarized economy. Indeed, headline inflation reached 3.19 percent year-on-year in August 2026. While inflation should stay broadly contained, it is expected to remain elevated in the near term, reflecting the full pass-through of the oil price shock and weather-related pressures associated with El Niño phenomenon, which could further increase food prices. Annual average inflation is projected to rise to 2.7 percent in 2026 before gradually easing toward 2.1 percent in 2027, broadly in line with U.S. inflation.

7. Meanwhile, the current account deficit reached 3.5 percent of GDP in 2025 and is projected to widen to approximately 4.8 percent of GDP in 2026, reflecting less favorable terms of trade associated with higher energy and raw material prices. As these shocks dissipate and global commodity prices normalize, the external position is expected to improve, with the deficit narrowing to about 3.0 percent of GDP in 2027. Over the medium term, the current account deficit is projected to decline further and stabilize at around 1.5 percent of GDP, while international reserves are rebuilt steadily to about 3.4 months of imports by 2031.

Fiscal Policy

8. The Ministry of Finance remains committed to strengthening public finances to ensure fiscal and debt sustainability. Authorities' efforts will persist in keeping the fiscal program on track. Indeed, strong economic activity, improved security conditions, and continued revenue administration efforts have continued to support robust tax revenue performance, creating room for priority expenditure while advancing fiscal consolidation. The fiscal performance has remained robust through July 2026, with a cumulative primary surplus of 1.3 percent of annual GDP through July 2026, supported by continued revenue administration gains and expenditure restraint, including as a result of the full pass-through of higher fuel prices to consumers. Meanwhile, higher spending from the launch of the *Quincena 25* benefit program in January (it is an annual payment equivalent to 50 percent of the monthly salary, which is paid to employees in January) and the rollout of a new AI-supported health initiative were largely offset by reduced current transfers and investment.

9. The primary fiscal surplus is projected to continue improving, reaching 2.9 percent of GDP in 2026 through strict expenditure control during the remainder of the year, careful prioritization of public investment, tight control over payables, and greater information sharing and coordination across institutions to ensure that part of any revenue overperformance is saved, in line with program commitments. Similarly, the authorities are preparing the draft 2027 budget, which they will submit to the Legislative Assembly by September 30. In January 2027, the authorities will publish a Medium-Term Fiscal Framework (MTFF) accompanying the approved 2027 budget, which will outline the fiscal

path to reduce public debt toward 80 percent of GDP by 2030. The primary balance is projected to rise to 3.7 percent in 2027 on the back of continued expenditure discipline, prudent management of public investment, and buoyant revenue from tax administration reforms. The consolidation path will also be broadly consistent with the Fiscal Responsibility Law target of bringing the debt-to-GDP ratio to 80 percent, underpinned by well-sequenced reforms of the pension and civil service systems.

10. Beyond preserving fiscal discipline, the authorities have made noteworthy progress in strengthening fiscal transparency and governance. Since program approval, they have published comprehensive fiscal information regarding the pension system and State-Owned Enterprises (SOEs), and they are working to further improve their fiscal data. Specifically, on pensions, they have published the debt stocks of the *Instituto Salvadoreño de Pensiones* (ISP) and other public entities associated with the pension systems. To further advance fiscal reporting standards, in September 2025, they published statistics and fiscal reports for the Nonfinancial Public Sector (NFPS), including ISP stocks and flows and clearly disaggregating pension costs and pension debt. On public corporations and SOEs, they have published their ownership policy, corporate governance, financial and risk management, and accountability standards for SOEs.

11. In terms of the efficiency and provision of key public services, the authorities have launched an AI-assisted telemedicine platform to expand access to primary healthcare, improve early diagnosis, and enhance the quality and efficiency of service delivery. Similar efforts are underway in the education sector, where technology is being used to support teachers and improve learning outcomes. An education pilot program incorporating AI tutors has been operating in 171 public schools for just over a year and has delivered promising results, with participating students achieving learning outcomes in standardized assessments reaching levels comparable to average PISA outcomes in countries such as Germany and Sweden. Building on these results, they plan to expand the program to all public schools over the next 18 months. With the support of our development partners, they will continue to monitor implementation and quantify the coverage and quality benefits of AI-enabled initiatives as nationwide coverage is expanded.

Financial Sector

12. The authorities remain committed to further strengthening the resilience of El Salvador's financial sector, which has continued to demonstrate sound fundamentals amid a gradual rebuilding of reserve buffers. Banks maintain a healthy capital position, with an adequacy ratio of 15.3 percent in August 2026, above the minimum legal requirement. Deposit growth has been strong (12.6 percent y/y in August 2026), supported by

remittances, strengthening the bank's funding capacity. Private credit growth remained around 8.8 percent y/y in August 2026, backed by strong business and consumer credit growth (11.1 and 5.9 percent y/y, respectively). Meanwhile, as of August 2026, Nonperforming Loans (NPLs) remain low (1.6 percent of assets) with adequate provisioning (140 percent) and solid profitability ratios (13.7 percent ROE and 1.4 percent ROA). Reserves held at the Central Reserve Bank of El Salvador rose to around 17.3 percent of deposits in August 2026, in line with the increase in the legal reserve requirement to 12 percent implemented in January 2025.

13. Superintendency of the Financial System (SSF) will continue to safeguard financial stability by ensuring that banks remain well capitalized and liquid. Robust deposit growth, supported by strong remittance inflows, has enabled continued private credit expansion while reducing banks' exposure to the public sector, consistent with the authorities' fiscal consolidation and debt management objectives. The new Financial Stability Law has strengthened the financial safety net through enhanced frameworks for early intervention, resolution, crisis management, and deposit insurance. Priorities now include strengthening supervisory effectiveness, improving operational efficiency, and aligning supervisory capacity and resources with the Basel Core Principles.

14. Central Reserve Bank of El Salvador (BCR) has made substantial progress in implementing the recommendations of the safeguards assessment, including by strengthening its internal audit function and governance arrangements. At the same time, the BCR has significantly improved its financial and capital position through a comprehensive reform agenda aimed at enhancing revenue generation, optimizing resource allocation, and improving operational efficiency. These efforts have reinforced the BCR's financial resilience and established a solid foundation for the successful transition to International Financial Reporting Standards (IFRS). In addition, the BCR has engaged reputable independent external audit firms to support the validation of the IFRS transition and provide independent assurance over the process, thereby strengthening the credibility and transparency of financial reporting. The institution has also continued to enhance its governance and operational framework, including by reinforcing the effectiveness of its leadership and decision-making bodies. Furthermore, the certification of its management systems under ISO 37001 demonstrates adherence to internationally recognized anti-bribery standards and reflects the authorities' continued commitment to sound governance, integrity, and institutional strengthening. Finally, efforts are underway to improve financial inclusion through the promotion of a payment infrastructure. The new payments infrastructure system managed by the Central Bank (*Transfer 365*) is successfully promoting free and fast retail payments by interconnecting financial institutions' platforms.

Structural Agenda

15. In addition to sustaining determined efforts to address macroeconomic imbalances and safeguard the security of all Salvadorans, the authorities continue to advance the implementation of a comprehensive reform roadmap aimed at strengthening productivity and supporting more dynamic and inclusive growth across sectors of the economy. Indeed, the authorities continue to implement reforms to improve the business climate, reduce administrative burdens, deploy digital tools to streamline business procedures, attract investment and skilled labor, and deepen trade links with the US and other partners. These efforts are supported by their Long-Term Growth Strategy, prepared with support from the Interamerican Development Bank (IDB), which promotes strategic sectors such as tourism, housing, digitalization, and infrastructure. Emphasis is being given to improving infrastructure, developing a new Private-Public Partnership PPP framework (with World Bank assistance), and improving competitiveness. They are also working to mitigate the impact of El Niño phenomenon and are working with international partners, including the Food and Agriculture Organization (FAO), World Food Programme WFP, IDB, and others, to protect vulnerable households and small producers, particularly subsistence farmers, while preserving market signals and fiscal discipline. Furthermore, the BCR is also strengthening its statistical framework to support policymaking, with an ambitious agenda to update several censuses and rebase the national accounts and price indexes, and the adoption of the most recent methodologies of real and external sector statistics.

16. The authorities remain strongly committed to advancing a forward-looking financial innovation agenda, recognizing the potential of digital assets to contribute to financial development, attract investment, and enhance the economy's competitiveness. As part of this broader vision, they continue to support the development and expansion of digital asset markets within a sound and transparent regulatory environment. To that end, and with the support of Fund technical assistance, the authorities have made substantial progress in preparing amendments to the Digital Assets Issuance Law. The proposed reforms are intended to strengthen the regulatory and supervisory framework for crypto-asset activities and markets, bolster market confidence, and reassess the current dual supervisory structure to ensure a more effective allocation of oversight responsibilities. These efforts underscore the authorities' commitment to balancing innovation with appropriate safeguards, while positioning El Salvador at the forefront of responsible digital financial development. The amended law is expected to be submitted to the Legislative Assembly next year.

17. The authorities are actively working to strengthen the investment climate, including through steady implementation of the new Anti-Corruption and AML/CFT frameworks. Following enactment of the AML/CFT Law, they will introduce legal requirements to

strengthen the transparency and availability of beneficial ownership information for legal persons and legal arrangements, whether through the submission of legislation to the Legislative Assembly, the issuance of regulations, or mandatory instructions, to ensure full compliance with Financial Action Task Force (FATF) recommendations. Efforts will continue to operate the National Anti-Corruption Center envisaged under the Anti-Corruption Law, and further enhancements will be made to the transparency of asset declarations. Specifically, published data will include information on fixed and current assets and liabilities, covering the declarant and family members.

Conclusion

18. The Salvadoran authorities reaffirm their strong commitment to the EFF. They view continued Fund support as critical to anchoring macroeconomic stability, strengthening resilience, and catalyzing additional development partners' support. They are confident that steadfast program implementation will enhance confidence and attract the needed private investment to boost productivity and living standards for all Salvadorans. Accordingly, the authorities request Executive Directors' support in concluding the second and third reviews under the EFF and associated requests to support El Salvador's continued reform efforts and development goals. Finally, the authorities would like to express their special appreciation for the IMF's technical assistance.